

AREAS OF COMPETENCY

KNOWLEDGE

Specifically Graduates will be able to

- Know the theories of consumer behavior, producer behavior and the market;
- Acquire the theories of price and output determination by firms;
- Know the functioning of different market setting, their structure and organization;
- Know theories of public goods, externalities, market failure and government failure;
- Know the theories of wage determination, issues of labor demand and supply analysis;
- Understand macroeconomic theories dealing with national income accounting, unemployment, inflation, and economic growth of nations, etc.
- Understand the essence of macroeconomic policies on the behaviour of economic agents;
- Know the theories of international trade & finance;
- Identify how to detect existence econometrics diagnostic test (both manually and using statistical packages).
- Understand the different economic policy instruments (such as monetary policy, fiscal policy, income policy, trade policy, etc.) used at an aggregate level

SKILLS

- Apply basic computer skills and software applications in economic research and analysis;
- Design and write an actual research work and present a report using computers;
- Apply different estimation for cross-sectional, panel and time series data by using statistical software; • Apply statistical software to detect existence econometrics diagnostic test
- Use logical reasoning in economics analysis;
- Develop research proposal skills and writing research reports and professional articles;
- Apply critical socio-economic phenomenon observation and data analysis skills;
- Use both quantitative and qualitative socio-economic research skills;
- Apply quantitative analysis on economic and non-economic variables to solve practical and real-life problems;
- Use empirical evidence to evaluate an economic argument;
- Use appropriate statistical analysis of data, and explain the statistical problems involved; and
- Instruct in universities and higher training institutions

ATTITUDES

- Criticize private and/or public matters and being rational attitude toward them;
- Appreciate working with others (economists and other professionals); and
- Suggest other economics professionals and ready to support the state and communities

THEMES UNDER WHICH COURSES ARE CATEGORIZED

1. Basic Microeconomics
 - **Microeconomics I**
 - **Microeconomics II**
 - **Development planning & project analysis II**
2. Basic Macroeconomics
 - **Macroeconomics I**
 - **Macroeconomics II**
 - **Development economics I**
 - **Development economics II**
 - **International economics I**
 - **Monetary economics?**
3. Quantitative Methods in Economics with application
 - **Mathematical economics**
 - Econometrics I
 - Econometrics II

MICROECONOMICS I

1. Total utility is maximum when
 - A. marginal utility is zero
 - B. marginal utility is maximum
 - C. marginal utility increases
 - D. average utility is maximum

Answer: A. marginal utility is zero

2. Which of the following is called gossans first law
 - A. law of substitution
 - B. law of equi-marginal utility
 - C. law of diminishing marginal utility
 - D. none of the above

Answer: C. law of diminishing marginal utility

3. When individuals income falls (everything remain the same) his demand for an inferior good
- A. Rises
 - B. Falls
 - C. remains the same
 - D. we cannot say without additional information

Answer: A. rises

4. If negative income effect is greater than positive substitution effect : the product will be
- A. a normal good
 - B. an inferior good
 - C. a giffen good
 - D. a complementary good

Answer: C. a giffen good

5. Which of the following statement is FALSE with regard to marginal utility
- A. marginal utility is the utility derived from last unit
 - B. as consumption increases marginal utility goes on diminishing
 - C. at saturation point marginal utility is zero
 - D. marginal utility increases at a diminishing range

Answer: D. marginal utility increases at a diminishing range

6. According to Marshall, consumer surplus is:
- A. total utility – marginal utility
 - B. total utility + marginal utility
 - C. total utility derived – price
 - D. price – marginal utility

Answer: C. total utility derived – price

7. If both the products X & Y are normal goods
- A. slopes down towards right
 - B. slopes up towards right
 - C. slopes up towards left
 - D. slopes down towards left

Answer: B. slopes up towards right

8. Which of the following statement is TRUE with regard to total utility
- A. total utility is the utility derived from last unit
 - B. total utility increases at a diminishing range
 - C. as consumption increases total utility goes on diminishing
 - D. at saturation point total utility is negative

Answer: B. total utility increases at a diminishing range

9. If negative income effect is less than positive substitution effect : the product will be
- A. a normal good
 - B. an inferior good
 - C. a giffen good
 - D. a complementary good

Answer: B. an inferior good

10. Which of the following statements is true
- A. Hicksian substitution effect is greater than slusky substitution effect
 - B. Slutsky substitution effect is greater than hicksian substitution effect
 - C. Hicksian substitution effect is same and equal to slusky substitution effect
 - D. Hicksian substitution effect is the reverse of slusky substitution effect
- Answer: B. Slutsky substitution effect is greater than hicksian substitution effect

11. According to Hicks, substitution effect is
- A. the movement to a higher indifference curve
 - B. the movement to a lower indifference curve
 - C. the movement along an indifference curve
 - D. the movement to a decreased consumption
- Answer: C. the movement along an indifference curve**

12. Strong ordering means
- A. absence of indifference
 - B. presence of indifference
 - C. no difference between different combinations
 - D. none of the above
- Answer: A. absence of indifference**

13. In the fundamental theorem of consumption and to prove the law of demand, Samuelson uses
- A. compensating variation in income
 - B. the cost difference
 - C. the over compensation effect
 - D. substituting variation in price
- Answer: C. the over compensation effect**

14. If negative income effect is greater than positive substitution effect : price effect will be
- A. Zero
 - B. Negative
 - C. positive

14. If negative income effect is greater than positive substitution effect : price effect will be
- D. positive and greater than one

Answer: B. negative

15. As per indifference curve analysis consumer equilibrium is attained when
- A. slope of indifference curve is constant
- B. slopes of both indifference curve and income price line are equal
- C. slopes of both indifference curve and income price line are opposite
- D. Both income price line and indifference curve are parallel.

Answer: B. slopes of both indifference curve and income price line are equal

16. The slope of a budget line is
- A. the satisfaction level of both the commodities
- B. the income level of the consumer
- C. the price ratio of both the commodities under consideration
- D. price level of a country

Answer: C. the price ratio of both the commodities under consideration

17. At the point of tangency the slope of indifference curve is
- A. differ from point to point
- B. is equal on the other side of the mid-point
- C. is the same
- D. is increasing

Answer: C. is the same

18. The slope of a budget line throughout its length is
- A. the satisfaction level of both the commodities
- B. the income level of the consumer
- C. the price ratio of both the commodities under consideration
- D. price level of a country

Answer: C. the price ratio of both the commodities under consideration

19. The income effect for a commodity is
- A. is always positive
- B. is always negative
- C. depends upon price effect
- D. determines the nature of the commodity

Answer: D. determines the nature of the commodity

20. The substitution effect for a commodity is
- A. is always positive
 - B. depends upon the nature of the commodity
 - C. depends upon price effect
 - D. sometimes negative and sometimes positive

Answer: A. is always positive

21. Price effect is
- A. income effect – substitution effect
 - B. substitution effect – income effect
 - C. income effect + substitution effect
 - D. income effect + substitution effect- negative effects

Answer: C. income effect + substitution effect

22. For a giffen good, when price falls
- A. demand increases at a faster rate
 - B. demand decreases
 - C. demand remains constant
 - D. demand curve has a negative slope

Answer: B. demand decreases

23. Inferior goods are the goods with
- A. falling income effect
 - B. rising income effect
 - C. negative income effect
 - D. positive Marshallian effects

Answer: C. negative income effect

24. Indifference curves are
- A. always parallel
 - B. may be parallel
 - C. may not be parallel
 - D. both b and c

Answer: D. both b and c

25. Revealed preference theory assumes
- A. weak ordering
 - B. strong ordering
 - C. constant ordering
 - D. multiple ordering

Answer: B. strong ordering

25. Revealed preference theory assumes
26. Hicks Allen indifference theory is based on
- A. weak ordering
 - B. strong ordering
 - C. constant ordering
 - D. multiple ordering

Answer: A. weak ordering

27. Income consumption curve of an inferior commodity is
- A. positively sloped
 - B. backward bending
 - C. downward slopping straight line
 - D. showing constant income effect

Answer: B. backward bending

28. In case of a convex indifference curve
- A. Mrs. xy is constant
 - B. Mrs. xy is increasing
 - C. Mrs. xy is negligible
 - D. Mrs. xy is diminishing

Answer: D. Mrs. xy is diminishing

29. 'Higher the indifference curve higher will be level of satisfaction'. The statement is
- A. always true
 - B. always false
 - C. sometimes true and sometimes false
 - D. true only if price effect is positive

Answer: A. always true

30. As per indifference curve analysis, consumer always try to reach
- A. higher indifference
 - B. lower indifference curve
 - C. middle indifference curve
 - D. lower income price line

Answer: A. higher indifference

31. Which method is used by Hicks to eliminate the income effect when price of a product is changed
- A. compensating variation in income
 - B. the cost difference
 - C. the over compensation effect
 - D. substituting variation in price

31. Which method is used by Hicks to eliminate the income effect when price of a product is changed

Answer: A. compensating variation in income

32. The basic doctrine of consumers' surplus is based on

- A. indifference curve analysis
- B. revealed preference theory
- C. law of substitution
- D. law of diminishing marginal utility

Answer: D. law of diminishing marginal utility

33. According to Marshall, the law of diminishing marginal utility

- A. applies on money in the manner in which it applies on commodity
- B. do not applies on money except bank money
- C. does not applies on bank money but applies on cash
- D. applies on all commodities except money

Answer: D. applies on all commodities except money

34. An indifference curve represent

- A. four commodities
- B. less than two commodities
- C. only two commodities
- D. only one commodity

Answer: C. only two commodities

35. Indifference curve is always

- A. concave to the origin
- B. convex to the origin
- C. l shaped
- D. a straight line

Answer: B. convex to the origin

36. Engel curve for giffen good is

- A. positively sloped
- B. negatively sloped
- C. horizontal straight line
- D. vertical straight line

Answer: B. negatively sloped

37. Marginal utility is
- A. always zero
 - B. increases at a diminishing rate
 - C. the utility derived from last unit
 - D. all the above

Answer: C. the utility derived from last unit

38. Total utility is
- A. the sum total of marginal utilities
 - B. entire utility derived from whole consumption
 - C. increases at a diminishing rate
 - D. all the above

Answer: D. all the above

39. When Total utility is increasing at an decreasing rate, marginal utility is
- A. constant
 - B. negative
 - C. increasing
 - D. decreasing

Answer: D. decreasing

40. Other things being equal a decrease in demand can be caused by
- A. a fall in price of the commodity
 - B. a fall in income of the consumer
 - C. a rise in price of the substitute
 - D. none of these

Answer: B. a fall in income of the consumer

41. When price of a product falls, more of it is purchased because of
- A. the substitution effect
 - B. the income effect
 - C. neither substitution effect nor income effect
 - D. both the substitution and income effects

Answer: D. both the substitution and income effects

42. "Utility or satisfaction is a subjective concept; therefore it could only be ranked". The statement supports
- A. cardinal utility theorist
 - B. ordinal utility theorist
 - C. behavioral theorist of the firm
 - D. none of the above

Answer: B. ordinal utility theorist

43. Ordinal utility analysis is otherwise known as
- A. Gossen's second law
 - B. cardinality approach
 - C. indifference curve analysis
 - D. rationality approach

Answer: C. indifference curve analysis

44. Ordinal utility analysis Was developed by
- A. J.R.Hicks & R.J.D. Allen
 - B. Samuelson
 - C. Marshall and Jevons
 - D. Slutsky

Answer: A. J.R.Hicks & R.J.d. Allen

45. Total utility curve
- A. always rises
 - B. first falls then rises
 - C. always falls
 - D. first rises and then falls after reaching its maximum

Answer: D. first rises and then falls after reaching its maximum

46. At saturation point, MU of a commodity is
- A. Positive
 - B. Negative
 - C. Zero
 - D. Increasing

Answer: C. zero

47. A consumer reaches equilibrium when
- A. marginal utility is equal to price
 - B. marginal utility greater than price
 - C. marginal utility less than price
 - D. total utility is equal to price

Answer: A. marginal utility is equal to price

48. Marshalian cardinal utility analysis assumes
- A. marginal utility of money is zero
 - B. marginal utility of money is decreasing
 - C. marginal utility of money is increasing
 - D. marginal utility of money is constant

Answer: D. marginal utility of money is constant

49. When individuals income rises (everything remain the same) his demand for a normal good
- A. Rises
 - B. Falls
 - C. remains the same
 - D. negative

Answer: A. rises

50. When individuals income falls (everything remain the same), his demand for a normal good
- A. rises
 - B. Falls
 - C. remains the same
 - D. negative

Answer: B. falls

51. The concept of utility was introduced by
- A. Marshall
 - B. Hicks and Allen
 - C. Jeremy Bentham
 - D. Gossen

Answer: C. Jeremy Bentham

52. Cardinal utility analysis to consumer equilibrium was developed by
- A. Marshall
 - B. Hicks and Allen
 - C. Jeremy Bentham
 - D. Gossen

Answer: A. Marshall

53. MC at any level of output is given by
- A. slope of TC curve
 - B. slope of TVC curve
 - C. slope of either TC or TVC
 - D. slope of TFC

Answer: C. slope of either TC or TVC

54. If a firm's average cost is 32 Birr at 6 units of output and 34 Birr at 7 unit, which one among the following is the marginal cost of producing the 7th unit
- A. 46
 - B. 2
 - C. 36

54. If a firm's average cost is 32 Birr at 6 units of output and 34 Birr at 7 unit, which one among the following is the marginal cost of producing the 7th unit

D.

Answer: A. 46

55. The cost that cannot be recovered once spent

A. accounting cost

B. fixed cost

C. implicit cost

D. sunk cost

Answer: B. fixed cost

56. The saucer-type of modern Short run Average Variable Cost (SAVC) represents

A. excess capacity

B. managerial costs

C. load factors

D. reserve capacity

Answer: B. managerial costs

57. The Long run Average Cost curve (LAC) in modern cost theory is roughly

A. u shaped

B. saucer shaped

C. l shaped

D. rectangular hyperbola

Answer: D. rectangular hyperbola

58. Under increasing returns to scale, which of the following is the nature of the long run average cost curve?

A. downward sloping

B. upward rising

C. parallel to output axis

D. identical to short run average cost curve

Answer: D. identical to short run average cost curve

59. Which of the following has a U-shape?

A. average fixed cost curve

B. total cost curve

C. average variable cost curve

D. total variable cost curve

Answer: C. average variable cost curve

60. AFC curve will always be

- A. rectangular hyperbola
- B. u shaped
- C. horizontal
- D. downward sloping

Answer» D. downward sloping

[discuss](#)

61. Implicit cost of a factor of production is determined by its

- A. sunk cost
- B. variable cost
- C. fixed cost
- D. opportunity cost

Answer» A. sunk cost

[discuss](#)

62. Economic cost include both

- A. explicit cost and implicit cost
- B. fixed cost and variable cost
- C. explicit cost and prime cost
- D. money cost and sunk cost

Answer» A. explicit cost and implicit cost

[discuss](#)

63. The U shape of MC curve reflects

- A. economies of scale
- B. law of increasing returns
- C. reserve capacity
- D. law of variable proportion

Answer» D. law of variable proportion

[discuss](#)

64. Envelope curve is

- A. long run marginal cost curve
- B. long run average cost curve
- C. total cost curve
- D. none of the above

Answer» D. none of the above

[discuss](#)

65. In long run, which factor of production is fixed?

- A. labour
- B. capital
- C. building
- D. none of the above

Answer» B. capital

[discuss](#)

66. The U shape of the average total cost curve reflects

- A. ldmu
- B. the law of variable proportions
- C. consumer's surplus
- D. reserve capacity

Answer» A. ldmu

[discuss](#)

67. The total fixed cost is a

- A. horizontal straight line
- B. vertical
- C. hyperbola
- D. u shaped

Answer» A. horizontal straight line

[discuss](#)

68. When AC minimum in short run

- A. $ac < mc$
- B. $ac > mc$
- C. $ac = mc$
- D. any of above is possible

Answer» B. $ac > mc$

[discuss](#)

69. The shape of TVC and TC are

- A. rectangular hyperbola
- B. inverse 's' shape
- C. horizontal straight line
- D. l shaped

Answer» A. rectangular hyperbola

[discuss](#)

70. The cost expressed not in terms of money but in terms of efforts of workers undergone for making the commodity

- A. opportunity cost
- B. real cost
- C. sacrifice cost
- D. implicit cost

Answer» C. sacrifice cost

[discuss](#)

71. The MC curve cuts the AC curve at

- A. the maximum point
- B. the initial point
- C. the minimum point
- D. any point

71. The MC curve cuts the AC curve at

Answer» B. the initial point

[discuss](#)

72. The minimum point of ATC is atposition of the minimum point of AVC

- A. right
- B. left
- C. same
- D. all of above can be

Answer» B. left

[discuss](#)

73. If the long run cost curve shifts down wards it is an indication of

- A. technological progress
- B. lower factor prices
- C. both of these
- D. reserve capacity

Answer» C. both of these

[discuss](#)

74. The U shape of the LAC reflects

- A. law of variable proportions
- B. laws of returns to scale
- C. reserve capacity
- D. none of these

Answer» A. law of variable proportions

[discuss](#)

75. A production possibility curve is concave to the point of origin because of

- A. increasing marginal rate of transformation (mrt)
- B. increasing marginal opportunity cost (moc)
- C. both of the above
- D. decreasing marginal rate of transformation

Answer» C. both of the above

76. The deductive method is also called

- A. abstract
- B. analytical
- C. priori method
- D. all the above

Answer» D. all the above

[discuss](#)

77. An Essay on the Nature and Significance of Economic Science was written by

- A. adamsmith

77. An Essay on the Nature and Significance of Economic Science was written by

- B. alfred marshall
- C. lord robbins
- D. samuelson

Answer» C. lord robbins

[discuss](#)

78. The word ‘Micro Economics and Macro Economics’ were first coined by

- A. adamsmith
- B. ragnar frisch
- C. alfred marshall
- D. lord robbins

Answer» B. ragnar frisch

[discuss](#)

79. Excess demand for money, according to Say’s law in the Economy:

- A. Is greater
- B. Is very less
- C. Is equal to zero
- D. There is no relationship between excess demand for money and Say’s Law

Answer» D. There is no relationship between excess demand for money and Say’s Law

[discuss](#)

80. Which of the following is not an assumption of classical theory?

- A. Price flexibility
- B. Unemployment
- C. Say’s law
- D. Neutrality of money

Answer» B. Unemployment

[discuss](#)

81. In classical theory the equality between saving and investment is brought about by:

- A. Rate of interest
- B. Income
- C. Consumption
- D. Multiplier

Answer» A. Rate of interest

[discuss](#)

82. The normal condition of a capitalist economy in classical theory is:

- A. Underemployment
- B. Full employment
- C. General unemployment

82. The normal condition of a capitalist economy in classical theory is:

D. Frictional unemployment

Answer» B. Full employment

[discuss](#)

83. The classical economists believed that the demand for labour is a function of:

A. Total money wages

B. Money wage rate

C. Total real wages

D. Real wage rate

Answer» D. Real wage rate

[discuss](#)

84. In classical theory of employment, there is the possibility of:

A. Voluntary unemployment

B. No unemployment

C. Involuntary unemployment

D. Disguised unemployment

Answer» A. Voluntary unemployment

[discuss](#)

85. The idea that a general cut in wages will finally lead to a state of full employment was suggested by :

A. Keynes

B. Marshall

C. J.B.Say

D. A.C.Pigou

Answer» D. A.C.Pigou

[discuss](#)

86. The aggregate production function implied under classical theory is :

A. Long run

B. Short run

C. No time element

D. None of the above

Answer» A. Long run

[discuss](#)

87. In the Cambridge equation of $M = kPR$, the value of k is:

A. M/V

B. $1/V$

C. V in Fisher's equation

D. None of these

Answer» B. $1/V$

[discuss](#)

88. As a result of an increase in capital, ceteris paribus, ----- the marginal productivity of labour:

- A. Remains constant
- B. Increase
- C. decreases
- D. none of these

Answer» B. Increase

[discuss](#)

89. In the classical theory, one of the following is an important assumption:

- A. Wages and prices are inflexible
- B. There is full employment
- C. Agents are price setters
- D. Adjustment is through quantity.

Answer» B. There is full employment

[discuss](#)

90. In the Fisher's extended equation of exchange $MV = PT$ represents:

- A. Credit money
- B. Primary money
- C. Both primary and credit money
- D. General price level

Answer» A. Credit money

[discuss](#)

91. In Fisher's transaction velocity model, one of the following is not an assumption:

- A. Velocity of circulation of money is constant
- B. The volume of transactions is constant
- C. Full employment
- D. P is considered as an active factor

Answer» D. P is considered as an active factor

[discuss](#)

92. The cash balance equation $M = KPY$ was given by:

- A. Keynes
- B. Pigou
- C. Robertson
- D. Marshall

Answer» D. Marshall

[discuss](#)

93. "Supply creates its own demand" is a law of:

- A. Investment
- B. Inflation
- C. Consumption

93. “Supply creates its own demand “is a law of:

D. Market

Answer» D. Market

[discuss](#)

94. In the equation $MV + MI VI = PT$, ‘M ‘denotes:

A. Velocity of money

B. Money in circulation

C. Bank deposit

D. None of these

Answer» B. Money in circulation

[discuss](#)

95. I classical demand for money, the relationship between money supply and price level is:

A. Proportional

B. Non-proportional

C. Neither proportional nor non-proportional

D. None of these

Answer» B. Non-proportional

[discuss](#)

96. As per classical theory saving is:

A. An increasing function of rate of interest

B. Decreasing function of rate of interest

C. Decreasing function of level of income

D. None of these

Answer» A. An increasing function of rate of interest

[discuss](#)

97. The Cambridge version of the quantity theory of money was developed by:

A. Fisher

B. Alfred Marshall

C. Pigou

D. Keynes

Answer» C. Pigou

[discuss](#)

98. In classical system which of the following keeps the economy at full employment:

A. Level of saving

B. Increase in money supply

C. Adjustment in investment

D. Adjustment in money wages

Answer» D. Adjustment in money wages

[discuss](#)

99. In Fisher's equation of exchange $MV=PT$, the variation of which produces a proportional change in price:

- A. M
- B. V
- C. P
- D. T

Answer» A. M

[discuss](#)

100. According to classical economists, variations in savings are due to:

- A. Level of investment
- B. Rate of interest
- C. Level of employment
- D. None of the above

Answer» B. Rate of interest

101. In classical theory which of the following is found in the economy:

- A. Unemployment
- B. Involuntary unemployment
- C. Less than full employment
- D. Full employment

Answer» D. Full employment

[discuss](#)

102. In $MV=PT$, if M doubles and V and T remain constant, then P will:

- A. Double
- B. 1/2
- C. 1
- D. 4

Answer» A. Double

[discuss](#)

103. Pigou's version of Cambridge equation is:

- A. $M = KP/Y$
- B. $P = KR/M$
- C. $MV = PT$
- D. $MV = MI VI$

Answer» B. $P = KR/M$

[discuss](#)

104. The quantity theory of money was restated by:

- A. Alfred Marshall
- B. Milton Friedman
- C. Irving Fisher
- D. J.M. Keynes

Answer» B. Milton Friedman

[discuss](#)

105. The law which states that supply creates its own demand and overproduction is impossible is known as:

- A. The law of supply
- B. Say's law of market
- C. Law of demand
- D. Law of macro economics

Answer» B. Say's law of market

[discuss](#)

106. Wages and prices do not adjust quickly to restore general equilibrium is a property of

- A. Classical economics
- B. Keynesian economics
- C. Monetary economics
- D. Supply side economics

Answer» B. Keynesian economics

[discuss](#)

107. Classicals treated money as a:

- A. Medium of exchange
- B. Store of value
- C. Both
- D. None

Answer» A. Medium of exchange

[discuss](#)

108. When there is an increase in the autonomous money supply, ceteris paribus, LM shifts:

- A. Leftward
- B. Rightward
- C. No shift
- D. None

Answer» B. Rightward

[discuss](#)

109. An Economic model is a statement of relationship among economic -----

- A. Variables
- B. Phenomena
- C. Development
- D. None of these

Answer» A. Variables

[discuss](#)

110. LM curve shows the equilibrium condition in ----- market

- A. Goods market
- B. Product market

110. LM curve shows the equilibrium condition in ----- market

- C. Money market
- D. None of these

Answer» C. Money market

[discuss](#)

111. Supply creates its own demand is the Basis of:

- A. Classical economics
- B. Keynesian economics
- C. Monetarism
- D. None of these

Answer» A. Classical economics

[discuss](#)

112. The simplest ISLM model consists of:

- A. Two markets
- B. Three markets
- C. Four markets
- D. Five markets

Answer» A. Two markets

[discuss](#)

113. The equilibrium in the product market is represented by which curve?

- A. IS
- B. LM
- C. Demand
- D. Supply curve

Answer» A. IS

[discuss](#)

114. The IS curve has a -----slope

- A. Positive
- B. Negative
- C. Zero
- D. None of these

Answer» B. Negative

[discuss](#)

115. The LM curve has a ----- slope

- A. Positive
- B. Negative
- C. Zero
- D. None of these

Answer» A. Positive

[discuss](#)

116. ISLM model was developed by:

- A. Hicks

116. ISLM model was developed by:

- B. Keynes
- C. Friedman
- D. None of these

Answer» A. Hicks

[discuss](#)

117. The perfectly elastic segment of the LM curve is:

- A. Keynesian range
- B. Classical range
- C. Intermediate range
- D. None of these

Answer» A. Keynesian range

[discuss](#)

118. Which policy is effective in the Classical range?

- A. Monetary policy
- B. Fiscal policy
- C. Incomes policy
- D. None of these

Answer» A. Monetary policy

[discuss](#)

119. Which policy is effective in the Keynesian range?

- A. Monetary policy
- B. Fiscal policy
- C. Incomes policy
- D. None of these

Answer» B. Fiscal policy

[discuss](#)

120. Which policy is effective in the intermediate range?

- A. Monetary policy
- B. Fiscal policy
- C. Both policies
- D. None of these

Answer» C. Both policies

[discuss](#)

121. IS-LM model was developed by:

- A. Keynes
- B. Walras
- C. J.R.Hicks
- D. Don-Patinkin

Answer» C. J.R.Hicks

[discuss](#)

122. Frictional unemployment exists:

- A. When there is a decrease in real GDP
- B. Because it takes time to find a job when one is first entering the labour force
- C. As a result of technological change
- D. When an individual retires

Answer» B. Because it takes time to find a job when one is first entering the labour force

[discuss](#)

123. The natural rate of unemployment equals the sum of those who are:

- A. Frictionally and structurally unemployed
- B. Frictionally and cyclically unemployed
- C. Structurally and cyclically unemployed
- D. Frictionally structurally and cyclically unemployed

Answer» A. Frictionally and structurally unemployed

[discuss](#)

124. The marginal productivity of labour:

- A. Increases when the price of the good sold increases, ceteris paribus
- B. Decreases when there is an adverse supply shock, ceteris paribus
- C. Increase when more workers are hired, ceteris paribus
- D. Decreases when there is an increase in the quantity of capital, ceteris paribus

Answer» B. Decreases when there is an adverse supply shock, ceteris paribus

[discuss](#)

125. When saving is greater than investment in a two-sector model,

- A. Output should increase
- B. Output should decrease
- C. Output should not change
- D. None of these

Answer» B. Output should decrease

126. When output exceeds spending:

- A. There is unsold output, and level of output will fall
- B. There is unsold output, and level of output will rise
- C. There is unsold output, and level of spending will rise
- D. There is no unsold output since the level of spending will rise

Answer» A. There is unsold output, and level of output will fall

[discuss](#)

127. When investment is negatively related to the rate of interest, equilibrium output in the goods market:

- A. Is unrelated to the rate of interest
- B. Is inversely related to the rate of interest
- C. Is positively related to the rate of interest

127. When investment is negatively related to the rate of interest, equilibrium output in the goods market:

D. Falls as the rate of interest decreases

Answer» B. Is inversely related to the rate of interest

[discuss](#)

128. Simultaneous equilibrium in the money (LM) and goods (IS) market exists:

A. At an unlimited number of output levels and rates of interest

B. At only one output level and rate of interest

C. At an unlimited number of output levels and only one rate of interest

D. At only one output level and an unlimited number of rates of interest

Answer» B. At only one output level and rate of interest

[discuss](#)

129. In which of the following situations will an increase in the money supply have no effect upon output?

A. LM is steeply sloped and IS is steeply sloped

B. LM is vertical and IS is steeply sloped

C. LM is steeply sloped and IS is vertical

D. LM is relatively flat as is IS

Answer» C. LM is steeply sloped and IS is vertical

[discuss](#)

130. Policy Neutrality is the main proposition of:

A. Supply Side Economics.

B. Keynesian Economics

C. Monetarism

D. Rational expectations hypothesis

Answer» D. Rational expectations hypothesis

[discuss](#)

131. Who invented the General Equilibrium analysis?

A. L. Walras.

B. W. Leontief

C. J.M.Keynes.

D. None of these.

Answer» A. L. Walras.

[discuss](#)

132. Employment equilibrium in the Classical theory is achieved through:

A. Wage-Price flexibility.

B. Changes in aggregate demand

C. Changes in aggregate supply

D. None of these.

Answer» A. Wage-Price flexibility.

[discuss](#)

133. Market does not clear is a proposition of:

- A. Neoclassical theory.
- B. Keynesian Economics
- C. Monetarism
- D. Rational expectations

Answer» B. Keynesian Economics

[discuss](#)

134. The interest rate paid on bonds is known as:

- A. Call rate
- B. Coupon rate
- C. Repo rate
- D. Bank rate

Answer» B. Coupon rate

[discuss](#)

135. The monetary policy is completely ineffective when the LM curve is:

- A. Vertical .
- B. Horizontal.
- C. Upward sloping.
- D. Downward sloping

Answer» B. Horizontal.

[discuss](#)

136. Changes in the subjective or objective factors

- A. Never affect consumption function
- B. Always cause downward shift in consumption function
- C. Always cause upward shift in consumption function
- D. They cause upward or downward shifts in consumption function

Answer» D. They cause upward or downward shifts in consumption function

[discuss](#)

137. Saving is a function of

- A. Export
- B. Import
- C. Investment
- D. Income

Answer» D. Income

[discuss](#)

138. Entrepreneurs will have no tendency to expand or contract output and employment when

- A. $AD > AS$
- B. $AD < AS$
- C. $AD = AS$
- D. None of the above

Answer» C. $AD = AS$

[discuss](#)

139. The slope of the consumption function is called

- A. MPC
- B. MPS
- C. APC
- D. APS

Answer» A. MPC

[discuss](#)

140. The concept of effective demand is associated with the name of

- A. Marshall
- B. Keynes
- C. Krugman
- D. Say

Answer» B. Keynes

[discuss](#)

141. In a closed economy, the value of multiplier , when MPC is 0.90

- A. 25
- B. 90
- C. 10
- D. 9

Answer» C. 10

[discuss](#)

142. Income is a ----- variable

- A. Flow
- B. Discontinuous
- C. Stock
- D. None of the above

Answer» A. Flow

[discuss](#)

143. Ratio of consumption expenditure to any particular level of income

- A. MPS
- B. APS
- C. APC
- D. MPC

Answer» C. APC

[discuss](#)

144. Psychological law of consumption states that the value of MPC is lies between zero and

- A. 1
- B. 2
- C. 3
- D. 4

144. Psychological law of consumption states that the value of MPC is lies between zero and

Answer» A. 1

[discuss](#)

145. Net investment is also known as

- A. Depreciation
- B. Induced investment
- C. Autonomous investment
- D. Capital formation

Answer» D. Capital formation

[discuss](#)

146. In the saving function $S = -a + (1-b)Y$, the term 'b' denotes

- A. Saving
- B. MPC
- C. MPS
- D. APS

Answer» B. MPC

[discuss](#)

147. Who propounded Psychological law of consumption

- A. Adam Smith
- B. Ricardo
- C. Keynes
- D. Pigou

Answer» C. Keynes

[discuss](#)

148. When $MPS = 0.2$, MPC will be

- A. 0.8
- B. 0.2
- C. 1.2
- D. 20

Answer» A. 0.8

[discuss](#)

149. In the linear consumption function $C = a + bY$, coefficient 'a' denotes

- A. MPC
- B. APC
- C. Autonomous consumption
- D. Induced consumption

Answer» C. Autonomous consumption

[discuss](#)

150. According to Keynes, rising aggregate income is always associated with

- A. Higher saving rate

150.	According to Keynes, rising aggregate income is always associated with
B.	Higher import
C.	Lower export
D.	Low production
Answer» A. Higher saving rate	

MICROECONOMICS II

1.	Of ‘real wages’ and ‘money wages’
A.	The former is a wider concept than the latter
B.	The latter is a wider concept than the former
C.	Both concept mean the same thing
D.	All of the above
Answer» A. The former is a wider concept than the latter	

[discuss](#)

2.	The concept of Quasi-rent mean
A.	The rent to the workers
B.	The rent shared by the Landlord and workers
C.	The interest paid to the entrepreneur
D.	The return to a factor of production which is fixed in supply in the short period

Answer» D. The return to a factor of production which is fixed in supply in the short period

[discuss](#)

3.	The return to a factor of production which is fixed in supply in the short period is called
A.	Scarcity rent
B.	Economic rent
C.	Quasi-rent
D.	Contractual rent

Answer» C. Quasi-rent

[discuss](#)

4.	The marginal productivity theory of distribution was firstly formulated in its complete form by
A.	Adam Smith
B.	J. S. Mill
C.	J. B. Clark
D.	David Ricardo

Answer» C. J. B. Clark

[discuss](#)

5.	The ‘iron law of wages’ is
A.	The wage-fund theory
B.	The marginal productivity theory of wages
C.	Collective bargaining
D.	The subsistence theory of wages
Answer» D. The subsistence theory of wages	
discuss	
6.	According to Prof Knight, profit is the reward for
A.	Innovation
B.	Capital
C.	Foreseeable risks
D.	Uncertainty bearing
Answer» D. Uncertainty bearing	
discuss	
7.	The uncertainty-bearing theory of profit was propounded by
A.	F. H. Knight
B.	F. B. Hawley
C.	P. A. Samuelson
D.	Joseph Schumpeter
Answer» A. F. H. Knight	
discuss	
8.	Which of the following is not included in the assumptions of Clark’s marginal productivity of distribution
A.	Perfect competition
B.	Constant population
C.	Constant amount of capital
D.	Labour is heterogeneous
Answer» D. Labour is heterogeneous	
discuss	
9.	Marginal productivity theory is also called
A.	Real theory
B.	Classical theory
C.	Monetary theory
D.	None of the above
Answer» A. Real theory	
discuss	
10.	Subsistence theory of wages was used by
A.	Karl Marx
B.	Robinson
C.	J. S. Mill
D.	David Ricardo
Answer» D. David Ricardo	

[discuss](#)

11. Profit is also known as

- A. Contractual rent
- B. Residual income
- C. Net income
- D. None of the above

Answer» B. Residual income

[discuss](#)

12. Changes in the rate of interest affect the amount of money held for

- A. transaction motive
- B. precautionary motive
- C. speculative motive
- D. normal motive

Answer» C. speculative motive

[discuss](#)

13. The marginal productivity theory of distribution is associated with

- A. Adam Smith
- B. Lionel Robbins
- C. J. B. Clark
- D. Bergson

Answer» C. J. B. Clark

[discuss](#)

14. Who has contributed the modern theory of interest rate determination?

- A. Paul A. Samuelson
- B. Gunnar Myrdal
- C. Knut Wicksell
- D. J.R. Hicks

Answer» D. J.R. Hicks

[discuss](#)

15. Whose name is associated with the “Uncertainty-bearing theory of profit”?

- A. J. Schumpeter
- B. F.H. Knight
- C. J.B. Clark
- D. F.W. Watker

Answer» B. F.H. Knight

[discuss](#)

16. Who has sought to measure Consumer’s Surplus with the help of indifference curve technique?

- A. Edgeworth
- B. Alfred Marshall

16. Who has sought to measure Consumer's Surplus with the help of indifference curve technique?

C. J.R. Hick

D. Pareto

Answer» C. J.R. Hick

[discuss](#)

17. Which among the following is NOT an assumption of Pareto optimality?

A. Every consumer wishes to maximize his level of satisfaction.

B. All the factors of production are used in the production of every commodity.

C. Conditions of perfect competition exist making all the factors of production perfectly mobile

D. The concept of utility is cardinal and cardinal utility function of every consumer is given.

Answer» D. The concept of utility is cardinal and cardinal utility function of every consumer is given.

[discuss](#)

18. When a firm's average revenue is equal to its average cost, it gets _____.

A. Sub normal profit

B. Normal profit

C. Abnormal profit

D. Super profit

Answer» B. Normal profit

[discuss](#)

19. Given the price, if the cost of production increases because of higher price of raw materials, the supply

A. Decrease

B. Increase

C. Remains the same

D. Any of the above

Answer» A. Decrease

[discuss](#)

20. Under _____, price is determined by the interaction of total demand and total supply in the market.

A. Perfect competition

B. Monopoly

C. Imperfect competition

D. Monopolistic Competition

Answer» A. Perfect competition

[discuss](#)

21. Standard of living of workers depends upon their

- A. Nominal wages
- B. Real wages
- C. Average product
- D. Govt. policy

Answer» B. Real wages

[discuss](#)

22. Under Marginal productivity Theory, reward for labour is determined by

- A. Owner
- B. Labour
- C. Government
- D. Marginal Product

Answer» D. Marginal Product

[discuss](#)

23. The economist Ricardo argued that prices were _____ because land rents were _____

- A. High, High
- B. Low, Low
- C. Low, High
- D. High, Low

Answer» D. High, Low

[discuss](#)

24. As for the cost of production of an individual farmer, the rent paid by him

- A. Enters into the price of his product
- B. None of these
- C. Does not enter into price of his product
- D. Is unjustified

Answer» A. Enters into the price of his product

[discuss](#)

25. He presented a theory of rent

- A. Malthus
- B. Prof. Knight
- C. Ricardo
- D. Marshall

Answer» C. Ricardo

26. The following affect rent EXCEPT

- A. Better location
- B. Fertility of land
- C. Cleverness of landlords
- D. Scarcity of land

25. He presented a theory of rent

Answer» C. Cleverness of landlords

[discuss](#)

27. These are kinds of rent EXCEPT

- A. Differential rent
- B. Scarcity rent
- C. Mobility rent
- D. Location rent

Answer» C. Mobility rent

[discuss](#)

28. This is capital:

- A. Money
- B. Forests
- C. Machinery
- D. Trademarks

Answer» C. Machinery

[discuss](#)

29. According to Keynes interest is a payment for

- A. Consumer's preference
- B. Producer's preference
- C. Liquidity preference
- D. State Bank's preference

Answer» C. Liquidity preference

[discuss](#)

30. Interest is paid because

- A. Capital is scarce
- B. Capital is productive
- C. Capital is attractive
- D. Capital is surplus

Answer» A. Capital is scarce

[discuss](#)

31. With decrease in price of bonds, rate of interest:

- A. Decreases
- B. Increases
- C. Does not change
- D. None of the above

Answer» B. Increases

[discuss](#)

32. Every factor of production gets reward equal to its:

- A. Cost
- B. Marginal product
- C. Price

32. Every factor of production gets reward equal to its:

D. Increasing return

Answer» B. Marginal product

[discuss](#)

33. According to Keynes, interest is a payment for:

A. Use of durable goods

B. Use of capital

C. Use of money

D. Use of land

Answer» C. Use of money

[discuss](#)

34. In economics capital refers to:

A. Money

B. High quality goods

C. Trade mark

D. Machinery and factories

Answer» D. Machinery and factories

[discuss](#)

35. Professor Knight is famous for his theory of:

A. Rent

B. Profit

C. Population

D. Wages

Answer» B. Profit

[discuss](#)

36. Profits:

A. Are residual payment

B. Are pre-determined

C. Are fixed contract

D. Are always higher than wages

Answer» A. Are residual payment

[discuss](#)

37. Profits:

A. Are lower in the long run than in the short run

B. Can be negative

C. Are less in perfect competition than in monopoly

D. All of the above

Answer» D. All of the above

[discuss](#)

38. Profits arise because an entrepreneur:

A. Prepares plan

B. Innovates

38. Profits arise because an entrepreneur:

- C. Lends money
- D. Both (a) and (b)

Answer» D. Both (a) and (b)

[discuss](#)

39. Gross profit does NOT include:

- A. Rent of land owned by the firm
- B. Pure profit
- C. Interest on capital owned by firm
- D. Taxes

Answer» D. Taxes

[discuss](#)

40. Some economists say that profit earner is a kind of:

- A. Wage earner
- B. Rent receiver
- C. Interest receiver
- D. Govt. officer

Answer» A. Wage earner

[discuss](#)

41. Risks in the business arise because of:

- A. Introduction of the new products
- B. Uncertain policy of rival firms
- C. Changes in tastes
- D. All the above

Answer» D. All the above

[discuss](#)

42. According to Professor Knight risks are of _____ kinds:

- A. two
- B. three
- C. four
- D. many

Answer» A. two

[discuss](#)

43. This is not a function of the entrepreneur:

- A. Supervise
- B. Innovate
- C. Lend money
- D. Prepare plan

Answer» C. Lend money

[discuss](#)

44. According to Modern Theory of Rent, rent accrues to

- A. Land only

- 44. According to Modern Theory of Rent, rent accrues to**
- B. Any factor
 - C. Capital only
 - D. Labour only

Answer» B. Any factor

[discuss](#)

- 45. An increase in the wage rate:**
- A. Will usually lead to more people employed
 - B. Will decrease total earnings of employees if the demand for labour is wage elastic
 - C. Is illegal in a free market
 - D. Will cause a shift in the demand for labour

Answer» B. Will decrease total earnings of employees if the demand for labour is wage elastic

[discuss](#)

- 46. A decrease in the supply of labour is likely to lead to:**
- A. A lower equilibrium wage and lower quantity of labour employed
 - B. A lower equilibrium wage and higher quantity of labour employed
 - C. A higher equilibrium wage and higher quantity of labour employed
 - D. A higher equilibrium wage and lower quantity of labour employed

Answer» D. A higher equilibrium wage and lower quantity of labour employed

[discuss](#)

- 47. In order to maximize profits, a firm should produce at the output level for which**
- A. Average cost is minimised
 - B. Marginal cost equals marginal revenue
 - C. marginal cost is minimised
 - D. All of the above

Answer» B. Marginal cost equals marginal revenue

[discuss](#)

- 48. A market system where there is only one buyer, is known as.**
- A. Monopoly
 - B. Monopolistic competition
 - C. Monopsony
 - D. Monopsonistic competition

Answer» C. Monopsony

[discuss](#)

- 49. The market, where the services of factor of production are bought and sold is, is**
- A. Product market
 - B. Factor market
 - C. Commodity market

49. The market, where the services of factor of production are bought and sold is, is

D. Monopoly market

Answer» B. Factor market

[discuss](#)

50. Factor prices are determined in the market under forces of

A. Elasticity of demand

B. Elasticity of supply

C. Elasticity and supply

D. None of the above

Answer» D. None of the above

51. The firm is in equilibrium in the factor market when it employs units of labour upto the point where

A. The marginal revenue product of labour is equal to its marginal cost

B. The marginal revenue product of labour is more than its marginal cost

C. The marginal revenue product of labour is less than its marginal cost

D. none

Answer» A. The marginal revenue product of labour is equal to its marginal cost

[discuss](#)

52. A market system, where there is only one seller is known as

A. Monopoly

B. Monopolistic competition

C. Oligopoly

D. Monopsony

Answer» A. Monopoly

[discuss](#)

53. Equilibrium in the factor market achieved at the factor price and factor quantity is given by

A. The intersection of the factor demand curve and the factor supply curve

B. The sum total of the elasticities of demand and supply

C. The product of the elasticities of demand and supply

D. none

Answer» A. The intersection of the factor demand curve and the factor supply curve

[discuss](#)

54. Monopsony means

A. A single seller

B. A single buyer

C. Large number of buyers

D. None of the above

Answer» B. A single buyer

[discuss](#)

55. Monopoly means

- A. A single seller
- B. A single buyer
- C. Large number of buyers
- D. None of the above

Answer» A. A single seller

[discuss](#)

56. Factor prices are determined in the factor market under the forces of

- A. Marginal productivity
- B. Elasticity of demand
- C. Elasticity of supply
- D. Demand and supply

Answer» D. Demand and supply

[discuss](#)

57. The labour market equilibrium determines the wage rate and

- A. Investment
- B. Employment
- C. Savings
- D. Profits

Answer» B. Employment

[discuss](#)

58. Equilibrium conditions for factor market is

- A. Demand for factors is equal to supply of factors
- B. Demand for factors is less than supply of factors
- C. Demand for factors is more than supply of factors
- D. None of the above

Answer» A. Demand for factors is equal to supply of factors

[discuss](#)

59. Demand for factor of production is

- A. Supplementary demand
- B. Intermediate goods
- C. Derived demand
- D. Complementary demand

Answer» C. Derived demand

[discuss](#)

60. Factor market will be in equilibrium when

- A. Demand for factors is less than its supply
- B. Demand for factors is equal to supply of factors
- C. Supply of factors is less than for it
- D. All of the above

Answer» B. Demand for factors is equal to supply of factors

[discuss](#)

61. Which of the following is not a factor of production?

- A. Land
- B. Labour
- C. Money
- D. Capital

Answer» C. Money

[discuss](#)

62. A monopolist maximizes profit by producing the quantity at which

- A. marginal revenue equals marginal cost.
- B. marginal revenue equals price.
- C. marginal cost equals price.
- D. marginal cost equals demand.

Answer» A. marginal revenue equals marginal cost.

[discuss](#)

63. The supply of a good refers to:

- A. Stock available for sale
- B. Total stock in the warehouse
- C. Actual Production of the good
- D. Quantity of the good offered for sale at a particular price per unit of time

Answer» D. Quantity of the good offered for sale at a particular price per unit of time

[discuss](#)

64. The cost of one thing in terms of the alternative given up is called:

- A. Real cost
- B. Opportunity cost
- C. Production cost
- D. Physical cost

Answer» B. Opportunity cost

[discuss](#)

65. The producer's demand for a factor of production is governed by the ___ of that factor.

- A. Price
- B. Marginal Productivity
- C. Availability
- D. Profitability

Answer» B. Marginal Productivity

[discuss](#)

66. Under conditions of perfect competition in the product market:

- A. $MRP = VMP$
- B. $MRP > VMP$
- C. $VMP > MRP$
- D. None of the above

66. Under conditions of perfect competition in the product market:

Answer» A. $MRP = VMP$

[discuss](#)

67. In a perfectly competitive market a firm in the long run will be in equilibrium when:

A. $AC = MC$

B. $AR = MR$

C. $MR = MC$

D. $Price = AR = MR = AC = MC$

Answer» D. $Price = AR = MR = AC = MC$

[discuss](#)

68. Which of the following is a characteristic of capital as a factor of production?

A. It is fixed in supply

B. It never depreciates

C. It is a passive factor of production

D. It is an active factor of production

Answer» C. It is a passive factor of production

[discuss](#)

69. On which law of consumption the concept of consumer's surplus is based?

A. Engel's law

B. Law of demand

C. First law of Gossen

D. Second law of Gossen

Answer» C. First law of Gossen

[discuss](#)

70. The relation that the law of demand for factor defines is.

A. Income and quantity demanded of a factor

B. Price and quantity of a factor

C. Income and price of a factor

D. Quantity demanded and quantity supplied of a factor

Answer» B. Price and quantity of a factor

[discuss](#)

71. Union leaders are in a better position to bargain for higher wages if demand for labour is

A. Elastic

B. Inelastic

C. Very large

D. Permanent

Answer» B. Inelastic

[discuss](#)

72. Sometimes the supply curve of labour ends:

- A. Downward
- B. Upward
- C. Backward
- D. Firstly upward and then downward

Answer» C. Backward

[discuss](#)

73. A firm maximizes profit if:

- A. $MRP = \text{Wage rate}$
- B. MRP is rising
- C. $MRP = ARP$
- D. None of these

Answer» A. $MRP = \text{Wage rate}$

[discuss](#)

74. The opportunity cost of a machine which can produce only one product is:

- A. Low
- B. Infinite
- C. High
- D. Medium

Answer» A. Low

[discuss](#)

75. When price is below equilibrium level, there will be:

- A. Surplus commodity in the market
- B. Supply curve will shift
- C. Demand curve will shift
- D. Shortage of commodity in the market

Answer» D. Shortage of commodity in the market

76. If equilibrium price rises but equilibrium quantity remains unchanged, the cause is:

- A. Supply and demand both decrease equally
- B. Supply and demand both increase equally
- C. Supply decreases and demand increases
- D. Supply increases and demand decreases

Answer» C. Supply decreases and demand increases

[discuss](#)

77. A decrease in demand causes the equilibrium price to:

- A. Rise
- B. Fall
- C. Remain constant

77. A decrease in demand causes the equilibrium price to:

D. Indeterminate

Answer» B. Fall

[discuss](#)

78. Price of a product is determined in a free market:

A. By demand for the product

B. By supply of the product

C. By both demand and supply

D. By the government

Answer» C. By both demand and supply

[discuss](#)

79. In market equilibrium, supply is vertical line. The downward sloping demand curve shifts to the rights. Then,

A. Price will rise

B. Quantity rises

C. Price remains same

D. Price will fall

Answer» A. Price will rise

[discuss](#)

80. A rise in supply and demand in equal proportion will result in:

A. Increase in equilibrium price and decrease in equilibrium quantity

B. Decrease in equilibrium price and increase in equilibrium quantity

C. No change in equilibrium price and increase in equilibrium quantity

D. Increase in equilibrium price and no change in equilibrium quantity

Answer» C. No change in equilibrium price and increase in equilibrium quantity

[discuss](#)

81. Every factor of production gets reward equal to:

A. Value of average product

B. Value of marginal product

C. Value of total product

D. Total revenue

Answer» B. Value of marginal product

[discuss](#)

82. Under perfect competition, demand for a factor is its:

A. MRP curve

B. ARP curve

C. TRP curve

D. $TR - TC$

Answer» A. MRP curve

[discuss](#)

83. We should employ units of a factor to a point where:

A. MR is negative

83. We should employ units of a factor to a point where:

- B. MP is equal to price of the factor
- C. MP is positive
- D. MP is rising

Answer» B. MP is equal to price of the factor

[discuss](#)

84. If marginal product of labour rises because of new technology:

- A. Wages will rise
- B. Wages will fall
- C. Wages will be unaffected
- D. May rise or fall

Answer» A. Wages will rise

[discuss](#)

85. Increasing the minimum wage for workers will:

- A. Solve the unemployment problem
- B. Result in scarcity of workers
- C. Cause a substitution of capital for labour
- D. Decrease the MP of those workers

Answer» C. Cause a substitution of capital for labour

[discuss](#)

86. The price of capital is

- A. money
- B. Interest
- C. profits
- D. wages

Answer» B. Interest

[discuss](#)

87. If $MRP > \text{Price of the factor}$: firm should hire

- A. less factors
- B. more factors
- C. the same factors
- D. All of the above

Answer» B. more factors

[discuss](#)

88. If $MRP = \text{Price of the factor}$: firm should _____ at the unit of factor

- A. less factors
- B. more factors
- C. stop hiring more
- D. All of the above

Answer» C. stop hiring more

[discuss](#)

89. If $MRP < P$ of the factor, firm should hire

- A. less factors
- B. more factors
- C. the same factors
- D. All of the above

Answer» A. less factors

[discuss](#)

90. The labor market equilibrium determines the wage rate and

- A. market
- B. employment
- C. money
- D. interest

Answer» B. employment

[discuss](#)

91. Union leaders are in a worse position to bargain for higher wages if demand for labour is

- A. perfectly Elastic
- B. perfectly Inelastic
- C. Very large
- D. Permanent

Answer» A. perfectly Elastic

[discuss](#)

92. The concept of social optimum was introduced in Welfare Economics by

- A. Vilfredo Pareto
- B. A. C. Pigou
- C. Adam Smith
- D. A. Marshall

Answer» A. Vilfredo Pareto

[discuss](#)

93. An ethical or value judgement must be made in order to derive the

- A. Transformation curve
- B. Grand utility possibly curve
- C. Consumption contract curve
- D. Social welfare function

Answer» D. Social welfare function

[discuss](#)

94. According to Kaldor-Hicks compensation criteria, the proposed change will increase the social welfare if

- A. The gains are equal to the losses
- B. The gains are greater than the losses
- C. The losses are greater than the gains

94. According to Kaldor-Hicks compensation criteria, the proposed change will increase the social welfare if

D. None of the above

Answer» B. The gains are greater than the losses

[discuss](#)

95. The concept of Social Welfare function was firstly introduced by

A. Pareto

B. Kaldor

C. Bergson

D. Samuelson

Answer» C. Bergson

[discuss](#)

96. The first condition of which economist states that welfare is said to increase when national income increases

A. Kaldor-Hicks

B. Adam Smith

C. A. C. Pigou

D. Prof . Bergson

Answer» C. A. C. Pigou

[discuss](#)

97. Compensation criterion principle is associated with the name of

A. Kaldor-Hicks

B. Vilfredo Pareto

C. A. C. Pigou

D. Prof . Bergson

Answer» A. Kaldor-Hicks

[discuss](#)

98. Who proclaimed the ‘doctrine of invisible hand’?

A. Adam Smith

B. A. C. Pigou

C. Kaldor-Hicks

D. V. Pareto

Answer» A. Adam Smith

[discuss](#)

99. Social Welfare function is a function of

A. All the individuals constituting the society

B. All consumers excluding producers

C. Only sample of individuals in society

D. None of the above

Answer» A. All the individuals constituting the society

[discuss](#)

100. "Social welfare increases when transfer of real income from the rich to poor increases" is a statement given by

- A. Kaldor-Hicks
- B. A. C. Pigou
- C. Pareto
- D. Prof. Bergson

Answer» B. A. C. Pigou

101. Bergson's name is associated with

- A. Social welfare function
- B. Pareto Optimality criterion
- C. Compensation criterion
- D. Welfare maximization criterion

Answer» A. Social welfare function

[discuss](#)

102. Which among the following is NOT a correct statement?

- A. Welfare economics is based on value judgments.
- B. Welfare economics is also called 'economics with a heart'.
- C. Welfare economics focuses on questions about equity as well as efficiency.
- D. The founder of Welfare economics was Alfred Marshall.

Answer» D. The founder of Welfare economics was Alfred Marshall.

[discuss](#)

103. The statement "The unemployment rate for teens is higher than that for adults" is

- A. A normative statement.
- B. A positive statement
- C. A political statement.
- D. An ethical statement.

Answer» B. A positive statement

[discuss](#)

104. When the allocation of resources is Pareto efficient

- A. society is providing the greatest good to the greatest number.
- B. no consumer would prefer someone else's consumption bundle to his or her own.
- C. it is not feasible to make someone better off without making someone worse off.
- D. it is feasible to make someone better off without making someone worse off.

Answer» C. it is not feasible to make someone better off without making someone worse off.

[discuss](#)

105. If some allocation of resources is Pareto efficient, then that allocation satisfies:

- A. allocative efficiency and productive efficiency.
- B. allocative efficiency and distributive efficiency.
- C. productive efficiency and distributive efficiency.
- D. allocative efficiency, productive efficiency, and distributive efficiency.

Answer» D. allocative efficiency, productive efficiency, and distributive efficiency.

[discuss](#)

106. When two commodities X and Y must be allocated among consumers, a necessary condition for distributive efficiency is that:

- A. all firms be price takers.
- B. all firms minimize cost.
- C. commodity X must be allocated to the consumers with the largest values of MRS_{XY}
- D. the marginal rates of substitution MRS_{XY} for all consumers must be equal.

Answer» D. the marginal rates of substitution MRS_{XY} for all consumers must be equal.

[discuss](#)

107. The necessary condition for allocative efficiency is that each commodity be produced in an amount that makes the marginal benefit to society of the last unit produced equal to the marginal cost to society of that last unit. The satisfaction of this condition in a market economy relies on the assumptions of:

- A. utility maximization, profit maximization, and perfect competition.
- B. utility maximization and profit maximization, but not perfect competition.
- C. profit maximization and perfect competition, but not utility maximization.
- D. utility maximization and perfect competition, but not profit maximization.

Answer» A. utility maximization, profit maximization, and perfect competition.

[discuss](#)

108. The Fundamental Theorem of Welfare Economics:

- A. shows that the allocation of resources generated by a complete system of perfectly competitive markets results in all consumers attaining the same utility level.
- B. refers to the biblical observation that "the poor ye shall always have with you."
- C. implies that no intervention in the workings of markets can be justified on efficiency grounds.
- D. holds that the allocation of resources generated by a complete system of perfectly competitive markets is Pareto efficient.

Answer» D. holds that the allocation of resources generated by a complete system of perfectly competitive markets is Pareto efficient.

[discuss](#)

109. If an economy operates on its production possibility curve, then the allocation of resources in that economy satisfies:

- A. allocative efficiency.
- B. distributive efficiency.
- C. Pareto efficiency.
- D. productive efficiency.

Answer» D. productive efficiency.

[discuss](#)

110. If a brother and sister return home from trick-or-treating on Christmas and engage in a series of voluntary trades of candy, we can conclude that:

- A. the initial allocation of candy between them was distributively inefficient.
- B. the initial allocation of candy between them was distributively efficient.
- C. their preferences must be different.
- D. the candy they collected around the neighborhood must have been different.

Answer» A. the initial allocation of candy between them was distributively inefficient.

[discuss](#)

111. Growth of GNP as A Criterion of Welfare was advocated by

- A. Kaldor-Hicks
- B. Adam Smith
- C. A. C. Pigou
- D. Prof . Bergson

Answer» B. Adam Smith

[discuss](#)

112. Welfare is improved when ‘the greatest good (is secured) for the greatest number’ is a statement given by

- A. Kaldor-Hicks
- B. Adam Smith
- C. Jeremy Bentham
- D. Prof . Bergson

Answer» C. Jeremy Bentham

[discuss](#)

113. A situation in which it is impossible to make anyone better-off without making someone worse-off is said to be

- A. bentham Optimal
- B. Pareto-optimal
- C. Hicks Optimal
- D. Bergson Optimal

Answer» B. Pareto-optimal

[discuss](#)

114. The concept of ‘Social Welfare Function’ was propounded by A. Bergson in his article ‘A Reformulation of Certain Aspects of Welfare Economics’ published in the year 1938

- A. 1932
- B. 1935
- C. 1938
- D. 1942

Answer» C. 1938

[discuss](#)

115. The locus of the various physically attainable utility combinations of two persons when the factor endowments, state of technology and preference orders of the individuals are given.

- A. grand utility possibility frontier
- B. Maximum utility frontier
- C. Pareto Optimality frontier
- D. Hicks Utility Frontier

Answer» A. grand utility possibility frontier

[discuss](#)

116. A famous welfare economics book called, “Economics of Welfare” was written by

- A. Kaldor-Hicks
- B. Adam Smith
- C. A. C. Pigou
- D. Prof . Bergson

Answer» C. A. C. Pigou

[discuss](#)

117. Who defines economic welfare as “that part of social (general) welfare that can be brought directly or indirectly into relation with the measuring rod of money.”

- A. Kaldor-Hicks
- B. A. C. Pigou
- C. Pareto
- D. Prof . Bergson

Answer» B. A. C. Pigou

[discuss](#)

118. Kaldor-Hicks compensation principle can be explained with the help of

- A. Utility possibility curve
- B. Indifference curve
- C. Equal product curve
- D. Kuznet’s curve

Answer» A. Utility possibility curve

[discuss](#)

119. Welfare Economics is generally accepted as

- A. Positive science
- B. Normative science
- C. Both of the above
- D. None of the above

Answer» B. Normative science

[discuss](#)

120. According to AC Pigou, any reorganization of the economy which increases the share of the poor without reducing the national income is also considered an

- A. decrease in social welfare
- B. reduction in social welfare
- C. improvement in social welfare
- D. None of the above

Answer» C. improvement in social welfare

[discuss](#)

121. In Pareto welfare economics, Efficiency of distribution of commodities among consumers is related to

- A. efficiency in production
- B. efficiency in exchange
- C. efficiency in product-mix
- D. All of the above

Answer» B. efficiency in exchange

[discuss](#)

122. In Pareto welfare economics, Efficiency in the allocation of factors among commodities is related to

- A. efficiency in production
- B. efficiency in exchange
- C. efficiency in product-mix
- D. All of the above

Answer» C. efficiency in product-mix

[discuss](#)

123. In Pareto welfare economics, Efficiency of the allocation of factors among firms is related to

- A. efficiency in production
- B. efficiency in exchange
- C. efficiency in product-mix
- D. All of the above

Answer» A. efficiency in production

[discuss](#)

124. The marginal condition for a Pareto-optimal allocation of factors requires that the _____ between labour and capital be equal for all commodities produced by different firms.

- A. MRS
- B. MRTS
- C. DMR
- D. MC

Answer» B. MRTS

[discuss](#)

125. The marginal condition for a Pareto-optimal or -efficient distribution of commodities among consumers requires that the MRS between _____ be equal for all consumers.

- A. Two factors
- B. Two goods
- C. Two consumers
- D. Two producers

Answer» B. Two goods

126. If any policy change benefits any one section of the society (gainers) to such an extent that it is better off even after the payment of compensation to the other sections of the society (losers) out of the benefits received, then that change leads to

- A. decrease in social welfare
- B. Neither decrease nor increase in social welfare
- C. increase in social welfare
- D. None of the above

Answer» C. increase in social welfare

[discuss](#)

LQ

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127. Who among the following economist accepted growth of GNP as a criterion of Social Welfare

- A. Nicholas Kaldor
- B. Adam Smith
- C. Jeremy Bentham
- D. Ohlin

Answer» B. Adam Smith

[discuss](#)

128. If inflation occurs, investment will be

- A. More profitable
- B. Less profitable
- C. More difficult
- D. None of the above

Answer» B. Less profitable

[discuss](#)

129. Air pollution can be termed as a

- A. Social benefit
- B. Social cost
- C. Social security measure
- D. All of the above

Answer» B. Social cost

[discuss](#)

130. If the net present value is greater than zero, then the project is

- A. Accepted
- B. Rejected
- C. Neither accepted nor rejected
- D. Postponed

Answer» A. Accepted

[discuss](#)

131. The period of time required to recover initial cost of investment is called

- A. Payback period
- B. Annual average rate of return
- C. Internal rate of return
- D. Net present value

Answer» A. Payback period

[discuss](#)

132. The number of years required to recover initial cost of investment is called

- A. Recover period
- B. Take-back period
- C. Payback period
- D. Annual average rate of return

Answer» C. Payback period

[discuss](#)

133. Internal rate of return is also identified as the

- A. Price and location criteria
- B. Physical and location criteria
- C. Price and physical criteria
- D. None of the above

133. Internal rate of return is also identified as the

Answer» A. Price and location criteria

[discuss](#)

134. In an investment project, the lower the rate of interest

- A. No significant change in the value of the project
- B. The lower the present value of the project
- C. The higher the present value of the project
- D. None of the above

Answer» C. The higher the present value of the project

[discuss](#)

135. The rate of discount which equilibrates the cost of capital goods and the expected future returns from the capital good is known as

- A. Internal rate of return
- B. Net present value
- C. Average annual rate of return
- D. None of the above

Answer» A. Internal rate of return

[discuss](#)

136. If the internal rate of return (IRR) is negative, then the investor

- A. Loses money
- B. Gains money
- C. Neither gains nor loses money
- D. None of the above

Answer» A. Loses money

[discuss](#)

137. If the net present value (NPV) is more than one, then the project may be

- A. Accepted
- B. Rejected
- C. Accepted or rejected
- D. All of the above

Answer» A. Accepted

[discuss](#)

138. If rate of interest is 10% the PV (present value) of Rs. 100 received in 1 years time is

- A. 90
- B. 90.9
- C. 95
- D. 110

Answer» B. 90.9

[discuss](#)

139. The reason that finding the present value of a future sum of money requires us to discount it, is that:

- A. Waiting involves risk
- B. We don't know when we shall receive it
- C. Inflation will reduce its purchasing power
- D. Waiting deprives us of its use

Answer» D. Waiting deprives us of its use

[discuss](#)

140. If interest rates rise, the present value of any future earnings is bound to:

- A. Suffer from inflation
- B. Increase in risk
- C. Rise
- D. Fall

Answer» D. Fall

[discuss](#)

141. Projects with _____ are preferred

- A. Lower payback period
- B. Normal payback period
- C. Higher payback period
- D. Any of the above

Answer» A. Lower payback period

[discuss](#)

142. _____ on capital is called 'Cost of capital'.

- A. Lower expected return
- B. Normally expected return
- C. Higher expected return
- D. None of the above

Answer» B. Normally expected return

[discuss](#)

143. The values of the future net incomes discounted by the cost of capital are called

- A. future income
- B. Internal rate of return
- C. Net present values
- D. Discounted capital cost

Answer» C. Net present values

[discuss](#)

144. Under Net present value criterion, a project is approved if

- A. Its net present value is positive
- B. The funds are unlimited
- C. Both (A) and (B)

144. Under Net present value criterion, a project is approved if

D. None of the above

Answer» C. Both (A) and (B)

[discuss](#)

145. The internal Rate of Return (IRR) criterion for project acceptance, under theoretically infinite funds is: accept all projects which have

A. IRR equal to the cost of capital

B. IRR greater than the cost of capital

C. IRR less than the cost of capital

D. None of the above

Answer» B. IRR greater than the cost of capital

[discuss](#)

146. Which of the following criterion is often preferred

A. Net present value

B. Profitability index

C. Internal Rate of Return

D. Payback period

Answer» A. Net present value

[discuss](#)

147. The project is accepted of

A. the profitability index is equal to one

B. The funds are unlimited

C. the profitability index is greater than one

D. Both (B) and (C)

Answer» D. Both (B) and (C)

[discuss](#)

148. Where capital availability is unlimited and the projects are not mutually exclusive, for the same cost of capital, following criterion is used

A. Net present value

B. Internal Rate of Return

C. Profitability Index

D. All of the above

Answer» D. All of the above

[discuss](#)

149. A project is accepted when

A. Net present value is greater than zero

B. Profitability index will be greater than unity

C. Internal Rate of Return will be greater than cost of capital

D. Any of the above

Answer» D. Any of the above

[discuss](#)

150. With limited finance and a number of project proposals at hand, select that package of projects which has

- A. The maximum net present value
- B. Internal rate of return is greater than cost of capital
- C. Profitability index is greater than unity
- D. Any of the above

Answer» A. The maximum net present value

DEVELOPMENT PLANNING AND PROJECT ANALYSIS

1. A project is anything which is

- A. implicitly expressed
- B. not implicitly expressed
- C. not a physical objective
- D. social acceptability

Answer» A. implicitly expressed

[discuss](#)

2. functional type of structure is divided into department based on

- A. functions
- B. processes
- C. human relations
- D. planning

Answer» A. functions

[discuss](#)

3. Training requirement is a

- A. financial factor
- B. hr factor
- C. marketing factor
- D. administrative factor

Answer» B. hr factor

[discuss](#)

4. Cultural implications of the project are examined by

- A. economic feasibility
- B. cultural feasibility
- C. technical feasibility
- D. marketing feasibility

Answer» B. cultural feasibility

[discuss](#)

5. $(NPBIT \div \text{capital employed}) \times 1000$

- A. rob
- B. capital employed ratio
- C. roi

5.	$(\text{NPBIT} \div \text{capital employed}) \times 1000$
D.	interest coverage ratio
Answer» C. roi	
discuss	
6.	following is not a fixed income bearing security
A.	equity share
B.	preference shares
C.	debentures
D.	public deposits
Answer» A. equity share	
discuss	
7.	financial leverage is
A.	ebit/ebt
B.	ebt/ebit
C.	c/ebt
D.	c/ebit
Answer» A. ebit/ebt	
discuss	
8.	Additional working capital is
A.	added to cost of machine
B.	deducted from cost of machine
C.	ignored
D.	risk to machine
Answer» A. added to cost of machine	
discuss	
9.	Capacity planning
A.	save time
B.	increase cost
C.	increases waste
D.	increase production
Answer» A. save time	
discuss	
10.	Fishbone diagram
A.	identify root causes
B.	identify economy
C.	identify location
D.	identify project
Answer» A. identify root causes	
discuss	
11.	Balance of Payment situation refers to exploiting opportunities in which environment?
A.	Economic Environment

11.	Balance of Payment situation refers to exploiting opportunities in which environment?
B.	Technological Environment
C.	Governmental Environment
D.	Socio-demographic Environment
Answer» A. Economic Environment	
discuss	
12.	Which of the following is NOT a source of Project Idea?
A.	Attending Trade Fairs
B.	Analysis of Economic & Social Trends
C.	Identifying unfulfilled psychological needs
D.	Increase Production.
Answer» D. Increase Production.	
discuss	
13.	Compatibility with the promoter is a part of _____?
A.	Secondary Screening
B.	Idea Generation
C.	Preliminary Screening
D.	None of these
Answer» C. Preliminary Screening	
discuss	
14.	The cost structure of proposed project must consider _____.
A.	Cost of Material Inputs
B.	Labour Costs
C.	Factory Overheads
D.	All of these
Answer» D. All of these	
discuss	
15.	To judge the adequacy of market which of this is NOT relevant?
A.	Total Present Domestic Market
B.	Competitors and their market shares
C.	Export Market
D.	Labour Market
Answer» D. Labour Market	
discuss	
16.	Competition from Imports is a proposed risk for new project.
A.	True
B.	False
C.	none
D.	none
Answer» A. True	

[discuss](#)

17. What is to be prepared as a first step to avail finance for a new project?

- A. Detailed Report
- B. Project Report
- C. Promoter's bio-data
- D. Summary

Answer» B. Project Report

[discuss](#)

18. With respect to a project resources refer to :

- A. Man power
- B. Machinery
- C. Materials
- D. All of the above

Answer» D. All of the above

[discuss](#)

19. Traditionally Indian Business had shortage of inputs like Power, Foreign Exchange, Important Raw Material, Supply of Agricultural Raw materials etc.

- A. True
- B. False
- C. none
- D. none

Answer» A. True

[discuss](#)

20. NewProject Idea may be generated by thinking along:

- A. Modification
- B. Rearrangement
- C. Reversal
- D. All of the above

Answer» D. All of the above

[discuss](#)

21. Projected Cash flow is mentioned in which part of the Project Report?

- A. Summary
- B. Financial Details
- C. Production Process
- D. Technical Arrangements

Answer» B. Financial Details

[discuss](#)

22. Which of the following is NOT the facet of Project Analysis?

- A. Market Analysis
- B. Fundamental Analysis

22.	Which of the following is NOT the facet of Project Analysis?
C.	Financial Analysis
D.	Technical Analysis
Answer» B. Fundamental Analysis	
discuss	
23.	Which one of the following is NOT a part to study under Market Appraisal?
A.	Customers
B.	Government
C.	Competitors
D.	Middlemen
Answer» B. Government	
discuss	
24.	Readymade Project Reports are available with _____.
A.	GSFC
B.	GIIC
C.	Banks
D.	All of the above
Answer» D. All of the above	
discuss	
25.	Questionnaire is a source of _____ data.
A.	Primary
B.	Secondary
C.	Detailed
D.	None of the above
Answer» A. Primary	
26.	A Market Researcher in India has to contend with....
A.	Heterogeneity of the country
B.	Multiplicity of Languages
C.	Design of Questionnaire
D.	All of these
Answer» D. All of these	
discuss	
27.	Census of India is a publication of _____
A.	RBI
B.	SBI
C.	Government of India
D.	Supreme Court of India
Answer» C. Government of India	
discuss	
28.	National Sample Survey Reports are issued by _____
A.	Cabinet Secretariat

28. National Sample Survey Reports are issued by _____

- B. Trade Bodies
- C. RBI
- D. Trade Unions

Answer» A. Cabinet Secretariat

[discuss](#)

29. For a Market Research only Census Survey is done and no Sample Survey is necessary.

- A. True
- B. False
- C. none
- D. none

Answer» B. False

[discuss](#)

30. Non representativeness of the sample may

- A. make the survey accurate
- B. weaken the results of Market Survey
- C. enhance the results of the Market Survey
- D. None of the above

Answer» B. weaken the results of Market Survey

[discuss](#)

31. Jute Chronicle is a source of Secondary Information for which Industry?

- A. Pharmaceutical
- B. Automobile
- C. Infrastructure
- D. Textile

Answer» D. Textile

[discuss](#)

32. Which of the following is an Attitudinal Characteristic of a Consumer?

- A. Preference
- B. Habits
- C. Attitude
- D. All of the above

Answer» D. All of the above

[discuss](#)

33. Which of the following is NOT a Demographic Characteristic of a Consumer?

- A. Response
- B. Gender
- C. Income

33. Which of the following is NOT a Demographic Characteristic of a Consumer?

D. Age

Answer» A. Response

[discuss](#)

34. Which of these is not a method of Demand Forecasting?

A. Qualitative Methods

B. Time Series Projection Methods

C. Causal Methods

D. Financial Methods

Answer» D. Financial Methods

[discuss](#)

35. Delphi Method is which type of Demand Forecasting Method?

A. Qualitative

B. Time Series Projection

C. Causal

D. None of these

Answer» A. Qualitative

[discuss](#)

36. Which of the following is not a Causal Method for Demand Forecasting?

A. Chain Ratio Method

B. Exponential Smoothing Method

C. Leading Indicator Method

D. Econometric Method

Answer» B. Exponential Smoothing Method

[discuss](#)

37. Which of the following is NOT considered while making choice of technology?

A. Plant Capacity

B. Mineral Product

C. Principle Inputs

D. Ease of Absorption

Answer» B. Mineral Product

[discuss](#)

38. Coal is which type of raw material?

A. Agricultural

B. Mineral

C. Live Stock and Forest

D. Marine

Answer» B. Mineral

[discuss](#)

39.	Which of the following is NOT a Processed Industrial Material and Component?
A.	Base Metals
B.	Manufactured Parts
C.	Spare parts
D.	Jute
Answer» D. Jute	
discuss	
40.	Which of the following is NOT a Utility?
A.	Land
B.	Power
C.	Water
D.	Fuel
Answer» A. Land	
discuss	
41.	Plant Capacity is affected by.....
A.	Technological Requirement
B.	Input Constraints
C.	Investment Cost
D.	All of the above
Answer» D. All of the above	
discuss	
42.	Proximity to raw materials & markets is a factor that affects

A.	Technology
B.	Location & Site
C.	a & b
D.	None of the Above
Answer» B. Location & Site	
discuss	
43.	Which of the following is NOT a category of Structures and Civil Works of a Project?
A.	Procurement of Machinery
B.	Site Preparation and Development
C.	Buildings and Structures
D.	Outdoor works
Answer» A. Procurement of Machinery	
discuss	
44.	In a labour intensive project which are the factors to be considered?
A.	Availability of Skilled, Semi-skilled and Unskilled Labour
B.	Prevailing Labour Rates
C.	Degree of Unionization

44. In a labour intensive project which are the factors to be considered?

D. All of the above

Answer» D. All of the above

[discuss](#)

45. Statement of Cash Flows includes

A. Financing Activities

B. Operating Activities

C. Investing Activities

D. All of the above

Answer» D. All of the above

[discuss](#)

46. In Cash Flows, when a firm invests in fixed assets and short-term financial investments it results in

A. Increased Equity

B. Increased Liability

C. Decreased Cash

D. Increased Cash

Answer» C. Decreased Cash

[discuss](#)

47. A firm that issues stocks and bonds to raise funds results in

A. Decreases Cash

B. Increases Cash

C. Increases Equity

D. None of Above

Answer» B. Increases Cash

[discuss](#)

48. The basic Financial Statements include

A. Statement of Cash Flows

B. Statement of Retained Earnings

C. Statement of Fund Flows

D. None of the above

Answer» D. None of the above

[discuss](#)

49. The statement of Cash Flow clarifies cash flows according to

A. Operating and Non-operating Flows

B. Inflow and Outflow

C. Investing and Non-operating Flows

D. Operating, Investing and Financing Activities

Answer» D. Operating, Investing and Financing Activities

[discuss](#)

50. If there is an increase in Current Assets,....

A. Cash flow decreases

50. If there is an increase in Current Assets,....

- B. Cash flow increases
- C. Cash flow remains unchanged
- D. None of the Above

Answer» A. Cash flow decreases

51. Cash Flow Statement does not fully reveal the soundness or otherwise of the financial position of the business.

- A. True
- B. False
- C. none
- D. none

Answer» A. True

[discuss](#)

52. When liability increases, it is _____

- A. Source of Funds
- B. Application of Funds
- C. Decrease in Investments
- D. None of above

Answer» A. Source of Funds

[discuss](#)

53. Which of the below is NOT an application of funds?

- A. Operating Profit
- B. Purchase of Fixed Assets
- C. Repayment of Loans or Debentures
- D. Operating Losses

Answer» A. Operating Profit

[discuss](#)

54. Which of the below financial statements is static and shows the state of Assets and Liabilities on a particular date?

- A. Cash Flow Statement
- B. Funds Flow Statement
- C. Profit and Loss Statement
- D. None of the Above

Answer» D. None of the Above

[discuss](#)

55. Working Capital = _____

- A. Total Assets- Total Liabilities
- B. Current Assets – Current Liabilities
- C. Assets – Long-term Bank Borrowings
- D. Debt – Assets

Answer» B. Current Assets – Current Liabilities

[discuss](#)

56. Which statement is prepared in the process of Funds Flow Analysis?

- A. Schedule of Changes in Working Capital
- B. Ratio Analysis
- C. Both a and b
- D. None of the Above

Answer» A. Schedule of Changes in Working Capital

[discuss](#)

57. Funds Flow Statements are prepared so as to

- A. Identify the changes in Working Capital
- B. Identify reasons behind change in Working Capital
- C. Know the item-wise inflow and outflow of funds during given period
- D. All of the above

Answer» D. All of the above

[discuss](#)

58. Bond, Debentures and Term Loans fall under

- A. Current Assets
- B. Non-current Assets
- C. Non-current Liabilities
- D. None of the Above

Answer» C. Non-current Liabilities

[discuss](#)

59. Which of the following is NOT a Preoperative Expense?

- A. Establishment Expense
- B. Travelling Expense
- C. Insurance Charges
- D. Raw Material Expenses

Answer» D. Raw Material Expenses

[discuss](#)

60. Which of the following is NOT a mean / source of Project Finance?

- A. Term Loan
- B. Debentures
- C. Overdraft
- D. Share Capital

Answer» C. Overdraft

[discuss](#)

61. Which of the following is an example of owned capital?

- A. Equity Shares
- B. Preference Shares
- C. Debentures
- D. a and b

Answer» D. a and b

[discuss](#)

62. Major components of cost of production are:

- A. Material Cost
- B. Utilities and Labour Cost
- C. Factory overhead Cost
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

63. Which one of the following is a Working Capital Advance?

- A. Cash Credits
- B. Letter of Credit
- C. Purchase / discount bills
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

64. Higher Debt Service Coverage Ratio denotes

- A. Higher Chances of getting a Loan
- B. Lower Chances of getting a Loan
- C. No Requirement of a Loan at all
- D. None of the Above

Answer» A. Higher Chances of getting a Loan

[discuss](#)

65. Term Loan is _____ borrowing.

- A. Unsecured
- B. Secured
- C. Clean
- D. None of the Above

Answer» B. Secured

[discuss](#)

66. If Project is accepted for Term Loan, Bankers issue a _____

- A. Letter of Credit
- B. Letter of Advance
- C. Letter of Sanction
- D. Letter of Acceptance

Answer» C. Letter of Sanction

[discuss](#)

67. Once the loan is disbursed the bank monitors the project by

- A. Regular Reports furnished by the borrower
- B. Periodic site visit
- C. Discussion with Promoters, Suppliers, Creditors etc.
- D. All of the above

Answer» D. All of the above

[discuss](#)

68. Which are the warning signals of industrial unit sickness?

- A. Continuous irregularity in Cash Credit Account
- B. Low Capacity Utilization
- C. Failure to pay statutory liabilities
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

69. Which of the following has no role in a remedy to Industrial Unit Sickness?

- A. Government
- B. Financial Institution
- C. Industry Association
- D. Customers

Answer» D. Customers

[discuss](#)

70. Which is an external cause of Industrial Unit Sickness?

- A. Non availability of skilled personnel
- B. Lack of Finance
- C. Bad Production Policies
- D. Wrong Marketing Policies

Answer» A. Non availability of skilled personnel

[discuss](#)

71. Which is an internal cause of Industrial Unit Sickness?

- A. Ineffective Corporate Management
- B. Inappropriate Personnel Management
- C. Lack of Promoter's Experience
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

72. Revival package of a sick unit includes

- A. Provision of Additional Financial Assistance
- B. Settlement with Creditors
- C. Both a and b
- D. None of the Above

Answer» C. Both a and b

[discuss](#)

73. BIFR stands for

- A. Bureau of Industrial and Financial Resources
- B. Board of Industrial and Financial Reconstruction
- C. Board of Investment and Financial Reconstruction
- D. Bureau of Investment and Financial Resources

Answer» B. Board of Industrial and Financial Reconstruction

[discuss](#)

74. Industrial Reconstruction Bank of India was set up in which year?

- A. 1985
- B. 1986
- C. 1987
- D. 1988

Answer» A. 1985

[discuss](#)

75. Sick Industrial Companies Act was passed in which year?

- A. 1983
- B. 1984
- C. 1985
- D. 1986

Answer» C. 1985

76. Revival of a sick unit is necessary because,

- A. The Project may be in a sector that is vital to economy
- B. Many ancillary units may be dependent on the unit
- C. Banks and Financial Institutions would have locked up their money in the unit.
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

77. Industrial Sickness is a matter of serious national concern because it affects

- A. The Owners and Employees
- B. Creditors and Suppliers
- C. Adversely to the National Resources and creates social unrest
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

78. Industrial Reconstruction Bank of India was established with which specific objective from the below?

- A. To assist the rehabilitation of Sick Units
- B. To assist the Government
- C. To assist construction projects.
- D. None of the Above

Answer» A. To assist the rehabilitation of Sick Units

[discuss](#)

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79. Which of the following can be objective of a Term Loan?

- A. For Setting up the new Projects.
- B. Expansion of existing Projects
- C. Modernization or Renovation of Projects.
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

80. Which is the principle objective for Project Monitoring?

- A. To find out opportunities for further advances
- B. To ensure timely recovery of dues
- C. To establish good lender-borrower relationship.
- D. None of the Above

Answer» B. To ensure timely recovery of dues

[discuss](#)

81. Strategic decisions regarding a Project are taken by

- A. Middle level Management
- B. Employees
- C. Top Management
- D. None of the Above

Answer» C. Top Management

[discuss](#)

82. Idea generation exercises for a new Project includes study of government guidelines.

- A. True
- B. False
- C. none
- D. none

Answer» A. True

[discuss](#)

83. For generating a new project idea which of the below is relevant for an entrepreneur?

- A. Analyse economic and social trend
- B. Draw clues from consumption abroad
- C. Study new technological developments
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

84. Which of the below is not a resource for a project?

- A. Manpower
- B. Capital
- C. Budget
- D. Machinery

Answer» C. Budget

[discuss](#)

85. Which of the factors should be considered for acceptable risk level at preliminary screening level?

- A. Vulnerability to business cycles
- B. Technological Changes
- C. Competition from imports
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

86. To judge adequacy of market during Preliminary Screening which of the following is a factor to be examined?

- A. Total present domestic market
- B. Price
- C. Product features
- D. Quality of the product

Answer» A. Total present domestic market

[discuss](#)

87. Which of the following is not a base for demographic segmentation of the market?

- A. Gender
- B. Age
- C. Attitude
- D. Family structure

Answer» C. Attitude

[discuss](#)

88. Which of the below can cause a difficulty in getting license for a new project?

- A. Lack of consistency with National Priority
- B. Adverse Environmental Effects
- C. Non availability of foreign exchange
- D. All of the Above

Answer» D. All of the Above

89. India Year Book is a source of

- A. Primary Data
- B. Secondary Data

90.	India Year Book is an annual publication of _____
A.	Ministry of Finance
B.	Commerce Ministry
C.	Ministry of Information and Broadcasting
D.	None of the Above
Answer» C. Ministry of Information and Broadcasting	

[discuss](#)

91.	Statistical Year Book is an annual Publication of _____
A.	United Nations
B.	WHO
C.	UNICEF
D.	World Bank
Answer» A. United Nations	

93.	Census provides information on
A.	Business Cycle
B.	Industrial Development
C.	Agriculture Output
D.	None of the Above
Answer» D. None of the Above	

[discuss](#)

96.	Which of the following is not one of the driving forces behind the increasing demand for Project Management?
A.	Compression of Product Life Cycle
B.	Knowledge Explosion
C.	More Emphasis on the Product and Less on the Customer
D.	Corporate Downsizing
Answer» C. More Emphasis on the Product and Less on the Customer	

97.	In the initial stage of the project the probability of completing the project is _____
A.	Zero
B.	High
C.	Low
D.	None of the Above
Answer» C. Low	

[discuss](#)

98.	Which one of the following is NOT one of the principle sources which cause uncertainties and error in demand forecasting?
A.	Data about Past and Present Market
B.	Methods of Forecasting

98.	Which one of the following is NOT one of the principle sources which cause uncertainties and error in demand forecasting?
C.	Environmental Changes
D.	Government Policies
Answer» D. Government Policies	

99.	Which of the following are limitations of Demand Forecasting Methods?
A.	Inability to handle unquantifiable factors
B.	Unrealistic Assumptions
C.	Excessive Data Requirement
D.	All of the Above
Answer» D. All of the Above	

100.	The choice of Product Mix is guided by
A.	Market Requirements
B.	Market Inputs
C.	Employee Requirements
D.	None of the Above
Answer» A. Market Requirements	

101.	Raw material can be classified in which of the below broad categories?
A.	Agricultural Products, Mineral Products, Live Stock & Forest Products, Marine Products
B.	Agricultural Products, Plastic Products, Industrial Products, Forest and Marine Products
C.	Agricultural Products, Mineral Products, Industrial Products, Marine Products
D.	Agricultural Products, Mineral Products, Industrial Products, Live Stock and Forest Products
Answer» A. Agricultural Products, Mineral Products, Live Stock & Forest Products, Marine Products	

102.	Lime Stone is which type of Raw Material?
A.	Agricultural Products
B.	Mineral Products
C.	Both a and b
D.	None of the Above
Answer» B. Mineral Products	

[discuss](#)

103.	Which of the following is NOT a mineral type of raw material?
A.	Iron
B.	Bauxite

103. Which of the following is NOT a mineral type of raw material?

C. Castro Seeds

D. Zinc

Answer» C. Castro Seeds

104. Which of the following is auxiliary material and factory supply?

A. Additives

B. Packaging Material

C. Oil and Grease

D. All of the Above

Answer» D. All of the Above

[discuss](#)

105. Which of the following is a utility?

A. Water

B. Land

C. Building

D. Machinery

Answer» A. Water

[discuss](#)

106. Which of the following is NOT an equipment required for a project?

A. Plant Equipment

B. Mechanical Equipment

C. Domestic Equipment

D. Electrical Equipment

Answer» C. Domestic Equipment

[discuss](#)

107. Which of the below is a category of civil work for a project?

A. Site Preparation and Development

B. Building and Structures

C. Outdoor Works

D. All of the Above

Answer» D. All of the Above

[discuss](#)

108. While calculating cost of imported machinery, which of the below needs to be considered?

A. FOB Value

B. Shipping, Freight and Insurance Cost

C. Import Duty

D. All of the Above

Answer» D. All of the Above

[discuss](#)

109. Miscellaneous Fixed Assets include

- A. Furniture
- B. Office Machinery and Equipment
- C. Vehicles
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

110. Preliminary Expenses to start a project include

- A. Expense on Preparing the Feasibility Report
- B. Expense on Raw Material
- C. Salaries
- D. None of the Above

Answer» A. Expense on Preparing the Feasibility Report

[discuss](#)

111. The major components of Capital Issue expenses are

- A. Underwriting Commission
- B. Brokerage
- C. None of the Above
- D. a and b

Answer» D. a and b

[discuss](#)

112. Listing Fee is which type of expense?

- A. Recurring Expense
- B. Capital Issue Expense
- C. Miscellaneous Expense
- D. None of the Above

Answer» B. Capital Issue Expense

[discuss](#)

113. Which one of the below is not a preoperative expense?

- A. Establishment Expenses
- B. Rent, Rates and Taxes
- C. Selling Expense
- D. Travelling Expense

Answer» C. Selling Expense

[discuss](#)

114. Public Deposits represent _____ borrowings.

- A. Secured
- B. Unsecured
- C. Deferred
- D. None of the Above

Answer» B. Unsecured

[discuss](#)

115. Factory overheads include

- A. Rent
- B. Taxes
- C. Insurance on factory assets
- D. All of the Above

Answer» D. All of the Above

[discuss](#)

116. The prices of material inputs are defined in CIF? What does CIF stand for?

- A. Cost, Investment and Fuel
- B. Current Investment Flows
- C. Cost, Insurance and Freight
- D. Cost, Incentive and Freight

Answer» C. Cost, Insurance and Freight

[discuss](#)

117. Which one of the following is a constituent of working capital requirement? Raw material and components

- A. Debtor
- B. Operating expense
- C. Both a and b
- D. None of the Above

Answer» C. Both a and b

[discuss](#)

118. Which of the following is NOT a source of Working Capital?

- A. Cash Credit
- B. Bonds
- C. Trade Credit
- D. Accruals and Provisions

Answer» B. Bonds

[discuss](#)

119. Borrowing or incurring any Liability is a source of fund.

- A. True
- B. False
- C. none
- D. none

Answer» A. True

[discuss](#)

120. Payment of Cash Dividend represents a source of fund.

- A. True
- B. False
- C. none
- D. none

120. Payment of Cash Dividend represents a source of fund.

Answer» B. False

[discuss](#)

121. The analysis of funds can be called an analysis of the working capital.

- A. True
- B. False
- C. none
- D. none

Answer» A. True

[discuss](#)

122. Which one of the following is an application of funds?

- A. Operating Losses
- B. Operating Profit
- C. Increase in Capital
- D. All of the Above

Answer» A. Operating Losses

[discuss](#)

123. If there is any decrease in current assets...

- A. Working capital decreases
- B. Working capital increases
- C. Fixed Assets decrease
- D. None of the Above

Answer» A. Working capital decreases

[discuss](#)

124. Increase in working capital denotes....

- A. Source of Funds
- B. Source of Cash
- C. Application of Funds
- D. None of the Above

Answer» C. Application of Funds

[discuss](#)

125. If we want to prepare the funds flow statement we should have...

- A. Balance sheets of two consecutive years
- B. Funds flow statements of two consecutive years
- C. Budget for next financial year
- D. All of the Above

Answer» A. Balance sheets of two consecutive years

126. The liabilities side of the balance sheet shows the sources of finance employed by the business.

- A. True
- B. False
- C. none

125. If we want to prepare the funds flow statement we should have...

D. none

Answer» A. True

[discuss](#)

127. Cash Flow statement is also known as

A. Statement of Changes in Financial Position on cash basis

B. Statement accounting for variation in cash

C. Both a and b

D. None of the Above

Answer» C. Both a and b

[discuss](#)

128. The objectives of Cash Flow Statement are

A. Analysis of cash position

B. Short term Cash Planning

C. Evaluation of Liquidity

D. All of the Above

Answer» D. All of the Above

[discuss](#)

129. Features of Term Loan include

A. Currency

B. Security

C. Interest and Principal payment

D. All of the Above

Answer» D. All of the Above

[discuss](#)

130. Usually assets which are financed with the Term Loan provide as a prime security against the Term Loan

A. True

B. False

C. none

D. none

Answer» A. True

[discuss](#)

131. As a part of Term Loan Procedure the detailed appraisal of project covers

A. Marketing Aspects

B. Technical Aspects

C. Financial Aspects

D. All of the Above

Answer» D. All of the Above

[discuss](#)

132. Syndication is an arrangement for

- A. Marketing Support
- B. Manpower Supply
- C. Providing Long Term Finance to Projects
- D. None of the Above

Answer» C. Providing Long Term Finance to Projects

133. Once letter of sanction is issued, the borrower has to submit _____ after appropriate board resolution to avail the loan.

- A. Copy of the Board Meeting Minutes
- B. Letter of Advances
- C. Letter of Acceptance
- D. Letter of Credit

Answer» C. Letter of Acceptance

134. Current assets are financed by

- A. Term Loan
- B. Debentures
- C. Working Capital Loan
- D. Share Capital

Answer» C. Working Capital Loan

[discuss](#)

135. A DSCR < 1 indicates

- A. There is not enough cash flow to cover loan payments
- B. There is enough cash flow to cover loan payments
- C. Company does not need a loan
- D. None of the Above

Answer» A. There is not enough cash flow to cover loan payments

138. Which one of the below is not a source of Project Finance?

- A. Debentures
- B. Bonds
- C. ECBs
- D. Overdraft facility

Answer» D. Overdraft facility

[discuss](#)

[discuss](#)

140. Low capacity utilization is a signal of _____.

- A. Enough raw Material
- B. Industrial Sickness
- C. Inadequate production capacity

140. Low capacity utilization is a signal of _____.

D. None of the Above

Answer» B. Industrial Sickness

[discuss](#)

141. Which of the following is not a signal of industrial sickness?

A. Promoter being accused of a crime

B. Continuous irregularities in Cash Credit Account

C. Failure to pay Statutory Liabilities

D. Rapid Turnover of Key Personnel

Answer» A. Promoter being accused of a crime

[discuss](#)

142. Marketing Constraint is an internal source of Industrial Sickness.

A. True

B. False

C. none

D. none

Answer» B. False

[discuss](#)

144. Ineffective corporate management leads to

A. Improper performance of the unit

B. Industrial Sickness

C. Both a and b

D. None of the Above

Answer» C. Both a and b

[discuss](#)

145. Finance constraints arises because of

A. Credit Restrain Policy

B. Delay in Disbursement of Loan by Government

C. Unfavourable Investment

D. All of the Above

Answer» D. All of the Above

[discuss](#)

146. Production constraints arise because of

A. Shortage of Raw Material

B. Shortage of Power

C. High Prices of Fuel

D. All of the Above

Answer» D. All of the Above

[discuss](#)

147. Which one of the following can be a weakness in capital budgeting?

A. Poor Alignment between Strategy and Capital Budgeting

B. Deficiencies in Analytical Techniques

147. Which one of the following can be a weakness in capital budgeting?
C. Both a and b
D. None of the Above
Answer» C. Both a and b

[discuss](#)

148. The major deficiencies characterizing the labor markets in developing countries like India are
A. Shortage of well-trained people
B. Rigid labor laws
C. Both a and b
D. None of the Above
Answer» C. Both a and b

149. Which of the following has marginal exposure to Term Lending?
A. Insurance Companies (LIC & GIC)
B. Power Finance Corporation
C. IDFC
D. All of the Above
Answer» D. All of the Above

150. Debt restructuring and infusion of external funds for sick units is one of the remedial measures to overcome Industrial Sickness.
A. True
B. False
C. none
D. none
Answer» A. True

MACROECONOMICS I

1. The classical economists believed that the demand for labour is a function of:
A. total money wages
B. money wage rate
C. total real wages
D. real wage rate
Answer» D. real wage rate

[discuss](#)

2. **In classical theory of employment, there is the possibility of:**

- A. voluntary unemployment
- B. no unemployment
- C. involuntary unemployment
- D. disguised unemployment

Answer» A. voluntary unemployment

[discuss](#)

3. **The idea that a general cut in wages will finally lead to a state of full employment was suggested by :**

- A. keynes
- B. marshall
- C. j.b.say
- D. a.c.pigou

Answer» D. a.c.pigou

[discuss](#)

4. **Say's law of market says:**

- A. supply creates its own demand
- B. demand creates supply
- C. income generates demand
- D. savings create demand

Answer» A. supply creates its own demand

[discuss](#)

5. **The aggregate production function implied under classical theory is :**

- A. long run
- B. short run
- C. no time element
- D. none of the above

5. The aggregate production function implied under classical theory is :

Answer» A. long run

[discuss](#)

6. In the Cambridge equation of $M = kPR$, the value of k is:

A. m/v

B. $1/v$

C. v in fisher's equation

D. none of these

Answer» B. $1/v$

[discuss](#)

7. As a result of an increase in capital, ceteris paribus, ----- the marginal productivity of labour:

A. remains constant

B. increase

C. decreases

D. none of these

Answer» B. increase

[discuss](#)

8. In the Fisher's extended equation of exchange $MI VI$ represents:

A. credit money

B. primary money

C. both primary and credit money

D. general price level

Answer» A. credit money

[discuss](#)

9. In Fisher's transaction velocity model, one of the following is not an assumption:

A. velocity of circulation of money is constant

9. **In Fisher's transaction velocity model, one of the following is not an assumption:**

- B. the volume of transactions is constant
- C. full employment
- D. p is considered as an active factor

Answer» D. p is considered as an active factor

[discuss](#)

10. **The cash balance equation $M = KPO$ was given by:**

- A. keynes
- B. pigou
- C. robertson
- D. marshall

Answer» D. marshall

[discuss](#)

11. **“Supply creates its own demand “is a law of:**

- A. investment
- B. inflation
- C. consumption
- D. market

Answer» D. market

[discuss](#)

12. **In the equation $MV + MI + VI = PT$, ‘M ‘denotes:**

- A. velocity of money
- B. money in circulation
- C. bank deposit
- D. none of these

Answer» B. money in circulation

[discuss](#)

13. I classical demand for money, the relationship between money supply and price level is:

- A. proportional
- B. non-proportional
- C. neither proportional nor non-proportional
- D. none of these

Answer» B. non-proportional

[discuss](#)

14. As per classical theory saving is:

- A. an increasing function of rate of interest
- B. decreasing function of rate of interest
- C. decreasing function of level of income
- D. none of these

Answer» A. an increasing function of rate of interest

[discuss](#)

15. The Cambridge version of the quantity theory of money was developed by:

- A. fisher
- B. alfred marshall
- C. pigou
- D. keynes

Answer» C. pigou

[discuss](#)

16. In classical system which of the following keeps the economy at full employment:

- A. level of saving
- B. increase in money supply
- C. adjustment in investment

16. In classical system which of the following keeps the economy at full employment:

D. adjustment in money wages

Answer» D. adjustment in money wages

[discuss](#)

17. In Fisher's equation of exchange $MV=PT$, the variation of which produces a proportional change in

A. m

B. v

C. p

D. t

Answer» A. m

[discuss](#)

18. According to classical economists, variations in savings are due to:

A. level of investment

B. rate of interest

C. level of employment

D. none of the above

Answer» B. rate of interest

[discuss](#)

19. In classical theory which of the following is found in the economy:

A. unemployment

B. involuntary unemployment

C. less than full employment

D. full employment

Answer» D. full employment

[discuss](#)

20. In $MV=PT$, if M doubles and V and T remain constant, then P will:

- A. double
- B. $1/2$
- C. 1
- D. 4

Answer» A. double

[discuss](#)

21. Pigou's version of Cambridge equation is:

- A. $m = kp/y$
- B. $p = kr/m$
- C. $mv = pt$
- D. $mv = mivi$

Answer» B. $p = kr/m$

[discuss](#)

22. The quantity theory of money was restated by:

- A. alfred marshall
- B. milton friedman
- C. irving fisher
- D. j.m. .keynes

Answer» B. milton friedman

[discuss](#)

23. The law which states that supply creates its own demand and overproduction is impossible is known

- A. the law of supply
- B. say's law of market
- C. law of demand
- D. law of macro economics

23. **The law which states that supply creates its own demand and overproduction is impossible is known**

Answer» B. say's law of market

[discuss](#)

24. **Wages and prices do not adjust quickly to restore general equilibrium is a property of**

- A. classical economics
- B. keynesian economics
- C. monetary economics
- D. supply side economics

Answer» B. keynesian economics

[discuss](#)

25. **Classicals treated money as a:**

- A. medium of exchange
- B. store of value
- C. both
- D. none

Answer» A. medium of exchange

26. **When there is an increase in the autonomous money supply, ceteris paribus, LM shifts:**

- A. leftward
- B. rightward
- C. no shift
- D. none

Answer» B. rightward

[discuss](#)

27. **An Economic model is a statement of relationship among economic -----**

- A. variables
- B. phenomena

27. **An Economic model is a statement of relationship among economic -----**

C. development

D. none of these

Answer» A. variables

[discuss](#)

28. **LM curve shows the equilibrium condition in ----- market**

A. goods market

B. product market

C. money market

D. none of these

Answer» C. money market

[discuss](#)

29. **Supply creates its own demand is the Basis of:**

A. classical economics

B. keynesian economics

C. monetarism

D. none of these

Answer» A. classical economics

[discuss](#)

30. **The simplest ISLM model consists of:**

A. two markets

B. three markets

C. four markets

D. five markets

Answer» A. two markets

[discuss](#)

31. The equilibrium in the product market is represented by which curve?

- A. is
- B. lm
- C. demand
- D. supply curve

Answer» A. is

[discuss](#)

32. The IS curve has a-----slope

- A. positive
- B. negative
- C. zero
- D. none of these

Answer» B. negative

[discuss](#)

33. The LM curve has a-----slope

- A. positive
- B. negative
- C. zero
- D. none of these

Answer» A. positive

[discuss](#)

34. ISLM model was developed by:

- A. hicks
- B. keynes
- C. friedman
- D. none of these

34. ISLM model was developed by:

Answer» A. hicks

[discuss](#)

35. The perfectly elastic segment of the LM curve is:

- A. keynesian range
- B. classical range
- C. intermediate range
- D. none of these

Answer» A. keynesian range

[discuss](#)

36. Which policy is effective in the Classical range?

- A. monetary policy
- B. fiscal policy
- C. incomes policy
- D. none of these

Answer» A. monetary policy

[discuss](#)

37. Which policy is effective in the Keynesian range?

- A. monetary policy
- B. fiscal policy
- C. incomes policy
- D. none of these

Answer» B. fiscal policy

[discuss](#)

38. Which policy is effective in the intermediate range?

- A. monetary policy

38. Which policy is effective in the intermediate range?

- B. fiscal policy
- C. both policies
- D. none of these

Answer» C. both policies

[discuss](#)

39. IS-LM model was developed by:

- A. keynes
- B. walras
- C. j.r.hicks
- D. don-patinkin

Answer» C. j.r.hicks

[discuss](#)

40. Frictional unemployment exists:

- A. when there is a decrease in real gdp
- B. because it takes time to find a job when one is first entering the labour force
- C. as a result of technological change
- D. when an individual retires

Answer» B. because it takes time to find a job when one is first entering the labour force

[discuss](#)

41. The natural rate of unemployment equals the sum of those who are:

- A. frictionally and structurally unemployed
- B. frictionally and cyclically unemployed
- C. structurally and cyclically unemployed
- D. frictionally structurally and cyclically unemployed

Answer» A. frictionally and structurally unemployed

[discuss](#)

42. The marginal productivity of labour is:

- A. the incremental output due to an increase in capital, ceteris paribus
- B. the incremental output due to an increase in labour, ceteris paribus.
- C. the incremental output due to a change in technology, ceteris paribus
- D. the incremental output due to a change in technology and a change in the

Answer» B. the incremental output due to an increase in labour, ceteris paribus.

[discuss](#)

43. The marginal productivity of labour:

- A. increases when the price of the good sold increases, ceteris paribus
- B. decreases when there is an adverse supply shock, ceteris paribus
- C. increase when more workers are hired, ceteris paribus
- D. decreases when there is an increase in the quantity of capital, ceteris paribus

Answer» B. decreases when there is an adverse supply shock, ceteris paribus

[discuss](#)

44. When saving is greater than investment in a two-sectormodel,

- A. output should increase
- B. output should decrease
- C. output should not change
- D. none of these

Answer» B. output should decrease

[discuss](#)

45. When output exceeds spending:

- A. there is unsold output, and level of output will fall
- B. there is unsold output, and level of output will rise
- C. there is unsold output, and level of spending will rise

45. When output exceeds spending:

D. there is no unsold output since the level of spending will rise

Answer» A. there is unsold output, and level of output will fall

[discuss](#)

46. When investment is negatively related to the rate of interest, equilibrium output in the goods market

A. is unrelated to the rate of interest

B. is inversely related to the rate of interest

C. is positively related to the rate of interest

D. falls as the rate of interest decreases

Answer» B. is inversely related to the rate of interest

[discuss](#)

47. Simultaneous equilibrium in the money (LM) and goods (IS) market exists:

A. at an unlimited number of output levels and rates of interest

B. at only one output level and rate of interest

C. at an unlimited number of output levels and only one rate of interest

D. at only one output level and an unlimited number of rates of interest

Answer» B. at only one output level and rate of interest

[discuss](#)

48. In which of the following situations will an increase in the money supply have no effect upon output?

A. l_m is steeply sloped and is is steeply sloped

B. l_m is vertical and is is steeply sloped

C. l_m is steeply sloped and is is vertical

D. l_m is relatively flat as is is

Answer» C. l_m is steeply sloped and is is vertical

[discuss](#)

49. Policy Neutrality is the main proposition of:

- A. supply side economics.
- B. keynesian economics
- C. monetarism
- D. rational expectations hypothesis

Answer» D. rational expectations hypothesis

[discuss](#)

50. Who invented the General Equilibrium analysis?

- A. l. walras.
- B. w. leontief
- C. j.m.keynes.
- D. none of these.

Answer» A. l. walras.

51. Employment equilibrium in the Classical theory is achieved through:

- A. wage-price flexibility.
- B. changes in aggregate demand
- C. changes in aggregate supply
- D. none of these.

Answer» A. wage-price flexibility.

[discuss](#)

52. Market does not clear is a proposition of:

- A. neoclassical theory.
- B. keynesian economics
- C. monetarism
- D. rational expectations

Answer» B. keynesian economics

[discuss](#)

53. The interest rate paid on bonds is known as:

- A. call rate
- B. coupon rate
- C. repo rate
- D. bank rate

Answer» B. coupon rate

[discuss](#)

54. The monetary policy is completely ineffective when the LM curve is:

- A. vertical .
- B. horizontal.
- C. upward sloping.
- D. downward sloping

Answer» B. horizontal.

[discuss](#)

55. Monetarism is associated with:

- A. keynesian school
- B. chicago school
- C. cambridge school.
- D. neo-classical school.

Answer» B. chicago school

[discuss](#)

56. Changes in the subjective or objective factors

- A. never affect consumption function
- B. always cause downward shift in consumption function
- C. always cause upward shift in consumption function

56. Changes in the subjective or objective factors

D. they cause upward or downward shifts in consumption function

Answer» D. they cause upward or downward shifts in consumption function

[discuss](#)

57. Saving is a function of

A. export

B. import

C. investment

D. income

Answer» D. income

[discuss](#)

58. Entrepreneurs will have no tendency to expand or contract output and employment when

A. $ad > as$

B. $ad < as$

C. $ad = as$

D. none of the above

Answer» C. $ad = as$

[discuss](#)

59. The slope of the consumption function is called

A. mpc

B. mps

C. apc

D. aps

Answer» A. mpc

[discuss](#)

60. The concept of effective demand is associated with the name of

- A. marshall
- B. keynes
- C. krugman
- D. say

Answer» B. keynes

[discuss](#)

61. In a closed economy, the value of multiplier, when MPC is 0.90

- A. 25
- B. 90
- C. 10
- D. 9

Answer» C. 10

[discuss](#)

62. Income is a ----- variable

- A. flow
- B. discontinuous
- C. stock
- D. none of the above

Answer» A. flow

[discuss](#)

63. Ratio of consumption expenditure to any particular level of income

- A. mps
- B. aps
- C. apc
- D. mpc

63. Ratio of consumption expenditure to any particular level of income

Answer» C. apc

[discuss](#)

64. Psychological law of consumption states that the value of MPC lies between zero and

A. 1

B. 2

C. 3

D. 4

Answer» A. 1

[discuss](#)

65. Net investment is also known as

A. depreciation

B. induced investment

C. autonomous investment

D. capital formation

Answer» D. capital formation

[discuss](#)

66. In the saving function $S = -a + (1-b)Y$, the term 'b' denotes

A. saving

B. mpc

C. mps

D. aps

Answer» B. mpc

[discuss](#)

67. Who propounded Psychological law of consumption

A. adam smith

67. Who propounded Psychological law of consumption

- B. ricardo
- C. keynes
- D. pigou

Answer» C. keynes

[discuss](#)

68. When $MPS = 0.2$, MPC will be

- A. 0.8
- B. 0.2
- C. 1.2
- D. 20

Answer» A. 0.8

[discuss](#)

69. In the linear consumption function $C = a + bY$, coefficient 'a' denotes

- A. mpc
- B. apc
- C. autonomous consumption
- D. induced consumption

Answer» C. autonomous consumption

[discuss](#)

70. According to Keynes, rising aggregate income is always associated with

- A. higher saving rate
- B. higher import
- C. lower export
- D. low production

Answer» A. higher saving rate

[discuss](#)

71. When $MPC = 0.5$, the value of multiplier is

- A. 5
- B. 0.5
- C. 2
- D. 4

Answer» C. 2

[discuss](#)

72. Who postulated the law Supply creates its own demand

- A. keynes
- B. j b say
- C. marshall
- D. pigou

Answer» B. j b say

[discuss](#)

73. Autonomousoinvestment is

- A. income inelastic
- B. instable
- C. interest elastic
- D. incomeelastic

Answer» A. income inelastic

[discuss](#)

74. MEC for a capital good was found out to be 10% and the market rate of interest is 9%, then the inv

- A. not profitable
- B. profitable
- C. breakeven

74. MEC for a capital good was found out to be 10% and the market rate of interest is 9%, then the investment is

D. cannot say

Answer» B. profitable

[discuss](#)

75. In the Keynesian two sector economy, $AD > AS$, then

- A. $s = i$
- B. $s > i$
- C. $s < i$
- D. $s = 0$

Answer» C. $s < i$

76. Value of MPC is

- A. > 1
- B. < 1
- C. 0
- D. $0 \leq mpc \leq 1$

Answer» D. $0 \leq mpc \leq 1$

[discuss](#)

77. Schedule that expresses relationship between rate of interest and corresponding amount of investment is

- A. me_i
- B. me_c
- C. effective demand
- D. aggregate demand

Answer» A. me_i

[discuss](#)

78. Net investment is

- A. value of gross minus subsidies

78. **Net investment is**
- B. investment after providing for depreciation
 - C. value of gross output before providing for subsidies
 - D. none of the above

Answer» B. investment after providing for depreciation

[discuss](#)

79. **MEC is directly related to**
- A. prospective yield
 - B. supply price
 - C. rate of interest
 - D. all of the above

Answer» A. prospective yield

[discuss](#)

80. **According to Keynes the most important determinant of consumption**
- A. rate of interest
 - B. saving
 - C. income
 - D. investment

Answer» C. income

[discuss](#)

81. **In the Keynesian two sector economy, $AD < AS$, then**
- A. $s = i$
 - B. $s > i$
 - C. $s < i$
 - D. $s = 0$

Answer» B. $s > i$

[discuss](#)

82. In the equation $C = 60 + 0.6 Y$, MPC is

- A. 60
- B. 0.6
- C. 0
- D. 1

Answer» B. 0.6

[discuss](#)

83. Keynes assumed the presence of ----- economy for the fundamental law of consumption

- A. capitalistic
- B. socialistic
- C. planned
- D. none of the above

Answer» A. capitalistic

[discuss](#)

84. According to Keynes the most important determinant of investment

- A. m_c
- B. effective demand
- C. aggregate demand
- D. rate of interest

Answer» A. m_c

[discuss](#)

85. When disposable income rises from Rs 500 to Rs 600 and consumption expenditure changes from Rs 560, MPC will be equal to

- A. 900
- B. 100
- C. 0.9

85. When disposable income rises from Rs 500 to Rs 600 and consumption expenditure changes from Rs 560, MPC will be equal to

D. 1

Answer» C. 0.9

[discuss](#)

86. In a two sector economy, aggregate demand is equal to

A. $c+i$

B. $c+s$

C. $s+i$

D. all of the above

Answer» A. $c+i$

[discuss](#)

87. In Keynesian terminology, investment means:

A. financial investment

B. real investment

C. induced investment

D. none of the above

Answer» B. real investment

[discuss](#)

88. Rate of change in savings to change in income:

A. aps

B. apc

C. mps

D. mpc

Answer» C. mps

[discuss](#)

89. Keynesian economics is also known as:

- A. supply side economics
- B. monetary economics
- C. rational expectations
- D. depression economics

Answer» D. depression economics

[discuss](#)

90. Which of the following can cause shifts in consumption function:

- A. psychological attitude
- B. social practices
- C. business motives
- D. changes in price level

Answer» D. changes in price level

[discuss](#)

91. APC is determined by the following equation:

- A. c/y
- B. s/y
- C. $\Delta c/\Delta y$
- D. $\Delta s/\Delta y$

Answer» A. c/y

[discuss](#)

92. In the Keynesian two sector model, when $AD = AS$, then:

- A. $s < i$
- B. $s > i$
- C. $s = i$
- D. $i = 0$

92. **In the Keynesian two sector model, when $AD = AS$, then:**

Answer» C. $s=i$

[discuss](#)

93. **Which of the following is not correct:**

- A. mpc declines as income increases
- B. mpc is positive but less than one
- C. mps is always positive
- D. all the above

Answer» C. mps is always positive

[discuss](#)

94. **According to Keynes, saving is:**

- A. private virtue but not social virtue
- B. private and social virtue
- C. is neither private virtue nor social virtue
- D. is either social virtue or private virtue

Answer» A. private virtue but not social virtue

[discuss](#)

95. **MEC is inversely related to:**

- A. prospective yield
- B. supply price
- C. investment
- D. rate of interest

Answer» A. prospective yield

[discuss](#)

96. **Keynes considered subjective and objective factors:**

- A. important determinants of consumption

96. Keynes considered subjective and objective factors:

- B. unimportant determinants of consumption
- C. determinants of investment
- D. determinants of business's willingness to pay

Answer» B. unimportant determinants of consumption

[discuss](#)

97. The sum of marginal propensity to consume plus marginal propensity to save must equal to:

- A. 0
- B. 1
- C. 100
- D. 1000

Answer» B. 1

[discuss](#)

98. Keynesian economics is:

- A. macro
- B. micro
- C. both
- D. none

Answer» A. macro

[discuss](#)

99. The MEC increases when:

- A. capitalstock increases
- B. capitalstock decreases
- C. capital remains constant
- D. none of the above

Answer» B. capitalstock decreases

100. Which of the following is correct?

- A. $1 + mps = mpc$
- B. $1 - mpc = mps$
- C. $mpc + mps > 1$
- D. $mpc + mps < 1$

Answer» B. $1 - mpc = mps$

101. Starting point of Keynesian economics is:

- A. effective demand
- B. individual demand
- C. aggregate demand
- D. market demand

Answer» A. effective demand

[discuss](#)

102. Keynesian three sector model consist of:

- A. business sector, service sector, external sector
- B. households, business, government
- C. government sector, open sector, service sector
- D. government sector, private sector, open sector

Answer» B. households, business, government

[discuss](#)

103. A substantial increase in the rate of interest can cause:

- A. increase in savings
- B. reduce propensity to consume
- C. all the above
- D. none of the above

103. A substantial increase in the rate of interest can cause:

Answer» C. all the above

[discuss](#)

104. Functional relationship between saving and disposable income is:

- A. savingfunction
- B. income function
- C. consumption function
- D. investment function

Answer» A. savingfunction

[discuss](#)

105. As the value of MPC increases, the value ofmultiplier:

- A. decreases
- B. increases
- C. constant
- D. cannot

Answer» B. increases

[discuss](#)

106. Who among the following pioneered the first real estimate of national income?

- A. adam smith
- B. david ricardo
- C. william petty
- D. none of the above

Answer» C. william petty

[discuss](#)

107. Who argued that national income issimply equal to “net product of agriculture”?

- A. mercantilists

107. Who argued that national income is simply equal to “net product of agriculture”?

- B. physiocrats
- C. classical economists
- D. neo classical economists

Answer» B. physiocrats

[discuss](#)

108. Who argued that “Everything that is produced in the course of a year, every service rendered, every brought about is a part of the national wealth.”?

- A. J.S. Mill
- B. Stanley Jevons
- C. Alfred Marshall
- D. Robert Malthus

Answer» C. Alfred Marshall

[discuss](#)

109. Who made the first major attempt to estimate national income in a somewhat comprehensive manner?

- A. Robert Fisher
- B. John Maynard Keynes
- C. Simon Kuznets
- D. Arthur Pigou

Answer» C. Simon Kuznets

[discuss](#)

110. Consumption of capital good in the process of production is called as

- A. capital consumption
- B. depreciation
- C. decay of capital
- D. none of the above

Answer» B. depreciation

[discuss](#)

111. Which one of the following is roughly equal to national income?

- A. gdp
- B. nnp
- C. gnp
- D. sdp

Answer» B. nnp

[discuss](#)

112. Which one of the following includes ‘income of residents’?

- A. gdp
- B. nnp
- C. sdp
- D. none of the above

Answer» B. nnp

[discuss](#)

113. Remittances made by NRIs to India in the context of national income accounting is called as

- A. remittance income
- B. nri income
- C. factor payments
- D. all of the above

Answer» C. factor payments

[discuss](#)

114. Who first introduced the concept of circular flow of income?

- A. william petty
- B. adam smith
- C. david ricardo

114. Who first introduced the concept of circular flow of income?

D. Francois Quesnay

Answer» D. Francois Quesnay

[discuss](#)

115. Which one in the following is a stock variable?

A. income

B. investment

C. capital

D. fiscal deficit

Answer» C. capital

[discuss](#)

116. Which one in the following is a flow variable?

A. debt

B. wealth

C. unemployment

D. GDP

Answer» D. GDP

[discuss](#)

117. Why do not the sale or purchase of used goods are not included in the GDP?

A. used goods have only limited life

B. used goods are not fresh production

C. used goods are included in the previous GDP calculations

D. all the above

Answer» C. used goods are included in the previous GDP calculations

[discuss](#)

118. Inventories are unsold goods produced by a firm, then why do they are included in GDP?

- A. inventories represent value
- B. inventories add to the stock of the firm
- C. they are purchases by the firm itself
- D. all the above

Answer» C. they are purchases by the firm itself

[discuss](#)

119. The value of 'intermediate goods' are excluded from GDP calculation because:

- A. it will increase the gdp unduly
- B. it results in multiple counting of same value
- C. intermediate goods are not important
- D. all the above

Answer» B. it results in multiple counting of same value

[discuss](#)

120. Value added at each stage of production means:

- A. value of output minus value of input
- B. total value added by that stage
- C. total value produced at that stage
- D. all of the above

Answer» A. value of output minus value of input

[discuss](#)

121. Imputed value of good is added to the GDP because:

- A. they indeed represent value
- B. there is no market price for that
- C. they increase consumption
- D. none of the above

121. Imputed value of good is added to the GDP because:

Answer» B. there is no market price for that

[discuss](#)

122. GDP Deflator is also called as:

- A. implicit cost deflator
- B. gdp at factor cost
- C. implicit wage deflator
- D. implicit price deflator

Answer» D. implicit price deflator

[discuss](#)

123. Personal Income includes:

- A. dividend distributed
- B. social insurance contributions
- C. corporate profit
- D. none of the above

Answer» A. dividend distributed

[discuss](#)

124. Disposable Income does not include:

- A. excise dutypaid
- B. income tax
- C. customs dutypaid
- D. none of theabove

Answer» B. income tax

[discuss](#)

125. Investment is reckoned by which method for computing GDP:

- A. income method

125. Investment is reckoned by which method for computing GDP:

- B. productmethod
- C. expenditure method
- D. value added method

Answer» C. expenditure method

126. Adam Smith, the father of modern economic theory, defined economics as a subject, which is mainly with the study of nature and causes of generation of

- A. wealth
- B. welfare
- C. hipness
- D. scarcity

Answer» A. wealth

[discuss](#)

127. introduced the concept of welfare in the study of economics:

- A. fischer
- B. alfred marshall
- C. j s mill
- D. adam smith

Answer» B. alfred marshall

[discuss](#)

128. Who defined economics as: a science which studies human behavior as a relationship between ends and means which have alternative uses:

- A. j b say
- B. alfred marshall
- C. david ricardo
- D. robbins

Answer» D. robbins

[discuss](#)

129. The problem of scarcity and choice making can be depicted using the tool of curve.

- A. demand
- B. isoquant
- C. indifference
- D. production possibility

Answer» D. production possibility

[discuss](#)

130. Macroeconomics is primarily concerned with aggregates. Which of the following is not a macroeconomic aggregate?

- A. decision making by a household
- B. the unemployment rate, and inflation levels
- C. national income
- D. the supply of money

Answer» A. decision making by a household

[discuss](#)

131. Scientific attempts to describe economic relationships are :

- A. factual and can never be wrong
- B. accurate ways to predict political viewpoints
- C. known as positive economics
- D. directed at the fairness of social programs

Answer» C. known as positive economics

[discuss](#)

132. The method consists in deriving conclusions from general truths, takes few general principles and applies them to draw conclusions.

- A. inductive
- B. deductive
- C. empirical
- D. scientific

132. The method consists in deriving conclusions from general truths, takes few general principles and applies them to draw conclusions.

Answer» B. deductive

[discuss](#)

133. is a term referring to an intellectual controversy over epistemology, research methodology between Carl Menger, and Gustav von Schmoller.

A. methodenstreit

B. laissez-faire

C. ceteris paribus

D. quid pro quo

Answer» A. methodenstreit

[discuss](#)

134. Inductive method which also called empirical method was adopted by the:

A. marginalist school

B. mercantilists

C. physiocrats

D. historical school of economists

Answer» D. historical school of economists

[discuss](#)

135. Decisions made in households, firms, and government are the focus of:

A. positive economic

B. microeconomics

C. normative economics

D. macroeconomics

Answer» C. normative economics

[discuss](#)

136. Knowledge used to combine resources productively is called:

A. comparative advantage

136. Knowledge used to combine resources productively is called:

- B. capitalism
- C. entrepreneurship
- D. technology

Answer» D. technology

[discuss](#)

137. Economic efficiency for the entire economy requires that :

- A. potential gains to anyone necessitate losses to another
- B. all goods be produced at their lowest possible opportunity costs
- C. maximum-valued output is obtained from given resource
- D. all of the above

Answer» D. all of the above

[discuss](#)

138. Theories are:

- A. much more complicated than common sense
- B. scientific only if based on normative value judgments
- C. proven if only a few unimportant exceptions exist
- D. developed when we collect data, try to explain how things work, and then

Answer» D. developed when we collect data, try to explain how things work, and then

[discuss](#)

139. Division of Labour is limited by the extent of:

- A. supply
- B. demand
- C. price
- D. market

Answer» D. market

[discuss](#)

140. Milton Friedman restated the :

- A. labour theory
- B. profit theory
- C. quantity theory of money
- D. wage theory

Answer» C. quantity theory of money

[discuss](#)

141. If the value of a variable varies as a consequence of the variation in the value of some other variable,

- A. exogenous variable
- B. endogenous variable
- C. stock
- D. flow

Answer» A. exogenous variable

[discuss](#)

142. Saving is a function of:

- A. export
- B. investment
- C. improvement in productivity
- D. income

Answer» D. income

[discuss](#)

143. In the classical theory the equality between saving and investment is brought about by:

- A. income
- B. rate interest
- C. consumption

143. In the classical theory the equality between saving and investment is brought about by:

D. none of these

Answer» B. rate interest

[discuss](#)

144. Economic Laws are:

A. statement of tendencies

B. exact and predictable

C. definite

D. none

Answer» A. statement of tendencies

[discuss](#)

145. Which of the following concepts are most closely associated with J.M. Keynes?

A. control of the money supply

B. marginal utility theory

C. indifference curve analysis

D. marginal efficiency of capital

Answer» D. marginal efficiency of capital

[discuss](#)

146. Which of the following is an example of economic overhead?

A. schools

B. roads and railways

C. sanitary facilities

D. hospitals

Answer» B. roads and railways

MACROECONOMICS II

1. **The value of money in Fisher's equation is determined by**

- A. Demand for money
- B. Supply of money
- C. Demand and supply of money
- D. None of the above

Answer» C. Demand and supply of money

[discuss](#)

2. **According to the Quantity Theory of Money, the value of money depends upon**

- A. Quantity theory of money in circulation
- B. Purchasing power of money
- C. Demand for money
- D. Price level

Answer» A. Quantity theory of money in circulation

[discuss](#)

3. **According to Cambridge equation, the value of money depends upon**

- A. Demand for money
- B. Supply of money
- C. Demand for goods and services
- D. All of the above

Answer» A. Demand for money

[discuss](#)

4. **The degree of relationship between the demand for and the supply of money in Fisher's equation will**

- A. $ssssssssss > dddddddddd$
- B. $ssssssssss = dddddddddd$
- C. $ssssssssss < dddddddddd$
- D. None of the above

4. **The degree of relationship between the demand for and the supply of money in Fisher's equation will**

Answer» B. $ssssssssss = dddddddddd$

[discuss](#)

5. **Which is not the function of money**

- A. Make demand and supply equal
- B. Store of value
- C. Medium of exchange
- D. Measure of value

Answer» A. Make demand and supply equal

[discuss](#)

6. **High-powered money is also known as**

- A. Base money
- B. Reserve money
- C. Narrow money
- D. All of the above

Answer» D. All of the above

[discuss](#)

7. **Who stated, "Bad money drives good money out of circulation, when both of them are full legal tend**

- A. Irving Fisher
- B. Milton Friedman
- C. J.M. Keynes
- D. Thomas Gresham

Answer» D. Thomas Gresham

[discuss](#)

8. **Value of money is**

- A. Directly related to the price level

8. **Value of money is**
- B. Inversely related to the price level
 - C. Proportionately related to the price level
 - D. All the above

Answer» B. Inversely related to the price level

[discuss](#)

9. **Who stated, “Money is what money does”?**
- A. Milton Friedman
 - B. Walker
 - C. Irving Fisher
 - D. Thomas Gresham

Answer» B. Walker

[discuss](#)

10. **Barter system means**
- A. Purchase of commodity with money
 - B. Sale of commodity with money
 - C. Purchase and sale of commodity with commodity
 - D. None of the above

Answer» C. Purchase and sale of commodity with commodity

[discuss](#)

11. **Which among the following is considered to be the most liquid asset?**
- A. Gold
 - B. Money
 - C. Land
 - D. Treasury bonds

Answer» B. Money

[discuss](#)

12. Currency notes and coins are called as:

- A. flat money
- B. legal tenders
- C. Fiat money
- D. Both (b) and (c)

Answer» D. Both (b) and (c)

[discuss](#)

13. Convertible money means

- A. It can buy goods
- B. Government can give gold against it
- C. Illegal money
- D. Low value of money

Answer» B. Government can give gold against it

[discuss](#)

14. Barter system has the defect of

- A. Goods exchanged are of inferior quality
- B. Goods cannot be exchanged for services
- C. Lack of common measure of value
- D. None of the above

Answer» C. Lack of common measure of value

[discuss](#)

15. Legal money is called so because

- A. The buyer must pay in that money
- B. Can be converted into gold
- C. Sellers do not accept any other money

22. **Paper money is called fiat money because**

Answer» A. It is issued with authority of government

[discuss](#)

23. **Value of money means**

- A. Gold purchased by money
- B. General Purchasing power of money
- C. Importance of money
- D. Demand for money

Answer» B. General Purchasing power of money

[discuss](#)

24. **If the quantity of money increases 100%, other things remaining constant, value of money changes b**

- A. Increases by 100 %
- B. Decreases by 100 %
- C. Decreases by 200%
- D. Does not change

Answer» B. Decreases by 100 %

[discuss](#)

25. **Value of money and supply of money are related**

- A. Inversely
- B. Directly
- C. Are not related
- D. None of the above

Answer» A. Inversely

26. **The quantity demanded of money rises**

- A. As the interest rises
- B. As the interest falls

25. Value of money and supply of money are related

- C. As the supply of money falls
- D. As the number of banks rises

Answer» B. As the interest falls

[discuss](#)

27. Equation of exchange is associated with

- A. Pigou
- B. J.B.Say
- C. Marshall
- D. Irving Fisher

Answer» D. Irving Fisher

[discuss](#)

28. Equation of exchange is converted into the quantity theory of money by assuming the following variables as constants

- A. V and T
- B. M and V
- C. M and P
- D. V and P

Answer» A. V and T

[discuss](#)

29. Fisher equation of exchange states that

- A. P varies directly with income
- B. P varies directly with M
- C. P and M are constants
- D. None of the above

Answer» B. P varies directly with M

[discuss](#)

30. In the Fisher's extended equation of exchange $MI \cdot V = P \cdot T$ represents

- A. Credit money
- B. Primary money
- C. Both primary and credit money
- D. General Price level

Answer» A. Credit money

[discuss](#)

31. In Fisher's transaction velocity model, which one of the following is not an assumption

- A. Velocity of circulation of money is constant
- B. The volume of transaction is constant
- C. Full employment
- D. P is considered as an active factor

Answer» D. P is considered as an active factor

[discuss](#)

32. The cash balance equation $MM = KKKKKK$ was given by

- A. Keynes
- B. Pigou
- C. Robertson
- D. Marshall

Answer» D. Marshall

[discuss](#)

33. The quantity theory of money was restated by

- A. Alfred Marshall
- B. Milton Friedman
- C. Irving Fisher
- D. J.M. Keynes

33. The quantity theory of money was restated by

Answer» B. Milton Friedman

[discuss](#)

34. Fisher's equation of exchange considers money as

- A. A medium of exchange
- B. A store of value
- C. Measures of value
- D. All of the above

Answer» A. A medium of exchange

[discuss](#)

35. Robertson's equation of exchange considers money as

- A. A medium of exchange
- B. A store of value
- C. Measures of value
- D. All of the above

Answer» B. A store of value

[discuss](#)

36. The number of times a unit of money exchanges hands during a unit period of time is known as

- A. Velocity of the circulation of money
- B. Speed of circulation of money
- C. Momentum of circulation of money
- D. Count of circulation of money

Answer» A. Velocity of the circulation of money

[discuss](#)

37. In India, coins are minted at four places, which among the following is one of them

- A. New Delhi

37. **In India, coins are minted at four places, which among the following is one of them**
- B. Chennai
 - C. Hyderabad
 - D. All of them

Answer» C. Hyderabad

[discuss](#)

Chapter: Banking

38. **Which of the following is a qualitative or selective method of credit control by the central bank?**
- A. Bank rate or Discount Rate Policy
 - B. Open market operations
 - C. Cash Reserve Ratio
 - D. None of the above

Answer» D. None of the above

[discuss](#)

39. **In what way the Central Bank serves as a Banker's Bank?**
- A. By maintaining gold reserve
 - B. By controlling currency
 - C. By acting as a lender of the last resort
 - D. By reducing the interest rates

Answer» C. By acting as a lender of the last resort

[discuss](#)

40. **Which of the following is not a function of commercial bank?**
- A. Accepting deposits
 - B. Creating credits
 - C. Printing bank notes
 - D. None of the above

40. Which of the following is not a function of commercial bank?

Answer» C. Printing bank notes

[discuss](#)

41. Reserve Bank of India(RBI) was established on

A. 1st April,1925

B. 1st April 1935

C. 1st April 1945

D. 1st April 1955

Answer» B. 1st April 1935

[discuss](#)

42. Primary deposit in a commercial bank is called

A. Active deposit

B. Passive deposit

C. Derivative deposit

D. All of the above

Answer» B. Passive deposit

[discuss](#)

43. Derivative deposit in a commercial bank is also called

A. Active deposit

B. Passive deposit

C. Primary deposit

D. None of the above

Answer» A. Active deposit

[discuss](#)

44. Bank rate is

A. The rate of interest charged by banks on their loans

44.	Bank rate is
B.	The rate of interest paid by banks on deposits
C.	Official discount rate at which the Central Bank rediscount approved bills of the commercial banks
D.	The interest paid by commercial banks to their beneficiaries

Answer» C. Official discount rate at which the Central Bank rediscount approved bills of the commercial banks

[discuss](#)

45.	Which of the following is not a function of Central Bank?
A.	Enjoys monopoly of note issue
B.	Acts as the banker's bank
C.	Creation of credit
D.	Lender of the last resort

Answer» A. Enjoys monopoly of note issue

[discuss](#)

46.	Which of the following is a qualitative method of credit control of a central bank?
A.	Bank rate
B.	Open market operation
C.	Rationing of Credit
D.	All of the above

Answer» C. Rationing of Credit

[discuss](#)

47.	If the central bank wants to control credit, it should
A.	Lower the rediscount rate
B.	Raise the bank rate
C.	Buy securities in the open market
D.	Raise cash reserve ratio

Answer» B. Raise the bank rate

[discuss](#)

48. Which of the following is a selective credit instrument?

- A. variable reserve ratio
- B. credit rationing
- C. Bank rate
- D. All of the above

Answer» B. credit rationing

[discuss](#)

49. When the Central Bank intends to expand the credit, it should

- A. Raise the margin requirements
- B. Raise the variable reserve ratio
- C. Lower the bank rate
- D. Purchase government securities in the open market

Answer» D. Purchase government securities in the open market

[discuss](#)

50. Open Market Operation is

- A. Buying and selling of government securities
- B. Sale of government securities
- C. Buying and selling of government cheques
- D. All of the above

Answer» A. Buying and selling of government securities

51. Open market operation will become successful if there is a

- A. free-market economy
- B. developing economy
- C. well-developed bill and security market
- D. All of the above

50. Open Market Operation is

Answer» C. well-developed bill and security market

[discuss](#)

52. Which of the following is not an instrument of selective credit control?

- A. Margin requirements
- B. Open market operation
- C. Credit rationing
- D. None of the above

Answer» B. Open market operation

[discuss](#)

53. Bank rate policy is not very effective because-

- A. It requires a well-developed money market
- B. It cannot operate effectively
- C. All banks are not under the control of central bank
- D. All the above

Answer» A. It requires a well-developed money market

[discuss](#)

54. Which of the following is not a quantitative method of credit control

- A. Bank rate
- B. Open market operation
- C. Variable reserve ratio
- D. Regulation of consumer credit

Answer» D. Regulation of consumer credit

[discuss](#)

55. To what extent the central bank is the lender of the last resort?

- A. As it lends to the government

55. To what extent the central bank is the lender of the last resort?

- B. As it provides finance to agriculture
- C. As it is the ultimate source of credit in times of crisis
- D. As it controls the money supply in the economy

Answer» C. As it is the ultimate source of credit in times of crisis

[discuss](#)

56. Variable reserve ratio refers to-

- A. The ratio which the commercial banks are required to maintain with the central bank
- B. The ratio at which the central bank rediscounts first class bills
- C. The purchase and sale by the central bank to government securities in the money market
- D. All of the above

Answer» A. The ratio which the commercial banks are required to maintain with the central bank

[discuss](#)

57. The term bank liquidity implies

- A. Management of cash
- B. Creation of credit
- C. The capacity of the bank to give cash on demand in exchange
- D. All of the above

Answer» C. The capacity of the bank to give cash on demand in exchange

[discuss](#)

58. What is known as the most profitable asset of a commercial bank?

- A. Investment at call and short-notice
- B. Loans and advances to its customers
- C. Accepting deposits
- D. None of the above

Answer» B. Loans and advances to its customers

[discuss](#)

59. The fundamental function of a commercial bank is

- A. Acceptance of deposits
- B. Advancing loans
- C. Issuing bank draft
- D. Creating credit

Answer» B. Advancing loans

[discuss](#)

60. Which of the following is not a function of commercial bank?

- A. Accepting deposits
- B. Advancing loans
- C. Creating credit
- D. Printing bank notes

Answer» D. Printing bank notes

[discuss](#)

61. Loans and investment of a commercial bank constitute its

- A. Derivative deposits
- B. Primary deposits
- C. Secondary deposits
- D. All of the above

Answer» A. Derivative deposits

[discuss](#)

62. Bank's liquidity means

- A. Its capacity to create credit
- B. Its capacity to provide a high rate of interest
- C. Its capacity to supply finance

62. Bank's liquidity means

D. Its capacity to convert its assets into cash

Answer» D. Its capacity to convert its assets into cash

[discuss](#)

63. A bank's capacity to create credit is limited by the

A. Size of cash

B. Size of its area

C. Size of the central bank

D. All of the above

Answer» A. Size of cash

[discuss](#)

64. A bank can increase the supply of money by

A. printing notes

B. Creating credit

C. Issuing cheques

D. None of the above

Answer» B. Creating credit

[discuss](#)

65. Which of the following public sector banks has the highest number of branches in India?

A. State Bank of India

B. Allahabad Bank

C. Bank of India

D. Punjab National Bank

Answer» A. State Bank of India

[discuss](#)

66. Derivative deposits are created during the time of –

- A. Accepting demand deposits
- B. Accepting drafts
- C. Making loans to the customers
- D. All of the above

Answer» C. Making loans to the customers

[discuss](#)

67. The securities and bonds which a commercial banks holds is also known as

- A. Cash reserve ratio
- B. Derivative deposits of the banks
- C. Secondary deposits of the bank
- D. All of the above

Answer» C. Secondary deposits of the bank

[discuss](#)

68. Which is known as the most profitable asset of the bank?

- A. loans and advance to its customers
- B. the investment in government securities
- C. life insurance policies of the staff
- D. None of the above

Answer» A. loans and advance to its customers

[discuss](#)

69. The derivative deposit created by a bank results in-

- A. a decrease in the total stock of money
- B. an increase in the total stock of money
- C. an increase in government securities
- D. none of the above

69. The derivative deposit created by a bank results in-

Answer» B. an increase in the total stock of money

[discuss](#)

70. What is Currency Deposit Ratio (CDR)?

- A. Ratio of money held by the public in currency to that of money held in bank deposits
- B. Ratio of money held by the public in bank deposits to that of money held by public in currency
- C. Ratio of money held in demand drafts to that of money held in treasury bonds
- D. None of the above

Answer» A. Ratio of money held by the public in currency to that of money held in bank deposits

[discuss](#)

71. What is the Reserve Deposit Ratio ?

- A. The proportion of money RBI lends to commercial banks
- B. The proportion of total deposits commercial banks keep as reserves
- C. The total proportion of money that commercial banks lend to the customers
- D. None of the above

Answer» B. The proportion of total deposits commercial banks keep as reserves

[discuss](#)

72. Which among the following is called the rate of interest charged by RBI for lending money to various commercial banks by rediscounting of the bills in India?

- A. Bank rate
- B. Discount window
- C. Monetary Policy
- D. Overnight rate

Answer» A. Bank rate

[discuss](#)

73. What method is used by the Bank to read code on cheque?

- A. MICR

73. What method is used by the Bank to read code on cheque?

- B. OCR
- C. OMR
- D. None of the above

Answer» A. MICR

[discuss](#)

74. Which is the largest private sector bank in India?

- A. ICICI
- B. Axis Bank
- C. HDFC
- D. ICICI

Answer» C. HDFC

[discuss](#)

75. Who was the first Indian to become Governor of Reserve Bank of India(RBI)?

- A. Liaquant Ali Khan
- B. T.T. Krishnamachari
- C. John Mathai
- D. C.D. Deshmukh

Answer» D. C.D. Deshmukh

76. In July 1969, 14 major Indian Scheduled Banks were nationalized and 6 more banks were nationalized.

- A. April 1980
- B. May 1980
- C. April 1981
- D. May 1981

Answer» A. April 1980

[discuss](#)

77. **Which is the largest private sector bank in India?**

- A. Axis Bank
- B. ICICI Bank
- C. HDFC Bank
- D. South Indian Bank

Answer» B. ICICI Bank

[discuss](#)

Chapter: Trade Cycles

78. **The term business cycle refers to**

- A. Fluctuations in aggregate economic activity over time
- B. Ups and down in the production of goods
- C. Increasing unemployment
- D. Declining savings

Answer» A. Fluctuations in aggregate economic activity over time

[discuss](#)

79. **Which one of the following is not the characteristic of business cycle?**

- A. They are recurrent
- B. They are not at regular intervals
- C. They have uniform causes
- D. All of the above

Answer» C. They have uniform causes

[discuss](#)

80. **The turning points of the business cycle are**

- A. Expansion and peak
- B. Peak and Contraction
- C. Contraction and Trough

80. The turning points of the business cycle are

D. Peak and Trough

Answer» D. Peak and Trough

[discuss](#)

81. Which of the following is referred to the top or the highest point of business cycle

A. Expansion

B. Peak

C. Expansion and Peak

D. None of the above

Answer» B. Peak

[discuss](#)

82. Trade cycles are caused by

A. Fiscal factors

B. Monetary factors

C. Both monetary and non-monetary factors

D. None of the above

Answer» C. Both monetary and non-monetary factors

[discuss](#)

83. During the phase of recovery

A. Aggregate demand remains constant

B. Aggregate demand increases

C. Aggregate demand decreases

D. None of the above

Answer» B. Aggregate demand increases

[discuss](#)

84. Who stated that “Trade Cycle is purely a monetary phenomenon”.

- A. Keynes
- B. Hawtrey
- C. Crowther
- D. Hayek

Answer» B. Hawtrey

[discuss](#)

85. According to Hayek’s overinvestment theory of trade cycle, fluctuation of investment occurs when

- A. Natural rate of interest is not equal to market rate of interest
- B. Natural rate of interest is equal to market rate of interest
- C. Natural rate of interest is equal to the rate of inflation
- D. None of the above

Answer» A. Natural rate of interest is not equal to market rate of interest

[discuss](#)

86. According to Keynes, in order to fight depression, stabilization policy should include

- A. High rate of taxation
- B. High interest rate
- C. Increased public expenditure
- D. None of the above

Answer» C. Increased public expenditure

[discuss](#)

87. According to Keynes, fluctuations in the volumes of investment is due to

- A. Fluctuations in the volume of savings
- B. Fluctuations in the marginal efficiency of capital
- C. Fluctuations in the marginal efficiency of labour
- D. None of the above

87. According to Keynes, fluctuations in the volumes of investment is due to

Answer» B. Fluctuations in the marginal efficiency of capital

[discuss](#)

88. During the phases of recession of a trade cycle

- A. Investment, income, employment and demand decline
- B. Investment falls but income rises
- C. Income, employment and investment rise
- D. None of the above

Answer» A. Investment, income, employment and demand decline

[discuss](#)

89. During the downward phase of trade cycle, the central bank of the country should

- A. Increase the cash reserve ratio
- B. Lower-down the cash reserve ratio
- C. Raise the bank rate
- D. None of the above

Answer» B. Lower-down the cash reserve ratio

[discuss](#)

90. During depression, government expenditure on public works will function as

- A. an anti-deflationary tonic
- B. a pump-priming
- C. compensatory action
- D. None of the above

Answer» B. a pump-priming

[discuss](#)

91. To attain long-term economic stability, the government can introduce

- A. Compensatory action

91. To attain long-term economic stability, the government can introduce

- B. Monetary measures
- C. Pump-priming
- D. an anti-deflationary tonic

Answer» A. Compensatory action

[discuss](#)

92. When the cause of business cycles is attributed to some factor outside the economic system, it is called

- A. A periodical theory
- B. An innovation theory
- C. An exogenous theory
- D. None of the above

Answer» C. An exogenous theory

[discuss](#)

93. During the upward swing of the trade cycle, the central bank of the country will

- A. Raise the cash reserve ratio
- B. Raise the bank rate
- C. Lower down the cash reserve ratio
- D. None of the above

Answer» B. Raise the bank rate

[discuss](#)

94. Who stated that “a sudden collapse of the marginal efficiency of capital leads to crisis”

- A. Keynes
- B. Hawtrey
- C. Hayek
- D. Schumpeter

Answer» A. Keynes

[discuss](#)

95. The trough of a business cycle is referred to as

- A. Expansion
- B. Boom
- C. Trough
- D. Peak

Answer» C. Trough

[discuss](#)

96. When aggregate economic activity is increasing, the economy is said to be in

- A. An expansion
- B. A contraction
- C. A peak
- D. A turning point

Answer» A. An expansion

[discuss](#)

97. When aggregate economic activity is declining, the economy is said to be in

- A. An expansion
- B. A contraction
- C. A peak
- D. A turning point

Answer» B. A contraction

[discuss](#)

98. Peaks and troughs of the business cycle are collectively known as

- A. Volatility
- B. Turning points
- C. Equilibrium points

98. Peaks and troughs of the business cycle are collectively known as

D. Real business cycle events

Answer» B. Turning points

[discuss](#)

99. Who officially determines whether the economy is in recession or expansion?

A. The President of the United States

B. The U.S Congress

C. The Federal Reserve Board of Governors

D. The National Bureau of Economic Research

Answer» D. The National Bureau of Economic Research

[discuss](#)

100. In which way recessions affect the real level of GDP?

A. Recessions cause only temporary reduction in real level of GDP

B. Recessions cause large, permanent reductions in the real level of GDP

C. Recessions cause both temporary and permanent declines in real level of GDP

D. None of the above

Answer» C. Recessions cause both temporary and permanent declines in real level of GDP

101. Cost of living increases when business cycle is

A. Expanding

B. Contracting

C. At peak

D. At lowest point

Answer» C. At peak

[discuss](#)

102. All but one are the endogenous factors of business cycle

A. War

102. All but one are the endogenous factors of business cycle

- B. Changes in government spending
- C. Money supply
- D. Fluctuations in investment

Answer» A. War

[discuss](#)

103. Fall in the interest rate is a typical feature of

- A. Recovery
- B. Boom
- C. Depression
- D. Contraction

Answer» C. Depression

[discuss](#)

104. During depression _____ industry suffer from excess production capacity

- A. Capital goods
- B. Consumer durable goods
- C. Non-durable goods
- D. Both (a) and (b)

Answer» D. Both (a) and (b)

[discuss](#)

105. The lowest level of economic activity is called

- A. Contraction
- B. Trough
- C. Recovery
- D. None of them

Answer» B. Trough

[discuss](#)

106. Which of the following is not the feature of business cycle?

- A. Business cycle follow perfectly timed cycle
- B. Business cycle vary in intensity
- C. Business cycle vary in length
- D. Aggregate economic activity

Answer» A. Business cycle follow perfectly timed cycle

[discuss](#)

107. At the time of Great Depression of 1930s, the global GDP fell by around

- A. 12 %
- B. 14 %
- C. 15 %
- D. 10 %

Answer» C. 15 %

[discuss](#)

108. Which of the following describes best a typical trade cycle?

- A. Economic expansions are followed by economic contractions
- B. Inflation is followed by rising income and employment
- C. Economic expansions are followed by economic growth and development
- D. Stagflation followed by rising employment

Answer» A. Economic expansions are followed by economic contractions

[discuss](#)

109. During upswing, the unemployment rate and output

- A. Rises; falls
- B. Rises; rises
- C. Falls; rises

109. During upswing, the unemployment rate and output

D. Falls ; falls

Answer» A. Rises; falls

[discuss](#)

110. If any unemployment exists during expansion phase of business cycle, it is

A. Voluntary and frictional

B. Technological and structural

C. Frictional and structural

D. Structural and involuntary

Answer» C. Frictional and structural

[discuss](#)

111. The most probable outcome of increase in aggregate demand is

A. Expansion of economic activity

B. Contraction of economic activity

C. Stable economic activity

D. Volatile economic activity

Answer» A. Expansion of economic activity

[discuss](#)

112. Economic recession is characterized by all of the following except

A. Decline in investment, employment

B. Increase in the price of inputs due to increased demand for inputs

C. Investors' confidence is shaken

D. Demand for goods, service decline

Answer» B. Increase in the price of inputs due to increased demand for inputs

[discuss](#)

113. Understanding business cycle is important for business managers because

- A. They affect the demand for their products
- B. They affect their profits
- C. To frame appropriate policies and forward planning
- D. All of the above

Answer» D. All of the above

[discuss](#)

114. Which indicators change before the economy itself changes

- A. Lagging
- B. Coincident
- C. Leading
- D. Concurrent

Answer» C. Leading

[discuss](#)

115. Which indicators change after the economy as a whole changes

- A. Lagging
- B. Coincident
- C. Leading
- D. Concurrent

Answer» A. Lagging

[discuss](#)

116. A variable that occur simultaneously with the business cycle movements is

- A. Leading indicator
- B. Lagging indicator
- C. Coincidentindicator
- D. Cyclical indicator

116. A variable that occur simultaneously with the business cycle movements is

Answer» C. Coincident indicator

[discuss](#)

117. The principle of accelerator explains the process by which

- A. An increase (or decrease) in the demand for consumption goods leads to an increase (or decrease) in the investment on capital goods
- B. The ratio between induced investment and an initial change in consumption expenditure
- C. An increase (or decrease) in the investment on capital goods leads to an increase (or decrease) in the demand for consumption goods
- D. None of the above

Answer» A. An increase (or decrease) in the demand for consumption goods leads to an increase (or decrease) in the investment on capital goods

[discuss](#)

Chapter: Inflation

118. Inflation is a situation when

- A. Prices of some goods rise
- B. General price level rises continuously
- C. Prices double every year
- D. Prices rise and fall

Answer» B. General price level rises continuously

[discuss](#)

119. An inflation caused by an enhanced wages of labour is

- A. Demand-pull inflation
- B. Cost-push inflation
- C. Hyperinflation
- D. Stagflation

Answer» B. Cost-push inflation

[discuss](#)

120. Inflation in under-developed country is basically caused by

- A. Mass poverty
- B. Less production
- C. Lack of technical know-how
- D. Market imperfection

Answer» D. Market imperfection

[discuss](#)

121. According to Keynes, inflationary gap is caused by

- A. excess supply
- B. excess demand
- C. deficiency of demand
- D. deficiency of supply

Answer» B. excess demand

[discuss](#)

122. Stagflation implies a situation of

- A. High inflation and high unemployment
- B. Low unemployment and low inflation
- C. High inflation and low unemployment
- D. Low inflation and high unemployment

Answer» A. High inflation and high unemployment

[discuss](#)

123. Demand- Pull inflation is caused by an

- A. Increase in the aggregate effective demand for goods and services
- B. Increase in the money incomes of the factors of production
- C. Increased investment in the economy
- D. All of the above

123. Demand- Pull inflation is caused by an

Answer» A. Increase in the aggregate effective demand for goods and services

[discuss](#)

124. Which of the following is a monetary measure to control inflation in an economy?

- A. Increase in money supply
- B. Demonetization of currency
- C. Increase in government expenditure
- D. All of the above

Answer» B. Demonetization of currency

[discuss](#)

125. In Keynesian view, inflation is

- A. The rise in the price level after the point of full employment
- B. A rise in the price level before the point of full employment
- C. Too much money chasing too few goods
- D. All of the above

Answer» A. The rise in the price level after the point of full employment

126. “Inflation is a state in which the value of money is falling i.e., prices are rising”.Who said this?

- A. Hansen
- B. Keynes
- C. Crowther
- D. Fisher

Answer» C. Crowther

[discuss](#)

127. If inflation is allowed to continue without any check, it is known as

- A. Supressed inflation
- B. Normal inflation

127. If inflation is allowed to continue without any check, it is known as

- C. Open inflation
- D. Deflation

Answer» C. Open inflation

[discuss](#)

128. When both prices and money income fall, the situation is called

- A. Disinflation
- B. Recession
- C. Deflation
- D. Anti-inflation

Answer» C. Deflation

[discuss](#)

129. Inflation in a developed country usually sets in

- A. Before the point of full employment
- B. After the point of full employment
- C. at the point full employment
- D. None of the above

Answer» B. After the point of full employment

[discuss](#)

130. During inflation, who suffers the most?

- A. Wage and salary earners
- B. Creditors
- C. Debtors
- D. Businessman

Answer» A. Wage and salary earners

[discuss](#)

131. When government interrupts price rise, there is

- A. Suppressed inflation
- B. Reflation
- C. Open inflation
- D. Deflation

Answer» A. Suppressed inflation

[discuss](#)

132. The phenomenal rise in prices accompanied by increased real income is known as

- A. inflation
- B. deflation
- C. reflation
- D. None of the above

Answer» C. reflation

[discuss](#)

133. Which of the following measure proves effective in reducing the rate of inflation?

- A. Decreased personal consumption
- B. Evaluation of currency
- C. Increased taxation
- D. All of the above

Answer» C. Increased taxation

[discuss](#)

134. Inflation can be controlled by applying:

- A. Monetary and fiscal policies
- B. Monetary and labour policy
- C. Fiscal and Commercial Policies
- D. All of the above

134. Inflation can be controlled by applying:

Answer» A. Monetary and fiscal policies

[discuss](#)

135. During inflation

- A. Lenders lose, borrowers gain
- B. Borrowers lose, lenders gain
- C. Borrowers and lenders both lose
- D. All sections of the society gain

Answer» A. Lenders lose, borrowers gain

[discuss](#)

136. Which people are most likely to gain during inflation?

- A. Those living on pension
- B. Those living on their savings
- C. Those who are repaying borrowed money
- D. Those who have lent money

Answer» C. Those who are repaying borrowed money

[discuss](#)

137. Inflation leads to

- A. Distribution of income equal
- B. Distribution of income unequal
- C. No effect on distribution of income
- D. Affects only industrial sector

Answer» B. Distribution of income unequal

[discuss](#)

138. Inflation in an under-developed economy generally sets in

- A. Before the point of full employment

138. Inflation in an under-developed economy generally sets in

- B. After the point of full employment
- C. At the point of full employment level
- D. All of the above

Answer» A. Before the point of full employment

[discuss](#)

139. Which of the following measure is adopted to reduce inflation?

- A. Reduction in bank rate
- B. Reduction in Repo rate
- C. Increase in government expenditure
- D. Cuts in government spending

Answer» D. Cuts in government spending

[discuss](#)

140. According to the monetarists, inflation is caused by

- A. Supply shocks
- B. Expansionary fiscal policies
- C. Expansionary monetary policies
- D. Government regulations

Answer» C. Expansionary monetary policies

[discuss](#)

141. Theoretically, one can distinguish a demand- pull inflation from a cost-push inflation by comparing

- A. How fast prices rise relative to wages
- B. The unemployment rate with its natural rate level
- C. When prices rise relative to wages
- D. None of the above

Answer» B. The unemployment rate with its natural rate level

[discuss](#)

142. Demand-pull inflation arises when

- A. Policymakers set a very high unemployment target
- B. A persistent budget deficit is financed by money creation
- C. The deficit is financed by selling bonds to the public
- D. All of the above

Answer» B. A persistent budget deficit is financed by money creation

[discuss](#)

143. Government may pursue inflationary monetary policies

- A. To promote high employment
- B. To accommodate demands of workers for higher wages
- C. To finance a persistent budget deficit
- D. All of the above

Answer» D. All of the above

[discuss](#)

144. Governments may end up with a high money growth rate and high inflation as a result of policies de

- A. Lower unemployment
- B. Finance persistent government budget deficits through money creation rather than by issuing bonds
- C. Redistribute wealth from debtors to creditors
- D. Both (a) and (b)

Answer» D. Both (a) and (b)

[discuss](#)

145. Which of the following is an effect of inflation?

- A. Erosion in purchasing power
- B. Affects relative price of goods
- C. Increase in inequalities of income

145. Which of the following is an effect of inflation?

D. All of the above

Answer» D. All of the above

[discuss](#)

146. Which of the following can be undertaken to control inflation?

A. Control on public expenditure

B. Control on hoarding and black-marketing

C. Effective control on credit

D. All of the above

Answer» D. All of the above

[discuss](#)

147. Which of the following is phenomenon that leads to Hyperinflation?

A. It is a situation when aggregate demand in an economy outpaces aggregate supply

B. It is a situation of persistent rise in inflation along with dip in growth and increase in unemployment

C. It is a situation caused by an increase in prices of inputs like labour, raw material etc

D. It is a situation when a nation experiences very high and accelerating inflation

Answer» D. It is a situation when a nation experiences very high and accelerating inflation

[discuss](#)

148. Inflationary gap said to exist when

A. Real GDP > Potential GDP

B. Real GDP < Potential GDP

C. Real GDP = Potential GDP

D. Unemployment rate > natural rate of unemployment

Answer» A. Real GDP > Potential GDP

[discuss](#)

149. Phillip's curve shows the relationship between the rate of

- A. Unemployment and output growth
- B. unemployment and increase in money wages
- C. Employment and inflation
- D. All of the above

Answer» B. unemployment and increase in money wages

[discuss](#)

150. According to Phillips curve unemployment will return to the natural rate when:

- A. Nominal wages are equal to expected wages
- B. Real wages are back at equilibrium level
- C. Nominal wages are growing faster than inflation
- D. Inflation is higher than the growth of nominal wages

Answer» B. Real wages are back at equilibrium level

DEVELOPMENT ECONOMICS

1. Which of the following explains the term economic growth?

- A. Increase in per capita production
- B. Increase in per capita real income
- C. Structural change in the economy
- D. All the above are right

Answer» D. All the above are right

[discuss](#)

2. Economic development is characterized by

- A. Structural change in the economy
- B. Change in the occupational structure
- C. Both A and B
- D. None of the above

2. **Economic development is characterized by**

Answer» C. Both A and B

[discuss](#)

3. **Underdevelopment is defined in terms of?**

- A. National income
- B. Per capita income
- C. Poverty ratio
- D. Rate of unemployment

Answer» B. Per capita income

[discuss](#)

4. **Which of the following explains the term economic development?**

- A. Improvement in the technology involved
- B. Improvement in production
- C. Improvement in distribution system
- D. All the above

Answer» D. All the above

[discuss](#)

5. **Which of the following is generally regarded as the true index of economic growth?**

- A. An increase in national income at constant prices during a year
- B. A sustained increase in real per capita income
- C. An increase in national income at current prices over time
- D. An increase in national income along with a corresponding increase in population

Answer» A. An increase in national income at constant prices during a year

[discuss](#)

6. **The concept of economic growth is_____.**

- A. Identical with the concept of economic development

6. **The concept of economic growth is _____.**

- B. Narrower than the concept of economic development
- C. Wider as compared to that of economic development
- D. Unrelated to the concept of economic development

Answer» B. Narrower than the concept of economic development

[discuss](#)

7. **Which of the following is not an indicator of economically underdeveloped countries?**

- A. Low per capita income
- B. High death-rate
- C. Low proportion of labour force in the primary sector
- D. High level of illiteracy

Answer» C. Low proportion of labour force in the primary sector

[discuss](#)

8. **The rate of growth of an economy mainly depends upon _____.**

- A. The rate of growth of the labour force
- B. The proportion of national income saved and invested
- C. The rate of technological improvements
- D. All of the above

Answer» D. All of the above

[discuss](#)

9. **Among the following determinants of growth, which is a non-economic factor?**

- A. Natural resources
- B. Population growth
- C. Favourable legislation
- D. Capital accumulation

Answer» C. Favourable legislation

[discuss](#)

- 10. Besides increase in output, economic development is concerned with:**
- A. Inputs and their efficiency
 - B. Equitable distribution of income
 - C. Life sustenance, self-esteem and freedom from want, ignorance and squalor
 - D. All of the above

Answer» D. All of the above

[discuss](#)

- 11. Economic growth can be measured by _____ .**
- A. The CPI
 - B. The CBI
 - C. GDP
 - D. MPC

Answer» C. GDP

[discuss](#)

- 12. Economic growth can be seen by an outward shift of _____ .**
- A. The Production Possibility Frontier
 - B. The Gross Domestic Barrier
 - C. The Marginal Consumption Frontier
 - D. The Minimum Efficient Scale

Answer» A. The Production Possibility Frontier

[discuss](#)

- 13. Development economics is the study of the**
- A. Alleviation of absolute poverty.
 - B. Transformation of institutions.
 - C. Allocation of resources in developing countries.

13. Development economics is the study of the

D. All of the above.

Answer» D. All of the above.

[discuss](#)

14. A good definition of the meaning of development is the _____.

A. Elimination of absolute poverty.

B. Improvement in the quality of life.

C. Fulfillment of the potential of individuals.

D. All of the above.

Answer» D. All of the above.

[discuss](#)

15. Development economics must have a scope wider than traditional economics because

A. Values and attitudes play little role in the pace of development.

B. People in developing societies do less utility-maximizing.

C. Transformation of social institutions is necessary for development.

D. All of the above.

Answer» C. Transformation of social institutions is necessary for development.

[discuss](#)

16. The concept of Economic Planning in India is derived from?

A. USA

B. UK

C. Australia

D. Russia

Answer» D. Russia

[discuss](#)

17. **Economic development refers to _____.**

- A. Economic growth.
- B. Economic growth plus changes in output distribution and economic structure.
- C. Improvement in the well-being of the urban population.
- D. Sustainable increases in Gross National Product.

Answer» B. Economic growth plus changes in output distribution and economic structure.

[discuss](#)

18. **Economic development means_____.**

- A. Economic growth.
- B. Economic growth plus structural and qualitative changes.
- C. Improvement in the living standard of the urban population.
- D. Sustainable increases in Gross National Product (GDP).

Answer» B. Economic growth plus structural and qualitative changes.

[discuss](#)

19. **In the Ricardian scheme of things, savings are provided by .**

- A. Labourers
- B. Capitalists
- C. Landlords
- D. Both B and C

Answer» B. Capitalists

[discuss](#)

20. **Which one of the following statements is not in tune with the Ricardian theory of growth?**

- A. Rent tends to rise
- B. Money wages tend to rise
- C. Profits tend to fall
- D. Profits tend to rise

20. Which one of the following statements is not in tune with the Ricardian theory of growth?

Answer» D. Profits tend to rise

[discuss](#)

21. Which one of the following is not an assumption of the Ricardian theory?

- A. Rising real wages
- B. Fixity of land
- C. Operation of the law of diminishing returns
- D. Perfect competition

Answer» A. Rising real wages

[discuss](#)

22. Ricardo built his theory round .

- A. Value
- B. Capital
- C. Wages
- D. Natural resources

Answer» C. Wages

[discuss](#)

23. In the Ricardian system, a crucial role in development was assigned to .

- A. Specialisation
- B. Technological changes
- C. Profits
- D. Government

Answer» C. Profits

[discuss](#)

24. Which of the following models uses three distinct concepts of stages of growth?

- A. Ramsey model

24. Which of the following models uses three distinct concepts of stages of growth?

- B. Harrod model
- C. Domar model
- D. Lewis model

Answer» B. Harrod model

[discuss](#)

**25. The classical theory of economic development is of relevance for the less developed countries today b
lays emphasis on .**

- A. Need for favourable institutional and social initiatives
- B. Extension of markets
- C. Capital accumulation
- D. All of the above

Answer» D. All of the above

26. Which growth model inspired the use of capital-output ratio for development planning?

- A. the Harrod-Domar model
- B. Solow's mode
- C. Kaldor's model
- D. Feldman's model

Answer» A. the Harrod-Domar model

[discuss](#)

27. Which of the following models makes the assumption of constant saving-income ratio?

- A. Kaldor model
- B. Leontief model
- C. Harrod-Domar model
- D. Joan Robinson model

Answer» C. Harrod-Domar model

[discuss](#)

28. The Harrod-Domar model is one of the well- known models of growth. Which of the two authors of t wrote earlier and in which year?

- A. Domar in 1940
- B. Harrood in 1939
- C. Domar in 1946
- D. Domar in 1948

Answer» B. Harrood in 1939

[discuss](#)

29. The concept of economic growth is _____ .

- A. Identical with the concept of economic development
- B. Narrower than the concept of economic development
- C. W ider as compared to that of economic development
- D. Unrelated to the concept of economic development

Answer» B. Narrower than the concept of economic development

[discuss](#)

30. Economic growth in India will happen necessarily if there is .

- A. Population growth
- B. Capital formation
- C. Technical progress in the global economy
- D. All the above

Answer» B. Capital formation

[discuss](#)

31. Which of the following is inconsistent with Adam Smith’s theory of development?

- A. Development process is cumulative in nature
- B. There is no limit to the growth process
- C. Capital accumulation and market extension are two prerequisites for output expansion
- D. There should be no government interference in the working of the economy

31. Which of the following is inconsistent with Adam Smith's theory of development?

Answer» B. There is no limit to the growth process

[discuss](#)

32. Karl Marx ideas about development theory are available in _____ .

- A. Communist Manifesto
- B. Das Kapital
- C. Capital: A Critique of Political Economy
- D. None of these

Answer» C. Capital: A Critique of Political Economy

[discuss](#)

33. In Schumpeter's theory of development maximum stress has been laid on:

- A. Capital
- B. Interest
- C. Land
- D. Entrepreneurship

Answer» D. Entrepreneurship

[discuss](#)

34. Which sector was emphasised most by Ricardo in the context of economic growth?

- A. Trade
- B. Industry
- C. Agriculture
- D. Services

Answer» C. Agriculture

[discuss](#)

35. Which one of the following, according to Ricardo, would form a bottleneck to economic growth?

- A. Shortage of land

35. Which one of the following, according to Ricardo, would form a bottleneck to economic growth?

- B. Rising rent
- C. Shortage of gold and silver
- D. Rising wage bills

Answer» A. Shortage of land

[discuss](#)

36. Which of the following is inconsistent with the Schumpeter's theory of development?

- A. The course of growth is continuous
- B. The output expansion, initiated by the entrepreneur, increases in size with time, making it cumulative
- C. Growth takes place on account of entrepreneurs who, with the help of bank credit, invest in innovative activities
- D. Capitalism destroys itself by being successful through the erosion of its institutions, by the hostility of its industrial and other elite classes, and also by the weakening of entrepreneurial innovation

Answer» A. The course of growth is continuous

[discuss](#)

37. According to the Schumpeter's model, the innovating entrepreneurs get the necessary finance from

- A. Voluntary Savings
- B. Own Resources
- C. Bank Credit
- D. Government

Answer» C. Bank Credit

[discuss](#)

38. Which one of the following was given a central place by Schumpeter in his theory of development?

- A. Capital accumulation
- B. Role of the Government
- C. Need for balanced growth
- D. Role of innovations

Answer» D. Role of innovations

38. Which one of the following was given a central place by Schumpeter in his theory of development?

[discuss](#)

39. In which year was the first volume of Das Capital by Karl Marx published?

- A. 1848
- B. 1859
- C. 1867
- D. 1873

Answer» C. 1867

[discuss](#)

40. Myrdal builds his theory of economic development around the idea of _____ .

- A. Regional inequalities on the national plane
- B. Regional inequalities on the international plane
- C. Both A and B
- D. None of the above

Answer» C. Both A and B

[discuss](#)

41. The concept of, 'Vicious Circle of Poverty' is related to _____ .

- A. Karl Marx
- B. Nurkse
- C. Adam Smith
- D. None of the above

Answer» B. Nurkse

[discuss](#)

42. Who formulated the theory of circular and cumulative causation which explains the perpetuation of underdevelopment through growing inequalities between developed and the underdeveloped countries?

- A. Lewis

42. **Who formulated the theory of circular and cumulative causation which explains the perpetuation of underdevelopment through growing inequalities between developed and the underdeveloped countries?**
- B. Gunnar Myrdal
 - C. Higgins
 - D. J. H. Boeke

Answer» B. Gunnar Myrdal

[discuss](#)

43. **In the context of which region was the 'big push' strategy of development formulated?**
- A. South Asia
 - B. South East Asia
 - C. Eastern Europe
 - D. East Africa

Answer» C. Eastern Europe

[discuss](#)

44. **Which among the following is a characteristic of underdevelopment?**
- A. Vicious circle of poverty
 - B. Rising mass consumption
 - C. Growth of industries
 - D. High rate of urbanization

Answer» A. Vicious circle of poverty

[discuss](#)

45. **Who fixes the poverty line?**
- A. Government
 - B. Lok Sabha
 - C. Rajya Sabha
 - D. Planning Commission

Answer» D. Planning Commission

[discuss](#)

46. The basic logic behind the 'big-push' strategy of development is related to .

- A. Internal economies
- B. External economies
- C. An optimum combination
- D. Both A and B

Answer» B. External economies

[discuss](#)

47. Under the 'big-push' strategy of development, large investments are to be directed towards _____

- A. Agriculture
- B. Industry
- C. Power
- D. Tr

Answer» A. Agriculture

[discuss](#)

48. The division of labour, according to Adam Smith, is limited by _____.

- A. The extent of the market
- B. The quantity of capital available
- C. Both (a) and (b)
- D. The size of labour force

Answer» C. Both (a) and (b)

[discuss](#)

49. The 'big-push' strategy of development was first advocated by:

- A. Paul N-Rosenstein-Rodan
- B. Simon Kuznets
- C. W. A. Lewis

49. The 'big-push' strategy of development was first advocated by:

D. A. O. Hirshman

Answer» A. Paul N-Rosenstein-Rodan

[discuss](#)

50. Who has given "Big Push Theory"?

A. R. Rodan

B. Jack Hamilton

C. Amritya Sen

D. Dr. Abhishek Mathur

Answer» A. R. Rodan

51. Development with unlimited supplies of labour hypothesis was originally formulated by _____.

A. Gustav Ranis

B. W. A. Lewis

C. R. Nurkse

D. J. Schumpeter

Answer» B. W. A. Lewis

[discuss](#)

52. Identify the economist who first advocated a rolling plan for developing countries?

A. J. Robinson

B. N. Kaldor

C. G. Myrdal

D. Paul A. Samuelson

Answer» C. G. Myrdal

[discuss](#)

53. Gunnar Myrdal was awarded Noble Prize for Economics in 1974. What is his nationality?

A. Norwegian

53. Gunnar Myrdal was awarded Noble Prize for Economics in 1974. What is his nationality?

- B. Dutch
- C. Swedish
- D. American

Answer» C. Swedish

[discuss](#)

54. How much population is living below poverty line in India ?

- A. Approx 24%
- B. Approx 25%
- C. Approx 26%
- D. Approx 27%

Answer» C. Approx 26%

[discuss](#)

55. Economic growth measures the?

- A. Growth of productivity
- B. Increase in nominal income
- C. Increase in output
- D. None of the above

Answer» C. Increase in output

[discuss](#)

56. The basic characteristic of an underdeveloped economy is_____ .

- A. Low income and poverty
- B. Low productivity
- C. Low per capital income
- D. High illiteracy level

Answer» A. Low income and poverty

[discuss](#)

57. According to Lewis's model, the dual economy grows only when _____ .

- A. The modern sector increases its output share relative to the traditional sector.
- B. Agricultural sector uses modern equipment.
- C. Agricultural sector hires labor economically.
- D. Modern manufacturing sector is labor- intensive.

Answer» A. The modern sector increases its output share relative to the traditional sector.

[discuss](#)

58. The vicious circle theory states that _____ .

- A. Growing government assistance creates addiction to welfare programs.
- B. Low income levels create pressure for money creation.
- C. Low income levels create pressure for cheap imports.
- D. Low per capita income creates low savings that keep incomes low.

Answer» D. Low per capita income creates low savings that keep incomes low.

[discuss](#)

59. Who have written the book "Capital and Growth"?

- A. R. Rodon
- B. Hicks
- C. Adam Smith
- D. Marshall

Answer» B. Hicks

[discuss](#)

60. SEZ India mobile app has been launched in January 2017 by _____ .

- A. Ministry of Labour and Employment.
- B. Ministry of Finance
- C. Ministry of Commerce and Industry

60. SEZ India mobile app has been launched in January 2017 by _____ .

D. Ministry of Corporate Affairs

Answer» C. Ministry of Commerce and Industry

[discuss](#)

61. Which among the following is First Indian Special Economic Zone (SEZ)?

A. Visakhapatnam SEZ

B. Kandla SEZ

C. Noida Special Economic Zone

D. Cochin

Answer» B. Kandla SEZ

[discuss](#)

62. According to the supply side of the vicious circle theory of development a country is poor because .

A. Technology levels do not allow for self sufficiency

B. It was previously too poor to save and invest

C. Underemployment is too widespread

D. Resource allocation is poor

Answer» B. It was previously too poor to save and invest

[discuss](#)

63. The synchronized application of capital to a wide range of different industries is called _____ b advocates.

A. Balanced growth

B. Capitalization

C. Elasticity of capital

D. Indivisibilities

Answer» A. Balanced growth

[discuss](#)

64. For Rosentein Rodan a major indivisibility is in _____.

- A. Supply
- B. Infrastructure
- C. Agriculture
- D. Services

Answer» B. Infrastructure

[discuss](#)

65. Economic growth is important because _____.

- A. People want less crime
- B. People want be happier
- C. People want a better environment
- D. People want higher incomes and more consumer goods.

Answer» D. People want higher incomes and more consumer goods.

[discuss](#)

66. The golden-rule saving rate is the rate of saving that _____.

- A. Gets the highest rate of interest
- B. Maximises the level of long-run investment
- C. Maximises the level of long-run consumption
- D. Maximises human capital

Answer» C. Maximises the level of long-run consumption

[discuss](#)

67. Backward and forward linkage are relevant for which kind of growth strategy?

- A. Unbalanced growth
- B. Trickle down growth
- C. Balanced growth
- D. Equilibrium growth

67. **Backward and forward linkage are relevant for which kind of growth strategy?**

Answer» A. Unbalanced growth

[discuss](#)

68. **Two economists have been particularly associated with the formulation of development with surplus hypothesis. One is R. Nurkse. Who is the other?**

A. W.A. Lewis

B. James S. Duessenberry

C. W.W. Rostow

D. Simon Kuznets

Answer» B. James S. Duessenberry

[discuss](#)

69. **The concept of economic growth is _____.**

A. Identical with the concept of economic development

B. Narrower than the concept of economic development

C. Wider as compared to that of economic development

D. Unrelated to the concept of economic development

Answer» B. Narrower than the concept of economic development

[discuss](#)

70. **The rate of growth of an economy mainly depends upon:**

A. The rate of growth of the labour force

B. The proportion of national income saved and invested

C. The rate of technological improvements

D. All of the above

Answer» D. All of the above

[discuss](#)

71. **To achieve full economic growth, Malthus laid special emphasis on the proper combination of _____**

A. Production and distribution

71.	To achieve full economic growth, Malthus laid special emphasis on the proper combination of _____
B.	Natural resources and capital
C.	Labour and technology
D.	Production and trade

Answer» A. Production and distribution

[discuss](#)

72.	According to R. Nurkse, the inducement to invest in the context of an underdeveloped economy is linked by the:
A.	Lack of savings
B.	Size of the market
C.	Lack of investment opportunities
D.	Low productivity of labour

Answer» B. Size of the market

[discuss](#)

73.	We can increase rate of economic growth in India if we increase:
A.	Taxes
B.	Imports
C.	Investment
D.	Population

Answer» C. Investment

[discuss](#)

74.	When an economy produces more output per capital the economy is said to be having:
A.	Inflation
B.	Economic growth
C.	Economic planning
D.	Living standard

Answer» B. Economic growth

75. By growth rate of an economy can be speeded up.

- A. Investment in share market
- B. Investment abroad
- C. Investment in human capital formation
- D. Investment in primary sector

Answer» C. Investment in human capital formation

76. Gross domestic capital formation is defined as_____.

- A. Flow of expenditure devoted to increase or maintaining of the capital stock
- B. Expenditure incurred on physical assets only
- C. Production exceeding demand
- D. Net addition to stock after depreciation

Answer» D. Net addition to stock after depreciation

[discuss](#)

77. Economic growth in India will happen necessarily if there is?

- A. Population growth
- B. Capital formation
- C. Technical progress
- D. All the above

Answer» B. Capital formation

[discuss](#)

78. The most important indicators of HRD .

- A. Those which measure a country's stock of human capital
- B. Those which measure the additions to this stock
- C. Both a and b
- D. None

78. The most important indicators of HRD .

Answer» C. Both a and b

[discuss](#)

79. The capital-output ratio is determined by:

- A. Sectoral allocation of capital
- B. Level of economic activity
- C. Human and natural resources
- D. All of the above

Answer» D. All of the above

[discuss](#)

80. HRD ways in education planning is / are.

- A. Manpower approach
- B. Social demand approach
- C. Rate of return approach
- D. All the above

Answer» D. All the above

[discuss](#)

81. Investment in human capital is related with expenditure in _____ .

- A. Education
- B. Training
- C. Health Services
- D. All the above

Answer» D. All the above

[discuss](#)

82. Mechanism of Human Resource Development includes

- A. Job Redesign

82. Mechanism of Human Resource Development includes

- B. Rewards
- C. Human Resource Information System
- D. All of the above

Answer» D. All of the above

[discuss](#)

83. Which of the following is correct regarding the Gross Domestic Savings in India?

- A. Contribution of Household sector is the largest
- B. Contribution of Government sector is the largest
- C. Contribution of Corporate sector is the largest
- D. None of these.

Answer» A. Contribution of Household sector is the largest

[discuss](#)

84. Which of the following would typically be considered “human capital”?

- A. Gender and race
- B. Health and education
- C. Prime ministers and presidents
- D. Religious world views and trust

Answer» A. Gender and race

[discuss](#)

85. On which date Swachh Bharat Abhiyan was launched?

- A. 2nd October
- B. 15th August
- C. 26th Jaunary
- D. 14th April

Answer» A. 2nd October

[discuss](#)

86. Swachh Bharat Mission (Rural) programme comes under which ministry?

- A. Ministry of Panchayati Raj
- B. Ministry of Drinking Water and Sanitation
- C. Ministry of Woman and Child Development
- D. Ministry of Rural Development

Answer» B. Ministry of Drinking Water and Sanitation

[discuss](#)

87. According to the human capital view of education _____.

- A. Has no impact on the human capital of workers
- B. Increases human capital and the wages of workers
- C. Can make any worker into a superstar
- D. Only helps firms sort workers into high ability and low-ability workers.

Answer» B. Increases human capital and the wages of workers

[discuss](#)

88. All primary schools will be upgraded to the.

- A. High levels
- B. Middle level
- C. Secondary level
- D. None of these

Answer» B. Middle level

INTERNATIONAL ECONOMICS

1. Which of the following is NOT true?

- A. Small countries depend more on trade than large countries.
- B. U.S. imports exceed U.S. exports.

1. Which of the following is NOT true?

- C. Economists believe that international trade is beneficial for all countries involved in it, in most cases.
- D. Imports cannot exceed exports for an extended period of time.

Answer» D. Imports cannot exceed exports for an extended period of time.

[discuss](#)

2. The term "gains from trade" describes:

- A. The fact that when two countries trade, both are better off.
- B. Consumer surplus.
- C. Profits made by businessmen involved in international trade.
- D. Producer surplus.

Answer» A. The fact that when two countries trade, both are better off.

[discuss](#)

3. Why do some people argue against free international trade?

- A. Trade alters the distribution of income between broad groups of people.
- B. Free trade threatens our country's security.
- C. There is disagreement on whether or not there are gains from trade.
- D. The U.S. is a large country and therefore does not gain from international trade.

Answer» A. Trade alters the distribution of income between broad groups of people.

[discuss](#)

4. Which of the following theories was proposed by David Ricardo?

- A. Theory of differences in labor productivity.
- B. Theory of differences in climate and resources.
- C. Theory of random components determining the pattern of trade.
- D. Theory of differences in factor endowments.

Answer» A. Theory of differences in labor productivity.

[discuss](#)

5. **What are most trade policies driven by?**

- A. Conflicts of interest between nations.
- B. Conflicts of interest within nations.
- C. Disagreements regarding who should produce certain products.
- D. Disagreements on the prices of major commodities.

Answer» B. Conflicts of interest within nations.

[discuss](#)

6. **Many countries were fixing the price of their currency in terms of gold:**

- A. Before World War I.
- B. During World War I.
- C. After World War II.
- D. During World War II.

Answer» A. Before World War I.

[discuss](#)

7. **How are international trade policies governed?**

- A. By the IMF.
- B. They are not governed by anyone.
- C. By the GATT.
- D. By the U.N.

Answer» C. By the GATT.

[discuss](#)

8. **Which of the following is NOT true regarding international capital markets?**

- A. There are special regulations in many countries with respect to foreign investment.
- B. The volume of trade on capital markets is lower ever since the "debt crisis" of 1982.
- C. Nations can default on their debt and may not be brought to court.
- D. Currency fluctuations add instability.

8. **Which of the following is NOT true regarding international capital markets?**

Answer» B. The volume of trade on capital markets is lower ever since the "debt crisis" of 1982.

[discuss](#)

9. **In his empirical test of comparative advantage, Wassily Leontief found that**

- A. U.S. exports are capital intensive relative to U.S. imports
- B. U.S. imports are labor intensive relative to U.S. exports
- C. U.S. exports are neither labor nor capital intensive
- D. None of the above

Answer» D. None of the above

[discuss](#)

10. **By adjusting the model of comparative advantage to include transportation costs along with production costs, we would expect**

- A. the prices of traded goods to be lower than when there are no transportation costs
- B. specialization to stop when the production costs of the trading partners equalize
- C. the volume of trade to be less than when there are no transportation costs
- D. the gains from trade to be greater than when there are no transportation costs.

Answer» C. the volume of trade to be less than when there are no transportation costs

[discuss](#)

11. **Assume that Country A is relatively abundant in labor and Country B is relatively abundant in land. Note that wages are the returns to labor and rents are the returns to land. According to the factor price equalization theorem, once Country A begins specializing according to comparative advantage and trading with Country B.**

- A. Wages and rents should fall in Country A
- B. Wages and rents should rise in Country A
- C. Wages should rise and rents should fall in Country A
- D. Wages should fall and rents should rise in Country A

Answer» C. Wages should rise and rents should fall in Country A

[discuss](#)

12. Trade between two countries can benefit both countries if

- A. Each country exports that good in which it has a comparative advantage.
- B. Each country enjoys superior terms of trade.
- C. Each country has a more elastic demand for the imported goods.
- D. Each country has a more elastic supply for the supplied goods.

Answer» A. Each country exports that good in which it has a comparative advantage.

[discuss](#)

13. The Ricardian theory of comparative advantage states that a country has a comparative advantage if

- A. Output per worker of widgets is higher in that country.
- B. That country's exchange rate is low.
- C. Wage rates in that country are high.
- D. The output per worker of widgets as compared to the output of some other product is higher in that country.

Answer» D. The output per worker of widgets as compared to the output of some other product is higher in that country.

[discuss](#)

14. In order to know whether a country has a comparative advantage in the production of one particular good, we need information on at least _____ unit labor requirements

- A. One
- B. Two
- C. Three
- D. Four

Answer» D. Four

[discuss](#)

15. As a result of trade, specialization in the Ricardian model tends to be

- A. Complete with constant costs and with increasing costs.
- B. Complete with constant costs and incomplete with increasing costs.
- C. Incomplete with constant costs and complete with increasing costs.
- D. Incomplete with constant costs and incomplete with increasing costs.

15. As a result of trade, specialization in the Ricardian model tends to be

Answer» B. Complete with constant costs and incomplete with increasing costs.

[discuss](#)

16. A nation engaging in trade according to the Ricardian model will find its consumption bundle

- A. Inside its production possibilities frontier.
- B. On its production possibilities frontier.
- C. Outside its production possibilities frontier.
- D. Inside its trade-partner's production possibilities frontier.

Answer» C. Outside its production possibilities frontier.

[discuss](#)

17. In the Ricardian model, if a country's trade is restricted, this will cause all except which?

- A. Limit specialization and the division of labor.
- B. Reduce the volume of trade and the gains from trade
- C. Cause nations to produce inside their production possibilities curves
- D. May result in a country producing some of the product of its comparative Disadvantage

Answer» C. Cause nations to produce inside their production possibilities curves

[discuss](#)

18. If a very small country trades with a very large country according to the Ricardian model, then

- A. The small country will suffer a decrease in economic welfare.
- B. The large country will suffer a decrease in economic welfare.
- C. The small country will enjoy gains from trade.
- D. The large country will enjoy gains from trade.

Answer» C. The small country will enjoy gains from trade.

[discuss](#)

19. The following are all assumptions that must be accepted in order to apply the Heckscher - Ohlin Theorem for one:

- A. Countries differ in their endowments of factors of production.

19. **The following are all assumptions that must be accepted in order to apply the Heckscher - Ohlin Theorem for one:**

- B. Countries differ in their technologies.
- C. There are two factors of production.
- D. Production is subject to constant returns to scale.

Answer» B. Countries differ in their technologies.

[discuss](#)

20. **In international-trade equilibrium in the Heckscher-Ohlin model,**

- A. The capital rich country will charge less for the capital intensive good than the price paid by the capital poor country for the capital-intensive good.
- B. The capital rich country will charge the same price for the capital intensive good as that paid for it by the capital poor country.
- C. The capital rich country will charge more for the capital intensive good than the price paid by the capital poor country for the capital-intensive good.

Answer» B. The capital rich country will charge the same price for the capital intensive good as that paid for it by the capital poor country.

[discuss](#)

21. **The Heckscher-Ohlin model predicts all of the following except:**

- A. Which country will export which product
- B. Which factor of production within each country will gain from trade.
- C. The volume of trade.
- D. That wages will tend to become equal in both trading countries.

Answer» C. The volume of trade.

[discuss](#)

22. **The Heckscher-Ohlin model differs from the Ricardian model of Comparative Advantage in that the**

- A. Has only two countries
- B. Has only two products.
- C. Has two factors of production.
- D. Has two production possibility frontiers (one for each country).

22. **The Heckscher-Ohlin model differs from the Ricardian model of Comparative Advantage in that the**

Answer» C. Has two factors of production.

[discuss](#)

23. **In free trade between two countries in an H-O world:**

- A. If both countries produce both goods, wages in the two countries will be the
- B. same.
- C. If one country does not produce both goods, wages in the two countries will be the same
- D. The world relative price is between the two-self-sufficiency relative Prices but the relative Price of a good exactly the same in both countries

Answer» A. If both countries produce both goods, wages in the two countries will be the

[discuss](#)

24. **The trade model of the Swedish economists Heckscher and Ohlin maintains that:**

- A. Absolute advantage determines the distribution of the gains from trade
- B. Comparative advantage determines the distribution of the gains from trade.
- C. The division of labor is limited by the size of the world market
- D. A country exports goods for which its resource endowments are most suited.

Answer» D. A country exports goods for which its resource endowments are most suited.

[discuss](#)

25. **According to the factor endowment model of Heckscher and Ohlin, countries heavily endowed with land will:**

- A. Devote excessive amounts of resources to agricultural production.
- B. Devote insufficient amounts of resources to agricultural production
- C. Export products that are land-intensive.
- D. Import products that are land-intensive.

Answer» C. Export products that are land-intensive.

26. **According to the Heckscher-Ohlin model, the source of comparative advantage is a country's:**

- A. Technology

25. According to the factor endowment model of Heckscher and Ohlin, countries heavily endowed with land will:

- B. Advertising
- C. Factor endowments
- D. Both (a) and (c)

Answer» C. Factor endowments

[discuss](#)

27. The Heckscher-Ohlin model rules out the classical model's basis for trade by assuming that _____ identical between countries.

- A. Factor endowments
- B. Factor intensities
- C. Technology
- D. Opportunity costs

Answer» C. Technology

[discuss](#)

28. According to the Heckscher-Ohlin model

- A. Everyone automatically gains from trade
- B. The gainers from trade outnumber the losers from trade
- C. The scarce factor necessarily gains from trade
- D. None of the above

Answer» B. The gainers from trade outnumber the losers from trade

[discuss](#)

29. Countries H and F operate in an H-O world. Each country produces two goods, A and B. Good A is capital intensive and country F is relatively labor abundant. Suppose however, that the production technology is not the same in the two countries. That is, H has a superior technology of production compared to F.

- A. Free trade will equalize wages between the two countries
- B. In free trade, there will be no incentive for migration of labor from H to F.
- C. In free trade there will be some incentive for workers from F to migrate to H.

29. Countries H and F operate in an H-O world. Each country produces two goods, A and B. Good A is capital intensive and country F is relatively labor abundant. Suppose however, that the production technology is not the same in the two countries. That is, H has a superior technology of production compared to F.

D. Both b. and c.

Answer» D. Both b. and c.

[discuss](#)

30. According to the Heckscher - Ohlin model, if the United States is richly endowed in human capital relative to Mexico, then as NAFTA increasingly leads to more bilateral free trade between the two countries,

A. The United States will find its industrial base sucked into Mexico

B. Mexico will find its relatively highly skilled workers drawn to the United States

C. The wages of highly skilled U.S. workers will be drawn down to Mexican levels

D. The wages of highly skilled Mexican workers will rise to those in the United States.

Answer» D. The wages of highly skilled Mexican workers will rise to those in the United States.

[discuss](#)

31. In the 2-factor, 2 good Heckscher-Ohlin model, an influx of workers from across the border would

A. Moves the point of production along the production possibility curve

B. Shifts the production possibility curve outward, and increase the production of both goods

C. Shift the production possibility curve outward and decrease the production of the Labor-intensive product

D. Shift the production possibility curve outward and decrease the production of the capital-intensive product

Answer» D. Shift the production possibility curve outward and decrease the production of the capital-intensive product

[discuss](#)

32. In the 2-factor, 2 good Heckscher-Ohlin model, the two countries differ in

A. Tastes

B. Military capabilities

C. Size

D. Relative availabilities of factors of production

Answer» D. Relative availabilities of factors of production

[discuss](#)

33. According to the Heckscher-Ohlin model, the source of comparative advantage is a country's
- A. Technology
 - B. Advertising.
 - C. Factor endowments
 - D. Both A and B.

Answer» C. Factor endowments

[discuss](#)

34. One way in which the Heckscher-Ohlin model differs from the Ricardo model of comparative advantage is assuming that _____ is (are) identical in all countries.
- A. Factor of production endowments
 - B. Scale economies
 - C. Factor of production intensities
 - D. Technology

Answer» D. Technology

[discuss](#)

35. The Heckscher-Ohlin model assumes that _____ are identical in all trading countries
- A. Gross domestic product
 - B. Technologies
 - C. Factor endowments
 - D. Both A. and B

Answer» B. Technologies

[discuss](#)

36. As opposed to the Ricardian model of comparative advantage, the assumption of diminishing returns to scale in the Heckscher-Ohlin model means that the probability is greater that with trade
- A. Countries will not be fully specialized in one product
 - B. Countries will benefit from free international trade.
 - C. Countries will consume outside their production possibility frontier.
 - D. Comparative advantage is primarily supply related.

36. As opposed to the Ricardian model of comparative advantage, the assumption of diminishing returns in the Heckscher-Ohlin model means that the probability is greater that with trade

Answer» A. Countries will not be fully specialized in one product

[discuss](#)

37. Which of the following is false (for the Heckscher-Ohlin model)?

- A. Differences in technologies could be the source of gains from trade
- B. Some groups may gain and some may lose due to trade
- C. Gains for the trade-related winners will tend to be larger than losses of losers.
- D. None of the above.

Answer» A. Differences in technologies could be the source of gains from trade

[discuss](#)

38. If a commodity is classified as "labor-intensive" at one set of relative factor prices but "capital-intensive" at another set of relative prices, this situation is known as

- A. demand reversal.
- B. factor-intensity reversal.
- C. balance of payment reversal
- D. factor price reversal

Answer» B. factor-intensity reversal.

[discuss](#)

39. If relatively capital-abundant country A opens trade with relatively labor- abundant country B and the trade takes place in accordance with the Heckscher-Ohlin Theorem. What would be the consequence for factor prices (w/r) in the two countries?

- A. (w/r) rises in A and falls in B
- B. (w/r) rises in A and also rises in B
- C. (w/r) falls in A and rises in B
- D. (w/r) falls in A and also falls in B

Answer» C. (w/r) falls in A and rises in B

[discuss](#)

40.	An implication of the Heckscher-Ohlin Theorem is that
A.	if two countries have identical tastes, then no trade will occur between them.
B.	the relative price of a country's scarce factor of production will rise when the country is opened to trade.
C.	income distribution in a country does not change when a country is opened to trade.
D.	two countries with identical tastes can still have a basis for trade if factor endowments of the countries differ if the factor intensities of the commodities differ.

Answer» D. two countries with identical tastes can still have a basis for trade if factor endowments of the countries differ if the factor intensities of the commodities differ.

[discuss](#)

41.	Theory of comparative advantage was presented by:
A.	Adam Smith
B.	Ricardo
C.	Hicks
D.	Arshad

Answer» B. Ricardo

[discuss](#)

42.	Which of the following is international trade:
A.	Trade between provinces
B.	Trade between regions
C.	Trade between countries
D.	(b) and (c) of above

Answer» C. Trade between countries

[discuss](#)

43.	Which is NOT an advantage of international trade:
A.	Export of surplus production
B.	Import of defence material
C.	Dependence on foreign countries

43. Which is NOT an advantage of international trade:

D. Availability of cheap raw materials

Answer» C. Dependence on foreign countries

[discuss](#)

44. Trade between two countries can be useful if cost ratios of goods are:

A. Equal

B. Different

C. Undetermined

D. Decreasing

Answer» B. Different

[discuss](#)

45. Modern theory of international trade is based n the views of:

A. Robbins and Ricardo

B. Adam Smith and Marshall

C. Heckscher and Ohlin

D. Saleem and Kareem

Answer» C. Heckscher and Ohlin

[discuss](#)

46. Foreign trade creates among countries:

A. Conflicts

B. Cooperation

C. Hatred

D. Both (a) & (b)

Answer» B. Cooperation

[discuss](#)

47. **Net exports equal:**

- A. Exports x Imports
- B. Exports + Imports
- C. Exports - Imports
- D. Exports of services only

Answer» C. Exports - Imports

[discuss](#)

48. **If Japan and Pakistan start free trade, difference in wages in two countries will:**

- A. Increase
- B. Decrease
- C. No effect
- D. Double

Answer» B. Decrease

[discuss](#)

49. **According to Hecksher and Ohlin basic cause of international trade is:**

- A. Difference in factor endowments
- B. Difference in markets
- C. Difference in political systems
- D. Difference in ideology

Answer» A. Difference in factor endowments

[discuss](#)

50. **All are advantages of foreign trade EXCEPT:**

- A. People get foreign exchange
- B. Nations compete
- C. Cheaper goods
- D. Optimum utilisation of country's resources

50. All are advantages of foreign trade EXCEPT:

Answer» A. People get foreign exchange

51. A primary reason why nations conduct international trade is because:

- A. Some nations prefer to produce one thing while others produce another
- B. Resources are not equally distributed to all trading nations
- C. Trade enhances opportunities to accumulate profits
- D. Interest rates are not identical in all trading nations

Answer» B. Resources are not equally distributed to all trading nations

[discuss](#)

52. A main advantage of specialization results from:

- A. Economics of large scale production
- B. The specializing country behaving as a monopoly
- C. Smaller production runs resulting in lower unit costs.
- D. High wages paid to foreign workers

Answer» A. Economics of large scale production

[discuss](#)

53. International trade in goods and services is sometimes used as a substitute for all of the following except:

- A. International movements of capital.
- B. International movements of labor.
- C. International movements of technology
- D. Domestic production of different goods and services

Answer» D. Domestic production of different goods and services

[discuss](#)

54. If a nation has an open economy it means that the nation:

- A. Allows private ownership of capital.
- B. Has flexible exchange rates

54. If a nation has an open economy it means that the nation:

- C. Has fixed exchange rates
- D. Conducts trade with other countries

Answer» D. Conducts trade with other countries

[discuss](#)

55. International trade forces domestic firms to become more competitive in terms of:

- A. The introduction of new products
- B. Product design and quality
- C. Product price
- D. All of the above

Answer» D. All of the above

[discuss](#)

56. The movement to free international trade is most likely to generate short-term unemployment in which industries:

- A. Industries in which there are neither imports nor exports
- B. Import-competing industries.
- C. Industries that sell to domestic and foreign buyers
- D. Industries that sell to only foreign buyers

Answer» B. Import-competing industries.

[discuss](#)

57. International trade is based on the idea that:

- A. Exports should exceed imports
- B. Imports should exceed exports
- C. Resources are more mobile internationally than are goods
- D. Resources are less mobile internationally than are goods

Answer» D. Resources are less mobile internationally than are goods

[discuss](#)

- 58. Arguments for free trade are sometimes disregarded by politicians because:**
- A. Maximizing domestic efficiency is not considered important
 - B. Maximizing consumer welfare may not be a chief priority
 - C. There exist sound economic reasons for keeping one's economy isolated from other economies.
 - D. Economists tend to favor highly protected domestic markets

Answer» B. Maximizing consumer welfare may not be a chief priority

[discuss](#)

- 59. Increased foreign competition tend to**
- A. Intensify inflationary pressure at home
 - B. Induce falling output per worker-hour for domestic workers
 - C. Place constraints on the wages of domestic workers
 - D. Increase profits of domestic import-competing industries

Answer» C. Place constraints on the wages of domestic workers

[discuss](#)

- 60. Free trade is based on the principle of:**
- A. Comparative advantage
 - B. Comparative scale
 - C. Economies of advantage
 - D. Production possibility advantage

Answer» B. Comparative scale

[discuss](#)

Chapter: Unit 2

- 61. In 2003, the US had the largest total amount of imports from and exports to**
- A. China.
 - B. Mexico.
 - C. Canada.

61. In 2003, the US had the largest total amount of imports from and exports to

D. Germany.

Answer» C. Canada.

[discuss](#)

62. Evidence shows that

A. the effect of borders is not important when comparing international trade with trade between regions within country.

B. the amount of trade that a country undertakes is not related to its geography.

C. the amount of trade between countries is not related to the cultural affinity between the countries.

D. countries farther apart have less trade between them on average.

Answer» D. countries farther apart have less trade between them on average.

[discuss](#)

63. The North American Free Trade Agreement

A. has reduced the usefulness of the gravity model.

B. has shown that international borders no longer affect the amount of trade between countries.

C. has reduced tariffs and other trade restrictions among British Columbia, Manitoba and Ontario.

D. has reduced tariffs and other trade restrictions among Canada, Mexico and the US.

Answer» D. has reduced tariffs and other trade restrictions among Canada, Mexico and the US.

[discuss](#)

64. While technologies have reduced the negative effect that distance has on trade,

A. the effect of international borders has not been reduced through trade agreements.

B. the effects of the Internet and airplanes on trade have been negligible.

C. political factors have historically been more influential in determining the amount of trade than available technologies.

D. cultural clashes have recently reduced the amount of US trade compared to US trade in 1950.

Answer» C. political factors have historically been more influential in determining the amount of trade than available technologies.

[discuss](#)

65. Most international trade today is classified as trade in

- A. Agricultural products
- B. Services
- C. Manufactured products
- D. Dairy products

Answer» C. Manufactured products

[discuss](#)

66. Approximately what percent of US imports occur through transactions conducted by a multinational corporation?

- A. 5%
- B. 10%
- C. 25%
- D. 40%

Answer» D. 40%

[discuss](#)

67. Outsourcing refers to the case in which

- A. a firm exports out of a country rather than selling products within a country.
- B. a firm imports into a country rather than buying products from within a domestic country.
- C. consumers find out the source of where production occurs.
- D. a firm moves part of its business operations out of the domestic country.

Answer» D. a firm moves part of its business operations out of the domestic country.

[discuss](#)

68. Gross domestic product measures

- A. the gross weight of products that are imported into a domestic country.
- B. the gross weight of products that are exported from a domestic country.
- C. the gross profits from all final goods and services produced in an economy.
- D. the total value of all final goods and services produced within an economy.

68. Gross domestic product measures

Answer» D. the total value of all final goods and services produced within an economy.

[discuss](#)

69. In the Ricardian model:

- A. Trade will happen even if countries are identical.
- B. Differences in factor endowments give rise to trade.
- C. There is only one factor of production.
- D. There is only one industry in each country.

Answer» C. There is only one factor of production.

[discuss](#)

70. The Ricardian model exhibits gains from trade:

- A. Only if each country has an absolute advantage in one of the industries.
- B. For both trading countries.
- C. Only for one of the trading countries.
- D. Only if countries specialize completely.

Answer» B. For both trading countries.

[discuss](#)

71. Country A has 5000 units of labor. It takes 50 units of labor to produce one computer and 1 unit to produce a Web page. What is the opportunity cost of a Web page in terms of computers?

- A. 50
- B. 0.0002
- C. 100
- D. 0.02

Answer» D. 0.02

[discuss](#)

72. The opportunity cost of producing computers in terms of Web pages is 50 in Country A and is 10 in Country B. Based on the Ricardian model, what can we conclude about the pattern of trade?

- A. Country A will export computers and import Web pages.

72. **The opportunity cost of producing computers in terms of Web pages is 50 in Country A and is 10 in Country B. Based on the Ricardian model, what can we conclude about the pattern of trade?**
- B. We need to know what the relative price of computers in terms of web pages is to answer this question.
- C. We need to know what wages are to answer this question.
- D. Country A will export Web pages and import computers.

Answer» D. Country A will export Web pages and import computers.

[discuss](#)

73. **Which of the following is NOT an assumption in the Ricardian model?**

- A. Labor productivity in each country is fixed.
- B. Labor can freely move across countries.
- C. Each country has only one factor of production and its amount is fix

Answer» B. Labor can freely move across countries.

[discuss](#)

74. **Country A has 100 units of labor and Country B has 200 units of labor. Both countries produce computers and Web pages. The unit labor requirements are given in the table below:**
- | | Computers | Web pages |
|-----------|-----------|-----------|
| Country A | 50 | 1 |
| Country B | 100 | 1 |
- Assume free trade exists and that the relative price is such that both countries specialize completely in the industry in which they have a comparative advantage (neither country produces both goods). The supply of computers relative to Web pages will be:**

- A. (or 1/100)
- B. 0.013 (or 1/75)
- C. Impossible to determine without knowing the relative price of computers in terms of Web pages.
- D. (or 1/50)

Answer» A. (or 1/100)

[discuss](#)

75. **Country A and Country B produce computers and Web sites. The unit labor requirements are given below:**
- | | Computers | Web pages |
|-----------|-----------|-----------|
| Country A | 50 | 1 |
| Country B | 100 | 1 |
- At which of the following relative prices (computers in terms of Web sites) will Country B produce both goods under free trade?**

- A. 50
- B. 75
- C. 100

75. Country A and Country B produce computers and Web sites. The unit labor requirements are given below: Computers Web pages Country A 50 1 Country B 100 1 At which of the following relative prices (computers in terms of Web sites) will Country B produce both goods under free trade?

D. 25

Answer» C. 100

76. In the Ricardian model, when two countries trade freely, the relative price of the goods they are traded is determined by:

A. Relative demand and relative supply for each trading country.

B. Relative demand and relative supply on the world market.

C. Relative opportunity costs in the two countries.

D. Relative wages.

Answer» B. Relative demand and relative supply on the world market.

[discuss](#)

77. Which of the following is true?

A. Trade only hurts countries with lower wages.

B. Countries that open up for trade see their wages rise over time relative to U.S. wages.

C. Trade necessarily hurts poorer countries.

D. none

Answer» B. Countries that open up for trade see their wages rise over time relative to U.S. wages.

[discuss](#)

78. The welfare effects of a quota depend to a considerable extent upon

A. Who has the quota license

B. The size of the quota

C. Elasticities of domestic demand and supply

D. All of the above

Answer» D. All of the above

[discuss](#)

79. _____ are profits that accrue to whomever has the right to import the good that is restricted by
- A. Quota license
 - B. Quota rents
 - C. Quota prices
 - D. None of the above

Answer» B. Quota rents

[discuss](#)

80. **The home-country government can confiscate the revenue effect of an import quota if**
- A. Quota licenses are given to foreign exporting companies
 - B. Quota licenses are auctioned to the highest-bidding importing company
 - C. If quota licenses are given to domestic consumers of the good
 - D. Both (a) and (c)

Answer» B. Quota licenses are auctioned to the highest-bidding importing company

[discuss](#)

81. **Governments around the world tend to auction quota licenses**
- A. Never
 - B. Seldom
 - C. Often
 - D. Always

Answer» B. Seldom

[discuss](#)

82. **A(n) _____ is an example of a quota where foreigners hold quota licenses.**
- A. Export quota
 - B. Embargo
 - C. Auction quota
 - D. Tariff quota

82. A(n) _____ is an example of a quota where foreigners hold quota licenses.

Answer» D. Tariff quota

[discuss](#)

83. International dumping may involve

- A. selling goods to foreigners at a price below that charged domestic consumers
- B. selling goods to foreigners at a price below the cost of production
- C. antidumping duties being levied on the imported, dumped goods
- D. all of the above

Answer» D. all of the above

[discuss](#)

84. Nontariff trade barriers could include all of the following except

- A. Domestic content laws
- B. Government procurement policies
- C. Health, safety, and environmental standards
- D. Antidumping/countervailing duties applied to imports

Answer» D. Antidumping/countervailing duties applied to imports

[discuss](#)

85. A production subsidy that is granted to a producer of an import-competing good

- A. Does not require governmental taxes to finance it
- B. Yields the same deadweight welfare loss as an import tariff or import quota
- C. Has only a consumption effect deadweight loss
- D. Has only a protective effect deadweight loss

Answer» D. Has only a protective effect deadweight loss

[discuss](#)

86. A tariff-rate quota is essentially a

- A. Two-tier tariff applied to a country's imports

86. **A tariff-rate quota is essentially a**
- B. Three-tier tariff applied to a country's imports
 - C. Two-tier quota applied to a country's exports
 - D. Three-tier quota applied to a country's exports

Answer» A. Two-tier tariff applied to a country's imports

[discuss](#)

87. **A tax of 20 cents per unit of imported cheese would be an example of a (an):**

- A. Compound tariff
- B. Effective tariff
- C. Ad valorem tariff
- D. Specific tariff

Answer» D. Specific tariff

[discuss](#)

88. **A sudden shift from import tariffs to free trade may induce short-term unemployment in:**

- A. Import-competing industries
- B. Industries that are only exporters
- C. Industries that sell domestically as well as export
- D. Industries that neither import nor export

Answer» A. Import-competing industries

[discuss](#)

89. **The movement to free international trade is most likely to generate short-term unemployment in which industries?**

- A. Industries in which there are neither imports nor exports
- B. Import-competing industries
- C. Industries that sell to domestic and foreign buyers
- D. Industries that sell to only foreign buyers

Answer» B. Import-competing industries

[discuss](#)

90. Suppose the government grants a subsidy to domestic producers of an import-competing good. The subsidy tends to result in deadweight losses for the domestic economy in the form of the:

- A. Consumption effect
- B. Redistribution effect
- C. Revenue effect
- D. Protective effect

Answer» D. Protective effect

[discuss](#)

91. Tariffs and quotas on imports tend to involve larger sacrifices in national welfare than would occur with domestic subsidies. This is because, unlike domestic subsidies, import tariffs and quotas:

- A. Permit less efficient home production
- B. Distort choices for domestic consumers
- C. Result in higher tax rates for domestic residents
- D. Redistribute revenue from domestic producers to consumers

Answer» B. Distort choices for domestic consumers

[discuss](#)

92. Suppose the government grants a subsidy to its export firms that permits them to charge lower prices for goods sold abroad. The export revenue of these firms would rise if the foreign demand is:

- A. Elastic in response to the price reduction
- B. Inelastic in response to the price reduction
- C. Unit elastic in response to the price reduction
- D. None of the above

Answer» A. Elastic in response to the price reduction

[discuss](#)

93. Because export subsidies tend to result in domestic exporters charging lower prices on their goods sold abroad, the home country's:

- A. Export revenues will decrease
- B. Export revenues will rise
- C. Terms of trade will worsen

93. Because export subsidies tend to result in domestic exporters charging lower prices on their goods so the home country's:

D. Terms of trade will improve

Answer» C. Terms of trade will worsen

[discuss](#)

94. Which trade restriction stipulates the percentage of a product's total value that must be produced domestically in order for that product to be sold domestically?

A. Import quota

B. Orderly marketing agreement

C. Local content requirement

D. Government procurement policy

Answer» C. Local content requirement

[discuss](#)

95. The imposition of a domestic content requirement by the United States would cause consumer surplus for Americans to:

A. Rise

B. Fall

C. Remain unchanged

D. None of the above

Answer» B. Fall

[discuss](#)

96. Domestic content legislation applied to autos would tend to:

A. Support wage levels of American autoworkers

B. Lower auto prices for American autoworkers

C. Encourage American automakers to locate production overseas

D. Increase profits of American auto companies

Answer» C. Encourage American automakers to locate production overseas

[discuss](#)

97. Compared to an import quota, an equivalent tariff may provide a less certain amount of protection for producers since:

- A. A tariff has no deadweight loss in terms of production and consumption
- B. Foreign firms may absorb the tariff by offering exports at lower prices
- C. Tariffs are effective only if home demand is perfectly elastic
- D. Quotas do not result in increases in the price of the imported good

Answer» D. Quotas do not result in increases in the price of the imported good

[discuss](#)

98. A tariff:

- A. Increases the volume of trade
- B. Reduces the volume of trade
- C. Has no effect on volume of trade
- D. (a) and (c) of above

Answer» B. Reduces the volume of trade

[discuss](#)

99. A tariff is:

- A. A restriction on the number of export firms
- B. Limit on the amount of imported goods
- C. Tax and imports
- D. and (c) of above

Answer» D. and (c) of above

[discuss](#)

100. It is drawback of protection:

- A. Consumers have to pay higher prices
- B. Producers get higher profits
- C. Quality of goods may be affected
- D. All of the above

100. It is drawback of protection:

Answer» B. Producers get higher profits

126. A common or single market will have all of the following features except:

- A. No internal trade barriers
- B. Common external tariff
- C. Factor and Asset mobility
- D. A common currency

Answer» D. A common currency

[discuss](#)

127. Which of the options below is the only characteristic of a free trade area?

- A. A common currency
- B. Common economic policy
- C. No internal trade barriers
- D. Common external tariff

Answer» C. No internal trade barriers

[discuss](#)

Chapter: Unit 3

128. On the balance-of-payments statements, merchandise imports are classified in the:

- A. Current account
- B. Capital account
- C. Unilateral transfer account
- D. Official settlements account

Answer» A. Current account

[discuss](#)

129. The balance of international indebtedness is a record of a country's international:

- A. Investment position over a period of time

129. The balance of international indebtedness is a record of a country's international:

- B. Investment position at a fixed point in time
- C. Trade position over a period of time
- D. Trade position at a fixed point in time

Answer» B. Investment position at a fixed point in time

[discuss](#)

130. Which balance-of-payments item does not directly enter into the calculation of the U.S.gross domestic product?

- A. Merchandise imports
- B. Shipping and transportation receipts
- C. Direct foreign investment
- D. Service exports

Answer» C. Direct foreign investment

[discuss](#)

131. Which of the following is considered a capital inflow?

- A. A sale of U.S. financial assets to a foreign buyer
- B. A loan from a U.S. bank to a foreign borrower
- C. A purchase of foreign financial assets by a U.S. buyer
- D. A U.S. citizen's repayment of a loan from a foreign bank

Answer» A. A sale of U.S. financial assets to a foreign buyer

[discuss](#)

132. Which of the following would call for inpayments to the United States?

- A. American imports of German steel
- B. Gold flowing out of the United States
- C. American unilateral transfers to less-developed countries
- D. American firms selling insurance to British shipping companies

Answer» D. American firms selling insurance to British shipping companies

[discuss](#)

133. In a country's balance of payments, which of the following transactions are debits?

- A. Domestic bank balances owned by foreigners are decreased
- B. Foreign bank balances owned by domestic residents are decreased
- C. Assets owned by domestic residents are sold to nonresidents
- D. Securities are sold by domestic residents to nonresidents

Answer» A. Domestic bank balances owned by foreigners are decreased

[discuss](#)

134. Which of the following is classified as a credit in the U.S. balance of payments?

- A. U.S. exports
- B. U.S. gifts to other countries
- C. A flow of gold out of the U.S.
- D. Foreign loans made by U.S. companies

Answer» A. U.S. exports

[discuss](#)

135. What is "immiserizing growth"?

- A. Export-biased growth that worsens terms of trade so that a country is worse off as a result.
- B. The specialization of low-income countries in production of low-wage products.
- C. Trade that hurts the poorest group of people.
- D. Improvement in a country's terms of trade at the expense of other countries.

Answer» A. Export-biased growth that worsens terms of trade so that a country is worse off as a result.

[discuss](#)

136. What is the "transfer problem"?

- A. The fact that international transfers affect terms of trade when they are not taken into account.
- B. Rich countries do not transfer a sufficient amount of money to poor countries.
- C. Negative effects on a country that transfers money to others.

136. **What is the "transfer problem"?**

D. The severe indebtedness of some low-income countries.

Answer» A. The fact that international transfers affect terms of trade when they are not taken into account.

[discuss](#)

137. **Unlike the balance of payments, the balance of international indebtedness indicates the international**

A. Investment position of a country at a given moment in time

B. Investment position of a country over a one-year period

C. Trade position of a country at a given moment in time

D. Trade position of a country over a one-year period

Answer» A. Investment position of a country at a given moment in time

[discuss](#)

138. **Which of the following indicates the international investment position of a country at a given moment in time?**

A. The balance of payments

B. The capital account of the balance of payments

C. The current account of the balance of payments

D. The balance of international indebtedness

Answer» D. The balance of international indebtedness

[discuss](#)

139. **Concerning the U.S. balance of payments, which account is defined in essentially the same way as the export of goods and services, which comprises part of the country's gross domestic product?**

A. Merchandise trade account

B. Goods and services account

C. Current account

D. Capital account

Answer» B. Goods and services account

[discuss](#)

140. If an American receives dividends from the shares of stock she or he owns in Toyota, Inc., a Japanese company, the transaction would be recorded on the U.S. balance of payments as a:

- A. Capital account debit
- B. Capital account credit
- C. Current account debit
- D. Current account credit

Answer» D. Current account credit

[discuss](#)

141. If the United States government sells military hardware to Saudi Arabia, the transaction would be recorded on the U.S. balance of payments as a:

- A. Current account debit
- B. Current account credit
- C. Capital account debit
- D. Capital account credit

Answer» B. Current account credit

[discuss](#)

142. The U.S. balance of trade is determined by:

- A. Exchange rates
- B. Growth of economies overseas
- C. Relative prices in world markets
- D. All of the above

Answer» D. All of the above

[discuss](#)

143. U.S. military aid granted to foreign countries is entered in the:

- A. Merchandise trade account
- B. Capital account
- C. Current account
- D. Official settlements account

143. U.S. military aid granted to foreign countries is entered in the:

Answer» C. Current account

[discuss](#)

144. If the U.S. faces a balance-of-payments deficit on the current account, it must run a surplus on:

- A. The official settlements account
- B. The capital account
- C. Either the official settlements account or the capital account
- D. Both the official settlements account and the capital account

Answer» C. Either the official settlements account or the capital account

[discuss](#)

145. The current account of the U.S. balance of payments does not include:

- A. Investment income
- B. Merchandise exports and imports
- C. The sale of securities to foreigners
- D. Unilateral transfers

Answer» C. The sale of securities to foreigners

[discuss](#)

146. The U.S. has a balance of trade deficit when its:

- A. Merchandise exports exceed its merchandise imports
- B. Merchandise imports exceed its merchandise exports
- C. Goods and services exports exceed its goods and services imports
- D. Goods and services imports exceed its goods and services exports

Answer» B. Merchandise imports exceed its merchandise exports

[discuss](#)

147. The value to American residents of income earned from overseas investments shows up in which account in the U.S. balance of payments?

- A. Current account

147. The value to American residents of income earned from overseas investments shows up in which account in the U.S. balance of payments?

- B. Trade account
- C. Unilateral transfers account
- D. Capital account

Answer» A. Current account

[discuss](#)

148. What would be the effects of an export subsidy on oil imposed by Russia?

- A. Relative world supply of oil rises and relative world demand falls.
- B. Relative world supply of oil falls and relative world demand rises.
- C. Relative world supply of and relative world demand for oil rise.
- D. Relative world supply of and relative world demand for oil fall.

Answer» A. Relative world supply of oil rises and relative world demand falls.

[discuss](#)

149. What is the Metzler paradox?

- A. An export subsidy can lead to an increase in the internal price of the subsidized good.
- B. It is the same as immiserizing growth.
- C. A tariff on imports can lead to a decline in the internal price of the good.

Answer» C. A tariff on imports can lead to a decline in the internal price of the good.

[discuss](#)

150. A country that is a net international debtor initially experiences:

- A. An augmented savings pool available to finance domestic spending
- B. A higher interest rate, which leads to lower domestic investment
- C. A loss of funds to trading partners overseas
- D. A decrease in its services exports to other countries

Answer» A. An augmented savings pool available to finance domestic spending

151. Credit (+) items in the balance of payments correspond to anything that:

150. A country that is a net international debtor initially experiences:

- A. Involves receipts from foreigners
- B. Involves payments to foreigners
- C. Decreases the domestic money supply
- D. Increases the demand for foreign exchange

Answer» A. Involves receipts from foreigners

[discuss](#)

152. Debt (–) items in the balance of payments correspond to anything that:

- A. Involves receipts from foreigners
- B. Involves payments to foreigners
- C. Increases the domestic money supply
- D. Decreases the demand for foreign exchange

Answer» B. Involves payments to foreigners

[discuss](#)

153. When all of the debit or credit items in the balance of payments are combined:

- A. Merchandise imports equal merchandise exports
- B. Capital imports equal capital exports
- C. Services exports equal services imports
- D. The total surplus or deficit equals zero

Answer» D. The total surplus or deficit equals zero

[discuss](#)

154. In the balance of payments, the statistical discrepancy is used to:

- A. Ensure that the sum of all debits matches the sum of all credits
- B. Ensure that trade imports equal the value of trade exports
- C. Obtain an accurate account of a balance-of-payments deficit
- D. Obtain an accurate account of a balance-of-payments surplus

154. In the balance of payments, the statistical discrepancy is used to:

Answer» A. Ensure that the sum of all debits matches the sum of all credits

[discuss](#)

155. All of the following are credit items in the balance of payments, except:

- A. Investment inflows
- B. Merchandise exports
- C. Payments for American services to foreigners
- D. Private gifts to foreign residents

Answer» D. Private gifts to foreign residents

[discuss](#)

156. All of the following are debit items in the balance of payments, except:

- A. Capital outflows
- B. Merchandise exports
- C. Private gifts to foreigners
- D. Foreign aid granted to other nations

Answer» B. Merchandise exports

[discuss](#)

157. If the central bank purchases assets, it will result in:

- A. An increase in the central bank's net worth.
- B. A decline in the central bank's net worth.
- C. An increase in the money supply.
- D. A decline in the money supply.

Answer» C. An increase in the money supply.

[discuss](#)

158. If there is a decline in output, to keep the exchange rate fixed, the central bank has to:

- A. Sell domestic assets.

158. If there is a decline in output, to keep the exchange rate fixed, the central bank has to:

- B. Purchase foreign assets.
- C. Sell foreign assets.
- D. Purchase domestic assets.

Answer» C. Sell foreign assets.

[discuss](#)

159. What is the effect of an increase in taxes under fixed exchange rates and perfect asset substitutability in the short run?

- A. A decline in output and no change in interest rates.
- B. A decline in output and interest rates.
- C. An increase in output and no change in interest rates.
- D. An increase in output and interest rates.

Answer» C. An increase in output and no change in interest rates.

[discuss](#)

160. What is the effect of a currency devaluation under fixed exchange rates in the short run?

- A. A decline in output.
- B. A decline in foreign reserves.
- C. An increase in exports.
- D. An increase in imports.

Answer» C. An increase in exports.

[discuss](#)

161. Reducing a current account deficit requires a country to:

- A. Increase the government's deficit and increase private investment relative to saving
- B. Increase the government's deficit and decrease private investment relative to saving
- C. Decrease the government's deficit increase private investment relative to saving
- D. Decrease the government's deficit and decrease private investment relative to saving

Answer» D. Decrease the government's deficit and decrease private investment relative to saving

[discuss](#)

162. Reducing a current account surplus requires a country to:

- A. Increase the government's deficit and increase private investment relative to saving
- B. Increase the government's deficit and decrease private investment relative to saving
- C. Decrease the government's deficit and increase private investment relative to saving
- D. Decrease the government's deficit and decrease private investment relative to saving

Answer» A. Increase the government's deficit and increase private investment relative to saving

[discuss](#)

163. Concerning a country's business cycle, rapid growth of production and employment is commonly associated with:

- A. Large or growing trade deficits and current account deficits
- B. Large or growing trade deficits and current account surpluses
- C. Small or shrinking trade deficits and current account deficits
- D. Small or shrinking trade deficits and current account surpluses

Answer» A. Large or growing trade deficits and current account deficits

[discuss](#)

164. The burden of a current account deficit would be the least if a nation uses what it borrows to finance:

- A. Unemployment compensation benefits
- B. Social Security benefits
- C. Expenditures on food and recreation
- D. Investment on plant and equipment

Answer» D. Investment on plant and equipment

[discuss](#)

165. A major difference between the spot market and the forward market is that the spot market deals with:

- A. The immediate delivery of currencies
- B. The merchandise trade account
- C. Currencies traded for future delivery

- 165. A major difference between the spot market and the forward market is that the spot market deals with:**
- D. Hedging of international currency risks

Answer» A. The immediate delivery of currencies

[discuss](#)

- 166. The relationship between the exchange rate and the prices of tradable goods is known as the:**

- A. Purchasing-power-parity theory
- B. Asset-markets theory
- C. Monetary theory
- D. Balance-of-payments theory

Answer» A. Purchasing-power-parity theory

[discuss](#)

- 167. Low real interest rates in the United States tend to:**

- A. Decrease the demand for dollars, causing the dollar to depreciate
- B. Decrease the demand for dollars, causing the dollar to appreciate
- C. Increase the demand for dollars, causing the dollar to depreciate
- D. Increase the demand for dollars, causing the dollar to appreciate

Answer» A. Decrease the demand for dollars, causing the dollar to depreciate

[discuss](#)

- 168. Assume that the United States faces an 8 percent inflation rate while no (zero) inflation exists in Japan. According to the purchasing-power-parity theory, the dollar would be expected to:**

- A. Appreciate by 8 percent against the yen
- B. Depreciate by 8 percent against the yen
- C. Remain at its existing exchange rate
- D. None of the above

Answer» B. Depreciate by 8 percent against the yen

[discuss](#)

169. Suppose Mexico and the United States were the only two countries in the world. There exists an excess demand for pesos on the foreign exchange market. This suggests that:

- A. Mexico's current account is in surplus
- B. Mexico's current account is in deficit
- C. The U.S. current account is in deficit
- D. The U.S. current account is in equilibrium

Answer» B. Mexico's current account is in deficit

[discuss](#)

170. If Canada runs a current account surplus and exchange rates are floating:

- A. The value of other currencies will rise relative to the dollar
- B. The dollar will depreciate relative to other currencies
- C. The price of foreign goods will become cheaper for Canadians
- D. The price of foreign goods will rise for Canadians

Answer» C. The price of foreign goods will become cheaper for Canadians

[discuss](#)

171. Gold standard means:

- A. Currency of the country is made of gold
- B. Paper currency is not used
- C. Currency of the country is freely convertible into gold
- D. (a) & (c) of above

Answer» D. (a) & (c) of above

[discuss](#)

172. If a country decreases the external value of its currency, it will affect:

- A. Volume of exports
- B. Volume of imports
- C. General price level
- D. All of the above

172. If a country decreases the external value of its currency, it will affect:

Answer» D. All of the above

[discuss](#)

173. Rich countries have deficit in their balance of payments:

- A. Sometimes
- B. Never
- C. Alternate years
- D. Always

Answer» A. Sometimes

[discuss](#)

174. Balance of payments means:

- A. The balance of receipts and payments of all banks
- B. The balance of receipts and payments of State Bank
- C. The balance of receipts and payments of foreign exchange by a country
- D. The balance of govt. receipts and payments

Answer» C. The balance of receipts and payments of foreign exchange by a country

175. Assume a two-country world: Country A and Country B. Which of the following is correct about purchasing power parity (PPP) as related to these two countries?

- A. If Country A's inflation rate exceeds Country B's inflation rate, Country A's currency will weaken.
- B. If Country A's interest rate exceeds Country B's inflation rate, Country A's currency will weaken.
- C. If Country A's interest rate exceeds Country B's inflation rate, Country A's currency will strengthen.
- D. If Country B's inflation rate exceeds Country A's inflation rate, Country A's currency will weaken.

Answer» A. If Country A's inflation rate exceeds Country B's inflation rate, Country A's currency will weaken.

MATHEMATICAL ECONOMICS

1. The intercept term, β_1 , is absent in..... model.

- A. regression through the origin

1. **The intercept term, β_1 , is absent in..... model.**

B. lin log model

C. log lin model

D. ols model

Answer» A. regression through the origin

[discuss](#)

2. **The lin log model and log lin model are in parameters.**

A. non linear

B. linear

C. functional

D. dependent

Answer» A. non linear

[discuss](#)

3. **r^2 in intercept less model is.... negative.**

A. always

B. sometimes

C. never

D. cannot say

Answer» B. sometimes

[discuss](#)

4. **The slope coefficient, β_2 , of model measures elasticity of Y with respect to X.**

A. regression through the origin

B. log log model

C. log lin model

D. clrm

Answer» B. log log model

[discuss](#)

5. is a growth model.

- A. alinear trend model
- B. lin log model
- C. log lin model
- D. none of the above

Answer» A. alinear trend model

[discuss](#)

6. In regression through the origin model, is absent.

- A. the intercept term , β_1
- B. the slope coefficient , β_2
- C. error term
- D. explanatory variables

Answer» A. the intercept term , β_1

[discuss](#)

7. Econometrics is concerned with

- A. empirical support to economic theory
- B. quantitative analysis of economic data
- C. use of tools of mathematics and statistical inference
- D. all of the above

Answer» D. all of the above

[discuss](#)

8. Which of the following is the combination of economic theory, mathematical economics and economi

- A. econometrics
- B. statistics
- C. mathematics

8. Which of the following is the combination of economic theory, mathematical economics and econometrics
- D. quantitative economics

Answer» A. econometrics

[discuss](#)

9. The first step in traditional econometric methodology is

- A. statement of theory
- B. forecasting
- C. obtaining data
- D. estimation of the model

Answer» A. statement of theory

[discuss](#)

10. Which of the following discipline express the economic theory in mathematical form

- A. econometrics
- B. statistics
- C. mathematics
- D. mathematical economics

Answer» D. mathematical economics

[discuss](#)

11. Keynes postulated ----- relationship between income and consumption

- A. negative
- B. positive
- C. non linear
- D. infinite

Answer» B. positive

[discuss](#)

12. In the function, $Q = \alpha + \beta P$, the slope coefficient is

- A. α
- B. β
- C. p
- D. q

Answer» B. β

[discuss](#)

13. In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, Y represents

- A. income
- B. consumption expenditure
- C. output
- D. price

Answer» B. consumption expenditure

[discuss](#)

14. In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, β_1 is

- A. slope coefficient
- B. intercept coefficient
- C. output coefficient
- D. none of the above

Answer» B. intercept coefficient

[discuss](#)

15. In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, the parameters of the model are

- A. β_1 and β_2
- B. β_1 and x
- C. x and y d. y and β_2
- D. β_2

15. In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, the parameters of the model are

Answer» A. β_1 and β_2

[discuss](#)

16. In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, the marginal propensity to consume is

A. β_1

B. x

C. y

D. β_2

Answer» D. β_2

[discuss](#)

17. if the model has only one equation, the model is called

A. single equation model

B. multiple equation model

C. variable equation model

D. none of the above

Answer» A. single equation model

[discuss](#)

18. if the model has more than one equation, the model is called

A. single equation model

B. multiple equation model

C. variable equation model

D. none of the above

Answer» B. multiple equation model

[discuss](#)

19. In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, the dependent variable is

A. β_1

19. In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, the dependent variable is

B. x

C. y

D. β_2

Answer» C. y

[discuss](#)

20. In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, the explanatory variable is

A. β_1

B. x

C. y

D. β_2

Answer» B. x

[discuss](#)

21. the variable appearing on the left side of the equality sign is called

A. dependent variable

B. independent variable

C. explanatory variable

D. none of the above

Answer» A. dependent variable

[discuss](#)

22. In conventional model r^2 is negative.

A. always

B. sometimes

C. never

D. cannot say

Answer» C. never

[discuss](#)

23. the variable appearing on the right side of the equality sign is called

- A. independent variable
- B. explanatory variable
- C. all of the above
- D. none of the above

Answer» C. all of the above

[discuss](#)

24. independent variables are also known as

- A. explanatory variables
- B. dependent variable
- C. implicit variable
- D. static variable

Answer» A. explanatory variables

[discuss](#)

25. which is the explanatory variable in the Keynesian consumption function

- A. income
- B. consumption
- C. price
- D. output

Answer» A. income

26. a mathematical model assumes----- relationship between variables

- A. inexact
- B. exact
- C. probable
- D. none of the above

25. which is the explanatory variable in the Keynesian consumption function

Answer» B. exact

[discuss](#)

27. a function that can be represented as straight line graphically is

A. non linear

B. linear

C. polynomial

D. quadratic

Answer» B. linear

[discuss](#)

28. in the function $Y = \beta_1 + \beta_2 X + u$, the term 'u' is called

A. disturbance term

B. intercept

C. slope

D. dependent term

Answer» A. disturbance term

[discuss](#)

29. A model in which regressand is logarithmic is called.....

A. regression through the origin

B. lin log model

C. log lin model

D. clrm

Answer» C. log lin model

[discuss](#)

30. the function $Y = \beta_1 + \beta_2 X + u$ is an example of

A. linear regression model

30. the function $Y = \beta_1 + \beta_2 X + u$ is an example of

- B. econometric model
- C. all of the above
- D. none of the above

Answer» C. all of the above

[discuss](#)

31. confirmation or refutation of economic theories on the basis of sample evidence is based on the branch of statistical theory called

- A. statistical inference
- B. standard deviation
- C. arithmetic mean
- D. regression analysis

Answer» A. statistical inference

[discuss](#)

32. the term regression was first introduced by

- A. irwing fisher
- B. laspayer
- C. francis galton
- D. pearson

Answer» C. francis galton

[discuss](#)

33. Reciprocal and log lin models are in variables.

- A. non linear
- B. linear
- C. functional
- D. dependent

Answer» B. linear

[discuss](#)

34. the function $Y = \beta_1 + \beta_2 X + u$ is an example of

- A. non linear regression model
- B. linear regression model
- C. quadratic regression model
- D. none of the above

Answer» B. linear regression model

[discuss](#)

35. In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, the independent variable is

- A. β_1
- B. . x
- C. y
- D. β_2

Answer» B. . x

[discuss](#)

36. Statistical relationships assumes that variables are

- A. random
- B. stochastic
- C. all of the above
- D. none of the above

Answer» C. all of the above

[discuss](#)

37. A statistical relationship per say cannot logically imply

- A. regression
- B. causation
- C. error

37. **A statistical relationship per say cannot logically imply**

D. random

Answer» B. causation

[discuss](#)

38. **The measure that analyses the degree of linear association between two variables is called**

A. correlation coefficient

B. regression coefficient

C. significance level

D. testing of hypothesis

Answer» A. correlation coefficient

[discuss](#)

39. **In the Keynesian linear consumption function $Y = \beta_1 + \beta_2 X$, X represents**

A. income

B. consumption expenditure

C. output

D. price

Answer» A. income

[discuss](#)

40. **Correlation analysis is concerned with**

A. prediction of future value

B. prediction of average value

C. degree of association among variables

D. testing of hypothesis

Answer» C. degree of association among variables

[discuss](#)

41. Correlation theory is based on the assumption of

- A. randomness of variables
- B. conditional mean
- C. random errors
- D. specification

Answer» A. randomness of variables

[discuss](#)

42. The correlation coefficient between the mathematics and economics was found to be 0.64. What will of correlation coefficient between economics and mathematics

- A. 0.32
- B. -0.64
- C. 0.64
- D. 1.28

Answer» C. 0.64

[discuss](#)

43. the law of universal regression was first introduced by

- A. irwing fisher
- B. laspayer
- C. francis galton
- D. pearson

Answer» C. francis galton

[discuss](#)

44. In ----- analysis there is no distinction between dependent and explanatory variables

- A. regression
- B. correlation
- C. hypothesis testing
- D. estimation

44. In ----- analysis there is no distinction between dependent and explanatory variables

Answer» B. correlation

[discuss](#)

45. If we are studying the dependence of a variable on a single explanatory variable, the analysis is called

- A. two variable regression analysis
- B. multiple regression analysis
- C. single regression analysis
- D. none of the above

Answer» A. two variable regression analysis

[discuss](#)

46. If we are studying the dependence of a variable on more than one explanatory variable, the analysis is called

- A. two variable regression analysis
- B. multiple regression analysis
- C. single regression analysis
- D. none of the above

Answer» B. multiple regression analysis

[discuss](#)

47. The term “random” is synonym for the term

- A. stochastic
- B. variable
- C. error
- D. regression

Answer» A. stochastic

[discuss](#)

48. If the data is collected at one point in time, it is called

- A. time series data

48. If the data is collected at one point in time, it is called

- B. cross section data
- C. pooled data
- D. none of the above

Answer» B. cross section data

[discuss](#)

49. If the data is collected over a period of time, it is called

- A. time series data
- B. cross section data
- C. pooled data
- D. none of the above

Answer» A. time series data

[discuss](#)

50. The combination of time series and cross sectional data is known as

- A. pooled data
- B. panel data
- C. longitudinal data
- D. none of the above

Answer» A. pooled data

51. The set of all possible outcomes of an experiment or measurement is known as

- A. population
- B. census
- C. sample
- D. variable

Answer» A. population

[discuss](#)

52. **conditional mean of Y given X value is denoted as**

- A. $\text{con } y$
- B. $e(y/x)$
- C. $\text{prob } (y/x)$
- D. $e(x/y)$

Answer» B. $e(y/x)$

[discuss](#)

53. **An expected value is the same as**

- A. average value
- B. standard deviation
- C. dispersion
- D. none of the above

Answer» A. average value

[discuss](#)

54. **The locus of points conditional means of the dependent variable for the fixed values of the explanatory variable is**

- A. venn diagram
- B. lorenz curve
- C. probability curve
- D. population regression curve

Answer» D. population regression curve

[discuss](#)

55. **The regression line or curve passes through**

- A. origin
- B. vertical axis
- C. horizontal axis
- D. conditional means

55. The regression line or curve passes through

Answer» D. conditional means

[discuss](#)

56. $E(Y/X_i) = f(X_i)$ is known as

- A. population regression function
- B. sample regression function
- C. expected average
- D. none of the above

Answer» A. population regression function

[discuss](#)

57. In the regression function $E(Y/X_i) = \beta_1 + \beta_2 X_i$, regression coefficients are

- A. y and x
- B. y and β_1
- C. β_1 and β_2
- D. x_i

Answer» C. β_1 and β_2

[discuss](#)

58. the regression function $E(Y/X_i) = \beta_1 + \beta_2 X_i$ is a

- A. linear regression function
- B. sample regression function
- C. non linear regression function
- D. log linear regression function

Answer» A. linear regression function

[discuss](#)

59. in the regression function $E(Y/X_i) = \beta_1 + \beta_2 X_i$, β_1 is

- A. intercept coefficient

59. in the regression function $E(Y/X_i) = \beta_1 + \beta_2 X_i$, β_1 is

- B. slope coefficient
- C. variable
- D. average value

Answer» A. intercept coefficient

[discuss](#)

60. in the regression function $E(Y/X_i) = \beta_1 + \beta_2 X_i$, β_2 is

- A. aintercept coefficient
- B. slope coefficient
- C. variable
- D. average value

Answer» B. slope coefficient

[discuss](#)

61. the regression function $E(Y/X_i) = \beta_1 + \beta_2 X_i^2$ is linear in

- A. variables
- B. parameters
- C. coefficients
- D. none of the above

Answer» B. parameters

[discuss](#)

62. in the regression function $E(Y/X) = \beta_0 + \beta_1 X$ is linear in

- A. variables
- B. parameters
- C. coefficients
- D. none of the above

Answer» A. variables

[discuss](#)

63. in the function $Y_i = \beta_1 + \beta_2 X_i + u_i$, the term u_i refers to

- A. variable
- B. parameters
- C. coefficient
- D. stochastic error term

Answer» D. stochastic error term

[discuss](#)

64. in the function $Y_i = \beta_1 + \beta_2 X_i + u_i$, the term u_i is ----- in nature

- A. random
- B. nonsystematic
- C. all of the above
- D. none of the above

Answer» C. all of the above

[discuss](#)

65. “the descriptions be kept as simple as possible until proved inadequate” corresponds to

- A. occam’s razor
- B. index numbers
- C. regression
- D. correlation

Answer» A. occam’s razor

[discuss](#)

66. The rule or formula that tells how to estimate the population parameter from the sample information

- A. estimate
- B. estimator
- C. population

66. The rule or formula that tells how to estimate the population parameter from the sample information is called a

D. coefficient

Answer» B. estimator

[discuss](#)

67. The function $Y = \beta_0 + \beta_1 X$ is a

- A. sample regression function
- B. non linear regression function
- C. log linear regression function
- D. population regression function

Answer» A. sample regression function

[discuss](#)

68. The most popular method of constructing sample regression function in the regression analysis is

- A. method of ols
- B. generalised squares
- C. ordinary regression method
- D. none of the above

Answer» A. method of ols

[discuss](#)

69. The method of ordinary least squares is attributed to

- A. pearson
- B. pashee
- C. fisher
- D. carl friedrich gauss

Answer» D. carl friedrich gauss

[discuss](#)

70.	If each estimator provides only a single value of the relevant population parameter, it is
A.	point estimator
B.	interval estimator
C.	class estimator
D.	single estimator

Answer» A. point estimator

[discuss](#)

71.	If each estimator provides a range of possible values relevant population parameter, it is
A.	point estimator
B.	interval estimator
C.	class estimator
D.	single estimator

Answer» B. interval estimator

[discuss](#)

72.	The sample regression line obtained through the OLS method passes through
A.	sample means
B.	sample standard deviation
C.	origin
D.	vertical axis

Answer» A. sample means

[discuss](#)

73.	The Gaussian standard classical linear regression model assumes----- assumptions
A.	seven
B.	ten
C.	five
D.	eight

73. **The Gaussian standard classical linear regression model assumes----- assumptions**

Answer» B. ten

[discuss](#)

74. **Which is the assumption of Gaussian standard classical linear regression model**

- A. linear regression model
- B. x values are fixed
- C. zero mean values for disturbances
- D. all of the above

Answer» D. all of the above

[discuss](#)

75. **The numerical value obtained by the estimator in an application is known as**

- A. estimate
- B. estimator
- C. population
- D. coefficient

Answer» A. estimate

76. **Homoscedasticity means----- for disturbances**

- A. equal mean
- B. equal variance
- C. zero mean
- D. none of the above

Answer» B. equal variance

[discuss](#)

77. **The literal meaning of econometrics is**

- A. estimation
- B. economic measurement

77. **The literal meaning of econometrics is**

C. forecasting

D. testing

Answer» B. economic measurement

[discuss](#)

78. **Economic theory makes statements that are mostly**

A. quantitative

B. qualitative

C. positive

D. none of the above

Answer» B. qualitative

[discuss](#)

79. **In the function, $Q = \alpha + \beta P$, the intercept coefficient is**

A. α

B. β

C. p

D. q

Answer» B. β

[discuss](#)

80. **Heteroscedasticity implies**

A. equal spread

B. unequal spread

C. equal mean

D. equal variance

Answer» B. unequal spread

[discuss](#)

81.	Given any two X values the classical linear regression model assumes the correlation between the dis as
A.	one
B.	infinity
C.	negative
D.	zero

Answer» D. zero

[discuss](#)

82.	which is the dependent variable in the Keynesian consumption function
A.	income
B.	consumption
C.	price
D.	output

Answer» B. consumption

[discuss](#)

83.	in the regression context, the OLS estimators are BLUE according to
A.	central limit theorem
B.	gauss markov theorem
C.	young theorem
D.	fisher's theorem

Answer» B. gauss markov theorem

[discuss](#)

84.	The summary measure used to measure the goodness of fit of a regression line
A.	coefficient of determination
B.	coefficient of variation
C.	standard error d standar
D.	deviation

84. The summary measure used to measure the goodness of fit of a regression line

Answer» A. coefficient of determination

[discuss](#)

85. The numerical value of coefficient of determination lies between

- A. -1 and 1
- B. 0 and 1
- C. $-\infty$ to $+\infty$
- D. $-\infty$ to 1

Answer» B. 0 and 1

[discuss](#)

86. The classical theory of statistical inference consists of

- A. estimation and hypothesis testing
- B. regression and correlation
- C. averages and dispersion
- D. none of the above

Answer» A. estimation and hypothesis testing

[discuss](#)

87. The rejecting of a true hypothesis is called

- A. type i error
- B. type ii error
- C. standard error
- D. point estimation

Answer» A. type i error

[discuss](#)

88. Which of the following is used to measure the degree of association between two variables

- A. coefficient of determination

88. Which of the following is used to measure the degree of association between two variables

- B. coefficient of correlation
- C. standard error d standar
- D. deviation

Answer» B. coefficient of correlation

[discuss](#)

89. The accepting of a false hypothesis is called

- A. type i error
- B. type ii error
- C. standard error
- D. point estimation

Answer» B. type ii error

[discuss](#)

90. The larger the standard error, the ----- the width of the confidence interval

- A. smaller
- B. larger
- C. infinity
- D. cannot calculate

Answer» B. larger

[discuss](#)

91. $-\beta$ represents:

- A. Diminishing returns to scale
- B. Increasing returns to scale
- C. Constant returns to scale
- D. None of the above

Answer» C. Constant returns to scale

[discuss](#)

92. _____ is the best criteria to judge the validity of a model :

- A. Assumptions
- B. Information it provides
- C. Its simplicity
- D. predictive power

Answer» D. predictive power

[discuss](#)

93. The given function $f(x) = ax + b$, is an example of _____ function:

- A. quadratic
- B. polynomial
- C. linear
- D. rational

Answer» C. linear

[discuss](#)

94. The given function $f(x) = ax^2 + bx + c$, is an example of _____ function:

- A. quadratic
- B. polynomial
- C. linear
- D. rational

Answer» A. quadratic

[discuss](#)

95. For a utility function $u = xy + 3x + 4y$, marginal utility of good x is:

- A. $xy + 3x + 4y$
- B. $y + 3$
- C. $x + 4$

95. For a utility function $u = xy + 3x + 4y$, marginal utility of good x is:

D. $y + 3x$

Answer» B. $y + 3$

[discuss](#)

96. Given a consumption function $C = 250 + 0.75Y_d$, autonomous consumption is ____

A. 0.75

B. 0

C. 250

D. -0.75

Answer» C. 250

[discuss](#)

97. For a total cost function $TC = 1.5Q^2 + 4Q + 46$, MC is :

A. $1.5Q + 4 +$

B. $1.5Q + 4$

C. $1.5Q$

D. $4Q + 46$

Answer» A. $1.5Q + 4 +$

[discuss](#)

98. Abstraction from reality is made based on :

A. assumptions

B. prediction

C. theory

D. hypothesis

Answer» A. assumptions

[discuss](#)

99. _____ is a simplified description of reality, designed to yield hypothesis about economic behaviour that can be tested.

- A. theory
- B. postulate
- C. proposition
- D. economic model

Answer» B. postulate

[discuss](#)

100. _____ models are mathematical models designed to be used with data.

- A. Empirical
- B. Visual
- C. Mathematical
- D. Simulation

Answer» A. Empirical

101. _____ function expresses the relationship between price of the good and quantity of the good demanded.

- A. Supply
- B. Consumption
- C. Demand
- D. Income

Answer» C. Demand

[discuss](#)

102. _____ function expresses the relationship between price of the good and quantity of the good supplied.

- A. Supply
- B. Consumption
- C. Demand
- D. Income

Answer» A. Supply

[discuss](#)

103. Function which map the relation between the physical measure of money and the perceived value of

- A. Income
- B. Investment
- C. Demand
- D. Utility

Answer» D. Utility

[discuss](#)

104. _____ function was designed by J M Keynes to show the relationship between real disposable income and consumer spending.

- A. Consumption
- B. Investment
- C. Demand
- D. Utility

Answer» A. Consumption

[discuss](#)

105. Given the consumption function $C = a + bY$, where 'a', the intercept, represents_____

- A. Income
- B. autonomous consumption
- C. Demand
- D. Saving

Answer» B. autonomous consumption

[discuss](#)

106. Given the consumption function $C = a + bY$, the slope 'b' represents:

- A. MPS
- B. autonomous consumption
- C. MPC

106. Given the consumption function $C = a + bY$, the slope 'b' represents:

D. Saving

Answer» C. MPC

[discuss](#)

107. For equilibrium market, the condition is_____

A. Demand > supply

B. demand < supply

C. demand = supply

D. None of these

Answer» C. demand = supply

[discuss](#)

108. Given $TR = 10x$, $TC = 5x + 2$, profit function is :

A. $5x - 2$

B. $5x$

C. $10x - 5x$

D. $5x + 2$

Answer» A. $5x - 2$

[discuss](#)

109. Demand function for a commodity is $D = 44 - 7P$ and supply function $S = 2P - 10$, then the equilibrium

A. 4

B. 6

C. 8

D. 10

Answer» B. 6

[discuss](#)

110. If $u = x^n$ is total utility, the functions of marginal utility u will be:

- A. nx^{n+1}
- B. nx^{n-1}
- C. x^{n+1}
- D. $n-1x^{n+1}$

Answer» B. nx^{n-1}

[discuss](#)

111. When the total revenue functions is $R = 100 - X^2$, the marginal revenue is :

- A. $100 - 2X$
- B. 100
- C. $-2X$
- D. $-X^2$

Answer» C. $-2X$

[discuss](#)

112. The cost per output is given by $C = 2x + 27$. Then the marginal cost when $x = 5$ is:

- A. 2
- B. 27
- C. 0
- D. 47

Answer» D. 47

[discuss](#)

113. When elasticity of demand is 2, the demand will be:

- A. Perfectly elastic
- B. Perfectly inelastic
- C. Relatively elastic
- D. Unit elastic

113. When elasticity of demand is 2, the demand will be:

Answer» C. Relatively elastic

[discuss](#)

114. The Price elasticity of demand for a product is 1.5 and its MR = 8, find its price:

- A. 12
- B. 24
- C. 53
- D. 16

Answer» B. 24

[discuss](#)

115. The elasticity of demand for the demand curve of a firm under perfect competition is

- A. 1
- B. 0
- C. -1
- D. α

Answer» D. α

[discuss](#)

116. Given a total utility function, Marginal utility is obtained by finding _____

- A. First derivative
- B. Second derivative
- C. Integral
- D. Coefficient

Answer» A. First derivative

[discuss](#)

117. Mathematically _____ is the first derivative of the consumption function.

- A. MPS

117. Mathematically ____ is the first derivative of the consumption function.

- B. MPC
- C. MPI
- D. GDP

Answer» B. MPC

[discuss](#)

118. ____ indicates what proportion of the increased income will be saved.

- A. MPS
- B. MPC
- C. MPI
- D. GDP

Answer» A. MPS

[discuss](#)

119. ____ measures the change in TP due to a one unit change in the quantity of labour used:

- A. MPC
- B. MPS
- C. MPI
- D. MPPL

Answer» D. MPPL

[discuss](#)

120. ____ refers to the change in total cost (TC) due to the production of an additional unit of output.

- A. MPC
- B. MC
- C. MPI
- D. MPPL

Answer» B. MC

[discuss](#)

121. $MPL MPK = \underline{\hspace{1cm}}$

- A. MPC
- B. MC
- C. MRTSLK
- D. MPPL

Answer» C. MRTSLK

[discuss](#)

122. The slope of ____ curve will be positive if and only if the marginal cost curve lies above the AC curve.

- A. AC
- B. MC
- C. ATC
- D. MP

Answer» A. AC

[discuss](#)

123. At a price of Rs11.00, quantity demanded is 90; and at a price of Rs.9.00, quantity demanded is 110. elasticity of demand is:

- A. 0.8
- B. 1
- C. 1.5
- D. -1.22

Answer» D. -1.22

[discuss](#)

124. For complementary goods the cross elasticity of demand will be _____

- A. negative
- B. zero
- C. positive

124. For complementary goods the cross elasticity of demand will be _____

D. any of these

Answer» A. negative

[discuss](#)

125. Necessities have _____ elasticity of demand of between 0 and +1.

A. cross

B. price

C. income

D. any of these

Answer» C. income

126. If your income doubles and the prices of the goods you buy double, then your demand for these goods _____

A. increase

B. not change

C. decrease

D. shift

Answer» B. not change

[discuss](#)

127. Football socks are found to have a cross-elasticity of demand of -2 with respect to product Y. Which following products is most likely to be product Y:

A. Cricket boots

B. Tennis shoes

C. Tennis socks

D. Football boots

Answer» D. Football boots

[discuss](#)

128. The process of finding relative maximum or minimum of a function is known as :

A. optimization

128. The process of finding relative maximum or minimum of a function is known as :

- B. minimisation
- C. maximisation
- D. any of these

Answer» A. optimization

[discuss](#)

129. A ____ is a point at which a function is at a relative maximum or minimum:

- A. plateau
- B. relative extremum
- C. inflection
- D. critical value

Answer» B. relative extremum

[discuss](#)

130. The value of Lagrange multiplier λ gives the approximate change in the objective function caused by change in the:

- A. constant of the constraint
- B. objective function
- C. variables in the constraint
- D. any of these

Answer» A. constant of the constraint

[discuss](#)

131. The first derivative measures the rate of change or ____ of a function:

- A. intercept
- B. convexity
- C. slope
- D. concavity

Answer» C. slope

[discuss](#)

132. For a cost function $TC = 3Q^2 + 7Q + 12$, MC is :

- A. $6Q$
- B. $6Q + 7$
- C. $3Q + 7$
- D. undefined

Answer» B. $6Q + 7$

[discuss](#)

133. MR is :

- A. the second order derivative of TR
- B. the first order derivative of TC
- C. the first order derivative of TR
- D. the first order derivative of TR

Answer» D. the first order derivative of TR

[discuss](#)

134. In optimisation, with the first order derivative equal to ____ and the second order derivative ____ the function is at a maximum.

- A. $0, 0$
- B. $0, < 0$
- C. $0, > 0$
- D. $> 0, 0$

Answer» B. $0, < 0$

[discuss](#)

135. When we optimise a function, with the first order derivative equal to ____ and the second order derivative ____ the function is at a relative minimum.

- A. $0, 0$
- B. $0, < 0$
- C. $0, > 0$

135. When we optimise a function, with the first order derivative equal to ____ and the second order derivative the function is at a relative minimum.

D. $> 0, 0$

Answer» C. $0, > 0$

[discuss](#)

136. In Cobb Douglas Production of functions, the elasticity of Substitutions is :

A. greater than one

B. equal to one

C. less than one

D. None of these

Answer» B. equal to one

[discuss](#)

137. Feasible solution of LPP is:

A. Values of decision variables satisfy the constraints

B. Values of decision variables satisfy the objective functions

C. Values of variable satisfy the objective functions

D. the value of the objective function

Answer» B. Values of decision variables satisfy the objective functions

[discuss](#)

138. In linear programming, the dual of maximization is equal to:

A. minimization

B. Shadow Pricing

C. Maximisation

D. None of these

Answer» A. minimization

[discuss](#)

139. Linear Programming deals with:

- A. Constraints
- B. Inequalities
- C. Objective functions
- D. All the above

Answer» D. All the above

[discuss](#)

140. A production function is said to be _____, if, when each input factor is multiplied by a positive real constant, the constant can be completely factored out:

- A. homogenous
- B. nonhomogenous
- C. additive
- D. heterogenous

Answer» A. homogenous

[discuss](#)

141. _____ functions are a special class of homogeneous function in which the marginal rate of Technical Substitution is constant along the function.

- A. Hypothetic
- B. Homothetic
- C. Objective
- D. Value

Answer» B. Homothetic

[discuss](#)

142. In linear programming, the number of technical constraints will be _____ the number of the factors of production.

- A. equal to
- B. smaller than
- C. greater than
- D. the same as

142. In linear programming, the number of technical constraints will be ____ the number of the factors of production.

Answer» D. the same as

[discuss](#)

143. In linear programming, ____ are expressed as inequalities, rather than equalities.

- A. the technical constraints
- B. objective functions
- C. dual
- D. primal

Answer» A. the technical constraints

[discuss](#)

144. In linear programming, ____ expresses the necessity that the levels of production of the commodity be non-negative, that is, it should be either positive or zero.

- A. the technical constraints
- B. objective functions
- C. non negativity constraints
- D. primal

Answer» C. non negativity constraints

145. In input-output analysis, ____ represents in monetary terms or quantitative terms all the transactions within the economic system.

- A. the transaction matrix
- B. objective functions
- C. non negativity constraints
- D. the

Answer» A. the transaction matrix

146. In input-output analysis, ____ shows the number of units of any industry's output needed to produce one unit of another industry's output.

- A. the transaction matrix

146. In input-output analysis,_____ shows the number of units of any industry's output needed to produce another industry's output.

B. The technical coefficients

C. non negativity constrains

D. the

Answer» B. The technical coefficients

[discuss](#)

147. In input-output analysis,_____ is obtained by dividing the input of the desired sector by the total output of the same sector.

A. the transaction matrix

B. a technology coefficient

C. non negativity constrains

D. The

Answer» B. a technology coefficient

148. In input-output analysis, when the technical coefficients are put in the form of a matrix, we get the_____

A. the transaction matrix

B. a technology coefficient

C. non negativity constrains

D. the

Answer» D. the

149. In input-output analysis,if the exogenous sectors of the open input output model is absorbed in to the model, we get _____ just another sector _____

A. the transaction matrix

B. a technology coefficient

C. Leontief closed model

D. the

149. In input-output analysis, if the exogenous sectors of the open input output model is absorbed in to the just another sector _____

Answer» C. Leontief closed model

150. In an input-output matrix, the element _____ shows the input industry II takes from industry I.

A. a_{12}

B. a_{21}

C. a_{11}

D. a_{22}

Answer» A. a_{12}

ECONOMETRICS I

1. Two events, A and B, are said to be mutually exclusive if:

A. $P(A | B) = 1$

B. $P(B | A) = 1$

C. $P(A \text{ and } B) = 1$

D. $P(A \text{ and } B) = 0$

Answer» D. $P(A \text{ and } B) = 0$

2. A Type I error occurs when we:

A. reject a false null hypothesis

B. reject a true null hypothesis

C. do not reject a false null hypothesis

D. do not reject a true null hypothesis

Answer» B. reject a true null hypothesis

[discuss](#)

3. What is the meaning of the term "heteroscedasticity"?

- A. The variance of the errors is not constant
- B. The variance of the dependent variable is not constant
- C. The errors are not linearly independent of one another
- D. The errors have non- zero mean

Answer» A. The variance of the errors is not constant

4. What would be then consequences for the OLS estimator if heteroscedasticity is present in a regression model but ignored?

- A. It will be ignored
- B. It will be inconsistent
- C. It will be inefficient
- D. All of a),c), b) will be true.

Answer» C. It will be inefficient

5. Which one of the following is NOT a plausible remedy for near multicollinearity?

- A. Use principal components analysis
- B. Drop one of the collinear variables
- C. Use a longer run of data
- D. Take logarithms of each of the variables

Answer» D. Take logarithms of each of the variables

6. What will be the properties of the OLS estimator in the presence of multicollinearity?

- A. It will be consistent unbiased and efficient
- B. It will be consistent and unbiased but not efficient
- C. It will be consistent but not unbiased
- D. It will not be consistent

6. **What will be the properties of the OLS estimator in the presence of multicollinearity?**

Answer» A. It will be consistent unbiased and efficient

7. **A sure way of removing multicollinearity from the model is to**

- A. Work with panel data
- B. Drop variables that cause multicollinearity in the first place
- C. Transform the variables by first differencing them
- D. Obtaining additional sample data

Answer» B. Drop variables that cause multicollinearity in the first place

8. **Autocorrelation is generally occurred in**

- A. Cross-section data
- B. Time series data
- C. Pooled data
- D. None of the above

Answer» B. Time series data

9. **The regression coefficient estimated in the presence of autocorrelation in the sample data are NOT**

- A. Unbiased estimators
- B. Consistent estimators
- C. Efficient estimators
- D. Linear estimators

Answer» C. Efficient estimators

10. **In the regression function $y = \alpha + \beta x + c$**

- A. x is the regressor

10. In the regression function $y = \alpha + \beta x + c$

- B. Y is the regressor
- C. x is the regressand
- D. none of these

Answer» A. x is the regressor

11. The coefficient of determination, r^2 shows

- A. Proportion of the variation in the dependent variable Y is explained by the independent variable X
- B. Proportion of the variation in the dependent variable X is explained by the independent variable Y
- C. Proportion of the variation in u_i is explained by the independent variable X
- D. Both a and c

Answer» A. Proportion of the variation in the dependent variable Y is explained by the independent variable X

12. BLUE is

- A. Best Linear Unbiased Estimator
- B. Best Linear Unconditional Estimator
- C. Basic Linear Unconditional Estimator
- D. Both b and c

Answer» A. Best Linear Unbiased Estimator

13. Data on one or variables collected at a given point of time

- A. Panel Data
- B. Time series data
- C. Pooled data
- D. Cross-section data

Answer» D. Cross-section data

14.	The violation of the assumption of constant variance of the residual is known as
A.	Heteroscedasticity
B.	Multicollinearity
C.	Homoscedasticity
D.	Autocorrelation

Answer» A. Heteroscedasticity

15.	Formula of coefficient determination is
A.	$1 + \text{RSS}/\text{TSS}$
B.	$1 - \text{RSS}/\text{ESS}$
C.	$1 - \text{RSS}/\text{TSS}$
D.	$1 * \text{RSS}/\text{TSS}$

Answer» C. $1 - \text{RSS}/\text{TSS}$

16.	In confidence interval estimation, $\alpha = 5\%$, this means that this interval includes the true β with probability of
A.	0.50%
B.	50%
C.	5%
D.	95%

Answer» D. 95%

17.	Consider a large population with a mean of 160 and a standard deviation of 25. A random sample of 64 is taken from this population. What is the standard deviation of the sample mean?
A.	3.125
B.	2.5
C.	3.75

17. Consider a large population with a mean of 160 and a standard deviation of 25. A random sample of 64 is taken from this population. What is the standard deviation of the sample mean?

D. 5.625

Answer» A. 3.125

18. In the case of multicollinearity which test will be insignificant?

A. f test

B. t test

C. both a and b

D. both are significant

Answer» B. t test

19. Heteroscedasticity is generally occurred in

A. Cross-section data

B. Time series data

C. Pooled data

D. None of the above

Answer» A. Cross-section data

20. When there are both qualitative and quantitative variables are there in the model,

A. ANOVA

B. ANCOVA

C. CHI SQUARE

D. All of the above

Answer» B. ANCOVA

21. **When is the problem of dummy variable trap occur?**
- A. When we take dummy variables more than the categories
 - B. When we take dummy variables less than the categories
 - C. When we take dummy variables equal to the no of categories
 - D. Both a and c

Answer» D. Both a and c

22. **Durbin Watson test is associated with:**
- A. Heteroscedasticity
 - B. Multicollinearity
 - C. Autocorrelation
 - D. Both a and c

Answer» C. Autocorrelation

23. **All are the types of specification errors EXCEPT:**
- A. Omission of relevant variable
 - B. Inclusion of unnecessary variable
 - C. errors of measurement
 - D. over identified

Answer» D. over identified

24. **White's test is used for the detection of ----- -?**
- A. multicollinearity
 - B. hetroscedasticity
 - C. Autocorrelation
 - D. None of the above

24. **White's test is used for the detection of ----- -?**

Answer» B. heteroscedasticity

25. **Which one is not the assumption of OLS?**

- A. Perfect Multicollinearity
- B. zero covariance between error terms
- C. equal variance of disturbances
- D. Mean value of disturbances is

Answer» A. Perfect Multicollinearity

26. **Scaling a dependent variable in log form in the log-lin model will-----**

- A. change both the intercept and slope
- B. change the slope but not the intercept
- C. change the intercept but not the slope
- D. intercept and slope both remain unchanged

Answer» C. change the intercept but not the slope

27. **Individual respondents, focus groups, and panels of respondents are categorised as**

- A. Primary Data Sources
- B. Secondary Data Sources
- C. Itemized Data Sources
- D. Pointed Data Sources

Answer» A. Primary Data Sources

28. **The scale applied in statistics which imparts a difference of magnitude and proportions is considered**

- A. Exponential Scale
- B. Goodness Scale

28.	The scale applied in statistics which imparts a difference of magnitude and proportions is considered
C.	Ratio Scale
D.	Satisfactory Scale
Answer» C. Ratio Scale	

29.	Homogeneity of three or more population correlation coefficients can be tested by
A.	F-test
B.	t-test
C.	Z-test
D.	χ^2 -test
Answer» D. χ^2 -test	

30.	The successive trials are with replacement in
A.	Hypergeometric distribution
B.	Binomial distribution
C.	Geometric distribution
D.	None of these
Answer» B. Binomial distribution	

31.	Probability of occurrence of an event lies between
A.	-1 and 0
B.	-1 and 1
C.	1 and 0
D.	100 and -100
Answer» C. 1 and 0	

32. A discrete probability distribution may be represented by

- A. Graph
- B. Table
- C. Mathematical Equation
- D. All of These

Answer» D. All of These

33. Student's t-distribution curve is symmetrical about mean, it means that

- A. Odd Order Moments are Zero
- B. Even Order Moments are Zero
- C. Both (A) and (B)
- D. None of (A) and (B)

Answer» A. Odd Order Moments are Zero

34. Which one is equal to explained variation divided by total variation?

- A. Sum of squares due to regression
- B. Coefficient of Determination
- C. Standard Error of Estimate
- D. Coefficient of Correlation

Answer» B. Coefficient of Determination

35. The measurement of economic data:

- A. mathematical
- B. Econometrics
- C. Business
- D. Statistics

Answer» B. econometrics

36.	An identity between two alternative:
A.	Behavioral
B.	Definitional
C.	Conditional
D.	None

Answer» B. definitional

37.	The relationship between the price of the commodity and quantity of the commodity demanded :
A.	Supply
B.	Demand
C.	Elasticity
D.	None

Answer» B. demand

38.	The relation of Price and quantity demanded:
A.	Negative
B.	Positive
C.	no relation
D.	None

Answer» B. positive

39.	The relationship between the price of the commodity and quantity of the commodity supplied:
A.	Demand
B.	Equilibrium
C.	Supply

39. The relationship between the price of the commodity and quantity of the commodity supplied:

D. None

Answer» C. supply

40. The wants satisfying power of a commodity:

A. Consumption

B. saving

C. utility

D. interest

Answer» C. utility

41. Consumption function is given $C = 35 + .4 Y_d$, find MPC:

A. .4

B. .6

C. .8

D. .7

Answer» A. .4

42. The relationship between income and consumption:

A. consumption

B. saving

C. investment

D. none

Answer» A. consumption

43. The transformation of physical inputs in to physical outputs:

- A. production
- B. consumption
- C. distribution
- D. investment

Answer» A. production

44. The difference between total revenue and the total Cost:

- A. cost
- B. income
- C. profit
- D. revenue

Answer» C. profit

45. $MPS + MPC = ?$

- A. 2
- B. 0
- C. 1
- D. 3

Answer» C. 1

46. The difference between the present level of income and the past level of income:

- A. saving
- B. consumption
- C. investment
- D. none

46. The difference between the present level of income and the past level of income:

Answer» C. investment

47. The first derivative of the consumption function is:

- A. marginal revenue
- B. marginal cost
- C. marginal propensity to consume
- D. none

Answer» C. marginal propensity to consume

48. Revenue function $TR = 22x^2 + 14$, find Marginal revenue?

- A. $44x$
- B. $40x$
- C. $22x$
- D. $54x$

49. The addition to total cost:

- A. Mc
- B. Ac
- C. Tc
- D. None

Answer» A. mc

50. The proportionate change in quantity demanded and the proportionate change in price is:

- A. price elasticity
- B. income elasticity

50.	The proportionate change in quantity demanded and the proportionate change in price is:
C.	cross elasticity
D.	None
Answer» A. price elasticity	

51.	MRS_{xy} is equal to:
A.	m_{ux}/m_{uy}
B.	m_{px}/m_{py}
C.	M _{rts}
D.	None
Answer» A. m_{ux}/m_{uy}	

52.	Marginal rate of technical substitution is equal to:
A.	m_{ux}/m_{uy}
B.	m_{pl}/m_{pk}
C.	m_{rsxy}/m_{rs}
D.	m_{rx}/m_{ry}
Answer» B. m_{pl}/m_{pk}	

53.	The ratio of the proportionate change in the quantity purchased of a good to the proportionate change in income:
A.	price elasticity
B.	income elasticity
C.	cross elasticity
D.	None
Answer» B. income elasticity	

54. An increase in income lead to the increase in quantity demanded of the good:

- A. negative good
- B. positive good
- C. superior good
- D. normal good

Answer» C. superior good

55. The relationship between quantity demanded of a good and level of consumer's income:

- A. Engel function
- B. consumption function
- C. saving function
- D. None

Answer» A. Engel function

56. The proportionate change in quantity demanded by a good due to proportionate change in the price good:

- A. price elasticity
- B. income elasticity
- C. cross elasticity
- D. demand elasticity

Answer» C. cross elasticity

57. Given the utility function $U = 5x^2 + 12x$, find Marginal utility:

- A. $5 + 12$
- B. $10x + 12$
- C. $12x - 10$
- D. $10x + 12x$

57. **Given the utility function $U = 5x^2 + 12x$, find Marginal utility:**

Answer» B. $10x + 12$

58. **The first order derivative of Total Utility:**

- A. Mu
- B. Tu
- C. Au
- D. None

Answer» A. mu

59. **The transformation of physical inputs in to outputs:**

- A. production function
- B. consumption function
- C. saving function
- D. None

Answer» A. production function

60. **if all factors of production are increased in a given proportion, output also increased in a same proportion:**

- A. second degree
- B. first degree
- C. third degree
- D. None

Answer» B. first degree

[discuss](#)

61. **The amount of a productive factor that is essential to produce a unit of product is called:**

- A. technical coefficient
- B. fixed proportion

61. The amount of a productive factor that is essential to produce a unit of product is called:

C. variable proportion

D. None

Answer» A. technical coefficient

62. The ratio of the factors (K/L):

A. A_{pk}

B. A_{pl}

C. M_{pl}

D. M_{pk}

Answer» B. a_{pl}

63. Marginal rate of substitution between factors is equal to the ratio of :

A. mp_x/mp_y

B. mpl/mpk

C. mrs_{xy}/mrs

D. none

Answer» B. mpl/mpk

64. The elasticity of substitution under cob- Douglas function:

A. 2

B. 1

C. 0

D. 3

Answer» B. 1

65. If $\alpha + \beta = 1$ is related to:

- A. constant
- B. increase
- C. decrease
- D. none

Answer» A. constant

66. The percentage change in output caused by a given percentage change in a variable factor is:

- A. output elasticity
- B. income elasticity
- C. price elasticity
- D. none

Answer» A. output elasticity

67. If output is exhausted by the distributive shares of all factors:

- A. Euler theorem
- B. Output elasticity
- C. Labour share
- D. None

Answer» A. Euler theorem

68. Who is invented the linear programming technique:

- A. H. T. Hail
- B. George B. Danzig
- C. Galton
- D. Karl Pearson

68. Who is invented the linear programming technique:

Answer» B. George B Danzig

69. Those which meet or satisfy the constraints of the problem:

A. Technical

B. Objective

C. Feasible

D. Optimum

Answer» C. feasible

70. One of the assumptions of LPP is:

A. Linearity

B. Elasticity

C. Equilibrium

D. None

Answer» A. linearity

71. One of the applications of LPP is:

A. Objectivity

B. diet problem

C. Constraint

D. None

Answer» B. diet problem

72. The term 'econometrics' was coined by:

A. Marsahll

72. **The term ‘econometrics’ was coined by:**

- B. Pawel
- C. Ragner Frisch
- D. Clompa

Answer» C. Ragner Frisch

73. **Error term serves the purpose of..... assumption in economics:**

- A. Dynamic
- B. Static
- C. Comparative
- D. none of the above

Answer» D. none of the above

74. **Econometrics model ismodel.**

- A. Exogenous
- B. Endogenous
- C. Identified
- D. either exogenous or endogenous

Answer» D. either exogenous or endogenous

75. **The starting point of econometric analysis is:**

- A. model specification
- B. formulation of alternative hypothesis
- C. formulation of null hypothesis
- D. collection of data

Answer» C. formulation of null hypothesis

76. **Regressor refers to:**

- A. independent variable
- B. dependent variable
- C. error term
- D. dummy variable

Answer» A. independent variable

77. **In perfect linear model, we assume that regression coefficient remains.....**

- A. variable until some point
- B. variable through out
- C. constant to some point
- D. constant through out

Answer» D. constant through out

78. **In econometric models, $t+1$ indicates:**

- A. net addition
- B. current value with some fluctuations
- C. expected value
- D. none of these

Answer» C. expected value

79. **Quota sample is.....sample.**

- A. probability sample
- B. non probability sample
- C. convenient sample

79. **Quota sample is.....sample.**

D. judgment sample

Answer» B. non probability sample

80. **When a north Indian town data and south Indian data are totaled, it leads to the problem of ----- aggregation.**

A. National

B. Regional

C. Spatial

D. Heterogeneous

Answer» C. spatial

81. **In an econometric model, $Y = \alpha + \beta X$, α shows,**

A. intercept of the equation

B. slope of the equation

C. average value of y for average value of x

D. rate of change

Answer» A. intercept of the equation

82. **Error term indicates**

A. fluctuations in the given data

B. Variations

C. random variations

D. explained variation

Answer» C. random variations

83. Among the following, which is an assumption of OLS

- A. the explanatory variables are measurable
- B. the relationship being estimated is identified
- C. error term and independent variables are related
- D. error term and independent variables are linearly related

Answer» B. the relationship being estimated is identified

84. Linearity means

- A. the ols estimates are linear function of random variable
- B. the ols estimates are function of variable
- C. the ols estimates are function of random variable
- D. the ols estimates has minimum variance

Answer» A. the ols estimates are linear function of random variable

85. The power of a statistical test is defined as,

- A. $1 - \beta$
- B. $1 + \beta$
- C. 1
- D. B

Answer» A. $1 - \beta$

86. Standard error is defined as,

- A. standard deviation of the sampling distribution
- B. standard deviation of the population
- C. variance of the sampling distribution
- D. variance of the population

Answer» A. standard deviation of the sampling distribution

87. Student t test is preferred in the case of a,

A. small sample

B. large sample

C. when sample is below 50

D. when sample is above 50

Answer» A. small sample

88. Cobb Douglas production function is an example of :

A. linear model

B. double log model

C. lin log model

D. log lin model

Answer» B. double log model